SUSTAINABILITY REPORT 2023



smeg

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LETTER TO STAKEHOLDERS

Dear Readers,

The Smeg Group has now reached the third edition of its Sustainability Report. This is a tangible representation of the commitment to transparency that we have adopted together with our stakeholders who, year after year, continue to demonstrate a growing interest in the initiatives and goals that the organisation brings forward to advance sustainability.
Our journey towards ever greater environmental, social and economic sustainability is continuing without pause, in the hope that this can generate significant shared and long-lasting value that will benefit our entire community and the planet that hosts us. Going beyond the growing legal obligations introduced by European legislation, we are unwavering in our conviction that we must continue to strive for constant improvement, placing at the centre the well-being not only of our environment, but of every single person who, in any way whatsoever, may be impacted by our operations.

The ongoing climate emergency can no longer be ignored, and therefore each and every one of us has a moral obligation to do whatever we can to bring about the change of course that our environment needs.

This report lays out the steps we have taken towards achieving our objectives, the results delivered by each company in the Group, and our goals for the future, taking inspiration, once again, from the reporting principles of the GRI Sustainability Reporting Standards (GRI Standards).

Chairman
Vittorio Bertazzoni

FOREWORD

The Smeg Group (hereinafter also the "Group"), of which Smeg S.p.A. is the parent company (hereinafter also "SMEG", the "Company" or the "Parent Company"), has prepared and published this third edition of its Sustainability Report on a voluntary basis.

The Group, in accordance with the principles of **balance and completeness of information** defined by GRI Standard 1 - Foundation (2021) of the Global Reporting Initiative, presents to its stakeholders, through the Sustainability Report, the environmental, social, economic and governance information most pertinent to its business, explaining the positive and negative impacts generated[1]. The Group has adopted the GRI Standards (version 2016, as amended) as the reference reporting standards for this report, in accordance with the reporting option, "**With reference to**".

The qualitative and quantitative information reported refers to the period from **1 January 2023 to 31 December 2023**, providing a comparison, where possible, with figures from the previous two year period to enable readers to compare the Group's sustainability performance over time.

The contents set out in the document refer to the entire Group: the entities included within the reporting boundary of the Sustainability Report are detailed in the Methodological Note (see "Annexes to the Report"). Any scope limitations, with reference to the various material topics covered by the document and to the individual items reported, are appropriately indicated both in footnotes and in the body of the report, and within the Methodological Note at the end of the document.

[1] The independent international "Global Reporting Initiative" (GRI) has defined a set of reference standards for reporting on the sustainability performance of public and private organisations. The GRI standards are currently recognised as the leading international reference standards: the standards are both universal and specific, i.e., relating to specific economic, environmental and social aspects. The latest version of the GRI Universal Standards was published in October 2021, reorganised to pave the way for the upcoming regulatory developments that will affect sustainability reporting on a European level. For the Topic Specific Standards, the most recent versions - depending on the specific standard - are 2016, 2018 and 2020.

Guide to reading the document

The layout for the 2023 report has been designed with the aim of highlighting the Group's commitment towards an increasingly robust management and operation of its business based on sustainable principles, values and goals.

This commitment is described, in particular, in the first sections of the report, in which the approach to sustainability implemented by the Group within its business model is explained, in addition to how the Parent Company organises governance of its business (Chapter 2). The same section also describes the process by which the materiality assessment is updated and how stakeholders are involved.

Details on the social, environmental and sustainability performance of products is reported in the main body of the report (Chapters 4 - 6). Environmental and social impacts are considered on the basis of a transversal approach relating to the Group's entire value chain.



Information regarding the SMEG supply chain is accompanied by the icon depicted here.

The 2023 Sustainability Report structure

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CHAPTER 1
Technology with style

CHAPTER 2
Responsibility for people and the planet

CHAPTER 3
Business conduct

CHAPTER 4
People

CHAPTER 5
Environment

CHAPTER 6
Product

ANNEXES TO THE REPORT | Methodological Note and technical insights

- Presentation of the Group, its history and the specific characteristics of the sector in which it operates.
- Description of the business model and how sustainability is integrated within it.

Details on the Group's sustainability performance in the three priority areas, with a focus on the Group's entire value chain.

Starting from Chapter 3, at the beginning of each chapter, a detailed technical page will show the following information:

- the material topics covered by the chapter;
- the risks and opportunities connected to the topics covered;
- the GRI information reported;
- the SDGs (Sustainable Development Goals) of reference, to which the Group contributes directly or indirectly;
- reference stakeholders in relation to the topics covered by the chapter;
- the policies and other documents adopted by the Group in order to ensure the topics are handled appropriately.

Concluding the document are the *"Annexes to the Report"*, which give more detail on the quantitative information reported in response to the disclosures of the GRI Standards covered by the document, and provide methodological details to facilitate an understanding of the data collected and presented. The selection of the indicators covered in this Sustainability Report, both general and topic-specific, was done on the basis of the materiality (i.e., relevance) of the topics covered, taking into account the Group's ability to be able to ensure the adequate collection and communication of the relevant qualitative and quantitative information.

The Sustainability Report is published on SMEG's corporate website and can be downloaded at the following link: https://www.smeg.com/company/sustainability

For more information regarding this report and SMEG's commitment to sustainability, contact sustainability@smeg.it.

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TECHNOLOGY WITH STYLE

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75 YEARS OF MADE IN ITALY

Founded in 1948, SMEG, a family-run business, whose name is an acronym of the company's original name, "Smalterie Metallurgiche Emiliane Guastalla", has been operating for almost 75 years, combining innovation and design and following a strategic product diversification process.

"Technology with style" reflects our brand identity, responding to the needs of contemporary living through the creation of domestic appliances characterised by a sober yet elegant style and, thanks to an unceasing commitment to cutting-edge industrial design and the numerous collaborative initiatives undertaken with internationally renowned architects and designers, imbuing each product with a unique and aesthetic soul.

This special identity extends beyond aesthetics, to express the origins and the passion of the company itself. It is, in fact, a burning ambition to optimise and promote the characteristics of Italian design, such as inventiveness, originality and outstanding product quality.

Some key events in the Group's history are given below, with a particular emphasis on the most significant moments which, over the past twenty years, have characterised SMEG's commitment to the sustainable development of its business.

The stages of the Smeg Group's history

YEAR
1948

- Vittorio Bertazzoni Sr. founds Smeg in his home town of Guastalla (RE).

YEARS
50

- Metalworking is accompanied by the production of the first cooking appliances.
- 1955: Presentation of the first cooker bearing the Smeg name, called Elizabeth.

YEARS
60

- Start of the production of washing products (washing machines and dishwashers). In 1963, Smeg launches LEDA, its first washing machine.

YEARS
70

- 1970: World première of the first dishwasher with a capacity for 14 place settings.
- 1971: Production of the first built-in cooking appliances (ovens and hobs).
- 1977: Creation of the new company logo by designer Franco Moria Ricci.
- 1979-1982: Smeg sponsors the Ferrari team, which races with Gilles Villeneuve.

YEARS
80

- 1982-1985: Start of the production of food service products and sanitary disinfection equipment.
- 1985: Collaboration with architect Guido Canali for ovens and hobs. Launch of the Smeg Instruments division, dedicated to the hospital, biomedical and dental sector.

YEARS
90

- 1991: Collaboration with architect Mario Bellini for ovens and hobs.
- 1995: Collaboration with architect Renzo Piano for ovens, hobs, fridges and domestic greenhouses.
- 1997: Launch of the iconic FAB28 Fridge.

The stages of sustainability in the Smeg Group

- 1996: Implementation of the qualification procedure for suppliers of materials and services.
- 1997: ISO 9001 certification obtained fot the Guastalla and Bonferraro sites and, later, for the other production companies in the Group.
- 1999: ISO 14001 certification obtained for the Guastalla site and, later, for the other production companies in the Group (with the exception of La Pavoni).

YEARS
2000

- 2002: Inauguration of the new SMEG headquarters, designed by architect Guido Canali.
- 2008: Collaboration with industrial designer Marc Newson.

YEARS
2010

- 2012: Launch of FAB denim (the first line of fridges entirely covered in denim).
- 2013: Launch of the Smeg500 model.
- 2014: Launch of the line of small domestic appliances inspired by the iconic FAB fridge lines.
- 2016: Start of the collaboration with Dolce&Gabbana.
- 2019: Acquisition of La Pavoni S.p.A., a historic Milan-based manufacturer of coffee machines founded in 1905.

YEARS
2020

- 2020: Start of the collaboration with Luigi Lavazza S.p.A. for the development of co-branded coffee machines.
- 2021: For the tenth time, Smeg receives the international "Good Design Award" for industrial design, awarded by the Chicago Athenaeum Museum of Architecture and Design.
- 2022: Launch of the Galileo Platform.
  Acquisition of FRIMED.

YEAR
2023

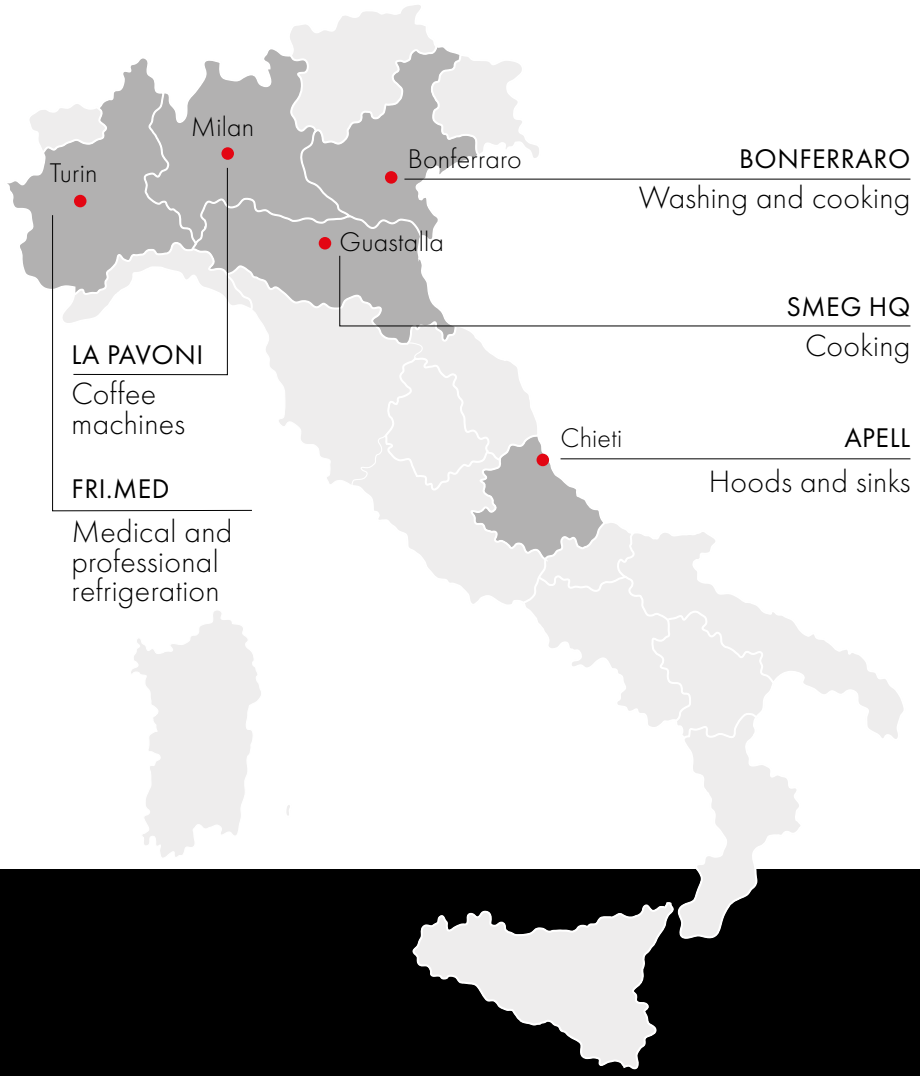
- SMEG receives the Good Deisgn Award 2023, the longest-running and most prestigious award in the industry awarded by Chicago Athenaeum Museum of Architecture and Design.
- The Fabart project is launched: 4 works of art feature the iconic Fab28.

- 2005: OHSAS 18001 certification, later replaced by ISO 45001, obtained for the Guastalla site and the other production companies in the Group (with the exception of La Pavoni and Fri.Med.).
- 2007: Domotica Award in 2007 for the Guastalla facility, declared as one of the most innovative in Italy for intelligent consumption management and as an example of sustainable development.
- 2009: Adoption of the Model pursuant to Italian Legislative Decree no. 231/01 and of the Code of Ethics.

- 2011: The use of nickel sulphate and wet enamels is eliminated with the consequent elimination of potential pollutants (San Girolamo site).
- 2016: Removal of the lime filter on the outlet of the enamel kiln at San Girolamo.
  Removal the lime filter on the outlet of the enamel kiln at San Girolamo.
  Start of the collaboration with the Reggio Emilia section of LILT for the prevention of oncological diseases.

- 2020: Establishment of the Sustainability Committee
- 2021: Appointment of a Sustainability Coordinator, preparation of the Group's first Sustainability Report and completion of the Group's first carbon footprint analysis.
  First participation in the CDP Climate Change questionnaire.
  Agreement signed with Enel X to build two photovoltaic systems at Guastalla and Bonferraro.
  Membership of the Forestale Kilometroverde consortium of Parma.
  Survey of the vegetation present at the SMEG facility.
  ISCC certification obtained for use of Tritan™ Renew.
  Smeg is ranked first in its category in the "TOP JOB - BEST EMPLOYERS 2021" study conducted by the German Institute for Quality and Finance (ITQF) and second in the ranking for "Italy's Best Employer for Women 2021".
- 2022: Second time participating in the CDP Climate Change questionnaire, obtaining the score C - *Awareness*.
  Collaboration with the CNR to carry out a study of the CO_2 sequestration capacity of the vegetation around the SMEG headquarters.
  Completion of an LCA study on the packaging of some Small and Major Domestic Appliances in collaboration with the Politecnico di Milano.

- Third time participating in the CDP Climate Change questionnaire, obtaining the score B - Management.
- Electric vehicle charging infrastructure for the company fleet, in collaboration with Enel X.
- Installation of a new photovoltaic system for Smeg UK.



Production is done in **five plants in Italy**, the sites of the Group's five production companies. Thanks to extensive knowledge of the materials and the latest technologies, their certified production departments ensure that the products have essential attributes such as durability, safety, flexibility of use, energy efficiency and appeal.

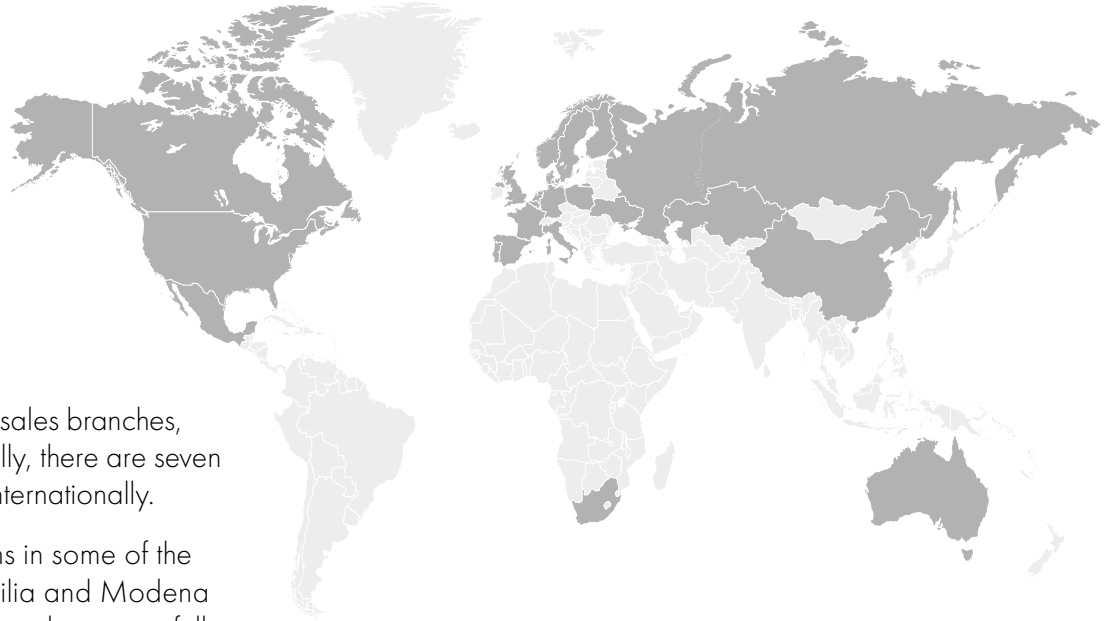
The Parent Company is based in Guastalla (RE), where cooking and refrigeration products are developed; the company **Bonferraro S.p.A.** (hereinafter "Bonferraro" is based in Bonferraro di Sorgà (VR) and focuses on the manufacture of washing and cooking products; the company **Apell S.p.A.** (hereinafter "Apell") is based in San Giovanni Teatino (CH) and produces hoods and sinks; finally, the company **La Pavoni S.p.A.** (hereinafter "La Pavoni", which is based in San Giuliano Milanese (MI), works in the coffee machine sector. The most recent production company to join the Group, **FRI.MED S.r.l.** (hereinafter "Fri.Med"), was acquired by SMEG as majority shareholder in 2022. Established in 1997 and based in Chieri (TO), Fri.Med specialises in the design and manufacture of professional devices for the hospital, industrial, bio-medical and pharmaceutical sectors, thanks to a deep commitment to scientific research and innovation. This acquisition aims to consolidate the Group's presence in the medical refrigeration sector and share know-how in order to create solutions with high technological value and which contribute to a sustainable innovation process.



ITALIAN COMMERCIAL DISTRIBUTION COMPANIES (REGIONS)

Abruzzo, Lazio, Tuscany, Veneto, Lombardy, Emilia-Romagna, Friuli-Venezia Giulia.

A GLOBAL BRAND



Vision, intuition, an international scope: the brand is regarded as the **pinnacle of Made in Italy excellence** around the world thanks to a corporate culture that places a strong emphasis on quality and high technological content, with a particular focus on energy saving.

The Group's presence extends both nationally and internationally through sales branches, representative offices and a widespread network of distributors. Specifically, there are seven **commercial distribution companies** operating in Italy and 19 operating internationally.

Moreover, the Group boasts a network of SMEG Stores and showrooms in some of the world's main cities, as well as three retail stores in Guastalla, Reggio Emilia and Modena in Emilia Romagna. These spaces, where design is the undisputed star, have been carefully conceived to express the brand's style and identity. The showrooms showcase iconic products and highlight important partnerships with other Italian companies recognised for their excellence on the global stage.

NETWORK OF PARTNER DISTRIBUTORS IN VARIOUS MARKETS

Eastern Europe, Iceland, Middle East, Mediterranean countries, North and Southern Africa, Asia, New Zealand, Canada, Central America and South America.

FOREIGN COMMERCIAL DISTRIBUTION COMPANIES (COUNTRIES)

France (1988), United Kingdom (1989), Belgium (1989), Spain (1991), Germany (1996), Netherlands (2002), Portugal (2006), Russia (2007), United States (2007), South Africa (2008), Ukraine (2008), Australia (2011), Kazakhstan (2012), Poland (2014), Mexico (2015), Nordic (Sweden - 2005, Denmark - 2010, Finland and Norway - 2017), Singapore (2018), Canada (2022), China (2022).

The year in brackets refers to the year that the branch was established.

SMEG STORES/SHOWROOMS

Guastalla, Reggio Emilia, Modena, Milan, Rome, Trieste, Malmo, Stockholm, Copenhagen, Monaco, Hamburg, Berlin, Dusseldorf, Frankfurt, Stuttgart, Amsterdam, Puurs, Rouen, Paris, Lyon, Abingdon, London, Barcelona, Montcada, Lisbon, Warsaw, Moscow, Saint Petersburg, Yekateringburg, Krasnodar, Novosibirsk, Almaty, Kyiv, New York, Johannesburg, Durban, Cape Town, Sydney, Melbourne, Brisbane, Adelaide, Wagga Wagga, Hobart, Perth, Mexico City, Singapore.

2

RESPONSIBILITY FOR PEOPLE AND THE PLANET

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DESIGNING BEAUTY: THE BUSINESS MODEL

Creating products that combine absolute user safety, a high technological content, sophisticated and innovative design, and respect for the environment, aimed at a discerning clientele that recognises the importance of elegance and quality.

Responsibility towards the community, integrity, trust, transparency, sharing and teamwork add up to the following two central pillars in the Group's business model:

- a commitment to producing domestic appliances that combine **user safety**, advanced **technology** and sophisticated and innovative **design**, aimed at a discerning clientèle that values the importance of elegance and quality. Product quality, safety and **reliability** are central to the attention the Group pays to achieve the highest levels of customer satisfaction;
- a commitment to respecting the surrounding **environment and protecting the health and safety of workers**. In particular, SMEG considers **environmental protection** and **sustainable development in the areas in which it operates** to be of primary importance, taking into consideration the **rights of the community** and those of **future generations**.

SMEG's entire development strategy, founded on the ongoing pursuit of innovation, a focus on end user needs, and visual appeal, is divided into **four main pillars**, thanks to which Smeg products are regarded as true **icons of style, functionality and sustainability**.

Indeed, for the Group, sustainable development means designing - in a responsible way - products that can stand the test of time, in accordance with a long-term version based on architectural origins.

Continuous improvement in management and production processes is supported by production companies in their adoption of a **Quality, Safety and Environmental Management System**, certified in relation to universally recognised standards such as **ISO 9001, ISO 13485**[1], **ISO 45001**[2] **and ISO 14001**[3], together with an R&D Laboratory Management System conforming to UNI CEI EN ISO / IEC 17025, designed:

- to meet and exceed (where possible) regulatory requirements, adopting all prevention and protection measures to reduce risks to the environment and to the health and safety of its people and surrounding communities;
- to reduce the environmental impact at all stages of production and products' life;
- to increase the sense of responsibility of staff and suppliers in regards to quality, the environment, health and safety.

The following infographic depicts the characteristic features of the Group's business model and highlights the elements through which SMEG works to create shared value and to maximise the positive impacts for the environment, for people and for society as a whole.

[1] Certification held by the production companies, Smeg, Bonferraro and Fri.Med.

[2] The ISO 45001 certification is held by Smeg, Bonferraro and Apell.

[3] The ISO 14001 certification is held by Smeg, Bonferraro, Apell and Fri.Med.

Business model

CORNERSTONES

- Introduction of cutting-edge technological solutions at the product and process level with the aim of offering a range of products designed to last over time
- Strengthening of collaborations with internationally renowned architects and designers
- Attention to detail and perceived product quality in compliance with safety and international standards
- Creation of new product concepts with high functionality, safety, visual appeal and energy efficiency

FOUNDATIONS

- Constant pursuit of innovation
- Attention to end-user needs
- Focus on visual appeal

VALUES

- Absolute user safety, high technological content and refined, innovative design
- Respect for the surrounding environment and protection of worker health and safety

Production specifically involves the following **3 divisions**:

1. the **domestic division** covers the production of major and small domestic appliances. Over the years, the home appliances division has also been involved in important collaborations (so-called "special projects"), relating to customisations/co-branding operations.

   The details of the division's two production lines are as follows:

- The Major Domestic Appliances line encompass a broad selection of refrigeration, cooking, washing, built-in and free-standing products;
- The Small Domestic Appliances line was launched in 2014, when the Group decided to differentiate its business by introducing products that could satisfy consumer needs in terms of quality and technology, while also adding value to the home environment through design as a distinctive element. Inspired by and reinterpreting SMEG's iconic FAB fridge, there are now 3 main product macro-categories in the Small Domestic Appliances line: breakfast products, food preparation products and coffee products.

2. the **SMEG Professional** division, introduced as a business line around 35 years ago, is devoted to meeting the needs of **catering** sector professionals and operates on the professional B2B market. This product range includes **professional dishwashers** dedicated to bars and restaurants, as well as **professional ovens** specifically for pastry making, bread making and catering. The technological expertise of this division in the design and development of products allows the creation of innovative solutions ensuring utmost comfort in the workplace;
3. the **SMEG Instruments division,** established around 40 years ago, is devoted to meeting the needs of professionals operating in the **hospital, laboratory, dental and care sectors**. The Smeg Instruments range includes washing, refrigeration and thermal disinfection products which offer cutting-edge hygiene and safety performance for both healthcare professionals and end users.

THE SMEG GROUP IN NUMBERS

Governance

B

CDP SCORE 2023
(CDP SCORE D in 2022)

€ 1.6 m

INVESTMENTS in products and processes to reduce environmental impacts

143

PARTICIPANTS in the materiality assessment update (including Top Management and internal and external stakeholders)

€ 789.5 m

ECONOMIC VALUE DISTRIBUTED, of which 77% to suppliers

People

2,480

EMPLOYEES
96.4% of which have a permanent, open-ended contract (+2.4% compared to 2022)

104%

TOTAL FEMALE/MALE REMUNERATION RATIO at Smeg S.p.A. (managers)

863

WOMEN EMPLOYEES
(+3% compared to 2022)

Environment

53%
Employees in the
30-50 AGE GROUP
(+4% compared to 2022)

21,358
TRAINING HOURS
delivered to employees of Group companies
(+43% compared to 2022)

181,558.82 GJ
ENERGY CONSUMPTION
(-5% compared to 2022)

-30%
ENERGY WITHDRAWN FROM THE GRID
for the Guastalla site, thanks to energy efficiency measures and the expansion of the photovoltaic system

9,484.53 tonnes
OF WASTE PRODUCED
(-12.3% compared to 2022)

96%
WASTE SENT FOR RECOVERY
(97% on 2022)

2,576,627 tonnes CO_2eq
SCOPE 3 EMISSIONS generated
(+10.6% compared to 2022)

11,108 tonnes CO_2eq
SCOPE 1 + SCOPE 2
(location-based) emissions generated
(-20% compared to 2022)

The Group Value Chain

From the development of product lines to the procurement of materials, to the production and ultimate use of SMEG products, the Group's value chain is characterised by the **centrality of Made in Italy**, by the superior **attention to quality**, and by the **versatility and speed of change** that allow the Group to bring new products to the market in rapid time.



DEVELOPMENT OF PRODUCT LINES

- Continuity between the company's history and tradition, and technological innovation
- Collaboration with internationally renowned architects
- Collaboration with iconic brands



PROCUREMENTS OF RAW MATERIALS AND COMPONENTS

- Selection and qualification of suppliers
- Receipt of goods
- Acceptance control



PRODUCTION AT PRODUCTION SITES

Smeg: the stages of oven production

- Cold forming and stamping
- Muffle forming/welding
- Enamelling
- Assembly
- Packaging



SHIPPING

- Transport to sales branch warehouses
- Transport to local importers, where there are no sales branches



SALES

- B2B/B2C customers
- Smeg stores
- Multi-brand retailers



USE PHASE

- Customer service
- Smeg authorised technical service network

QUALITY GATES

from the receipt of raw materials to product dispatch

With regard to the procurement phase of raw materials and components, the company follows its **"Acquisition of materials and services from external sources" procedure**, which defines the rules and responsibilities of the corporate functions involved in the search for and the assessment, qualification and management of suppliers.

Specifically, the purchasing process starts with market research, led by the Purchasing Department, which takes into account the technical specifications received from the component departments, including:

- the Design Department, for the technical designs and specifications of components and semi-finished products;
- Acceptance Control for all those technical specifications which have already been defined with reference to the product families of components to purchase;
- the Production Department and the Plant's Technical Services Department for technical information about the systems and installations, machinery and equipment.

During this phase, the Purchasing Department also works with the Group Quality Assurance and Control Manager, who is responsible for sending a **questionnaire** to suppliers to gather various procedural and organisational documents and information.

Based on the information received, if the supplier has implemented an adequate, efficient and reliable quality management system based on the standard UNI EN ISO 9001, as well as appropriate management systems for environment (UNI EN ISO 14001) and safety (UNI ISO 45001) relative to the products to be supplied, or if the supplier has already been certified by one of the Group's production companies, the Purchasing Department may simplify the process and certify that supplier directly[4].

In 2023, the Group's supply chain involved 980 suppliers (769 in 2022) who collaborated with the five production companies to provide the following types of supplies:

- raw materials and components for production;
- plants/installations, machinery and equipment for production;
- materials and services related to maintenance;
- materials and equipment for offices;
- consultants, certification bodies and laboratory test providers.

During the current year, the procurement spending by the operating companies reached 258.6 million euro[5], of which approximately 78% (55% in 2022) went to suppliers based in Italy.

The remaining percentage is accounted for by European and non-European suppliers.

Relationships with suppliers are established on the basis of trust, quality, competitiveness, professionalism and respect for the laws on fair competition. These aspects allow the Group to avoid making agreements with suppliers who have a questionable reputation with regard to the environment, working conditions and human rights. Details regarding how the social and environmental impacts of suppliers are managed is given in Chapters 4 and 5, below. In 2024 the Group set itself the goal of integrating the ESG compliance questionnaire into the FR95, the questionnaire sent out to potential suppliers during the qualification phase.

[4] Said simplification is not possible in the case of toll manufacturing on finished products.

[5] The total spending on procurement does not include the expenses incurred for investments (tangible and non-tangible assets).

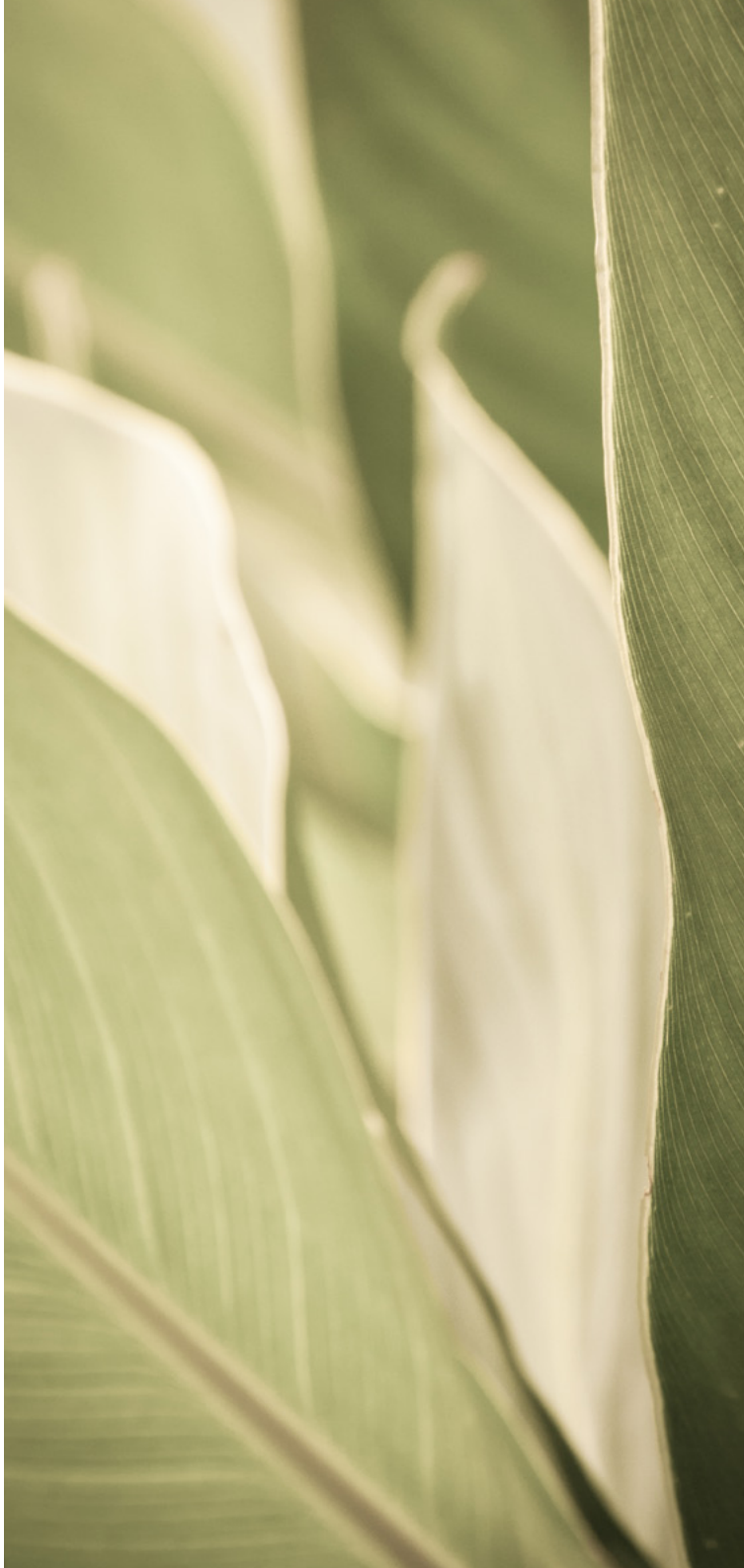
SUSTAINABILITY FOR SMEG

Sustainable innovation, technological transformation and interconnection are at the heart of the most recent regulatory developments being defined at a European level to ensure the reduction of negative impacts generated on the environment and the community. To this end, companies are called upon not only to increase their transparency with respect to the generation of their own externalities - both positive and negative - but also to welcome the opportunity to optimise and improve the efficiency of their environmental, social and economic performance.

In 2015 the Member States of the United Nations unanimously approved the **2030 Agenda for Sustainable Development**. The Agenda is comprised of **17 Sustainable Development Goals** (SDGs) and 169 related targets: it is an action plan that looks specifically to the **private sector as a key player**, considering the contributions it can offer to combat poverty, inequality and climate change.

Sustainability is a core value in the SMEG strategy: through the progressive assessment and integration of the environmental, social and governance aspects most pertinent to the Group and its stakeholders, SMEG aims to develop increasingly innovative technological solutions in order to maximise the efficiency of its processes and contribute to the sustainable development of the territories in which it operates. Product innovation and the ability to anticipate and respond to market demands are the factors on which the Group has decided to focus in order to strengthen the qualitative level of its offer.

In parallel with customer satisfaction, safeguarding the health and safety of workers and respecting the environment are two absolute priorities for the Group.



The priority impact areas for SMEG

When defining strategies and objectives on sustainability, it is essential to identify the priority areas in environmental, social and economic/governance terms that have the most impact on the Group and its stakeholders.

With this in mind, in 2023 the existing materiality analysis was updated in order to identify and to give priority to the sustainability matters deemed most relevant and important to the Group's business and its stakeholders.

The themes that emerged from the analysis, defined as "**material**" topics, are those most crucial to internal and external stakeholders in that they are able to influence their expectations and decisions regarding the organisation, and may also have significant environmental, social or governance-related impacts on SMEG's business activities.

In what is now the third edition of this reporting exercise, the materiality analysis once again focused on identifying and evaluating the priority issues for all of the company's stakeholders.

The 2023 analysis was conducted according to a **structured process based on the investigative phases** described below, and highlighted some **new aspects** over the previous edition.

Firstly, a desktop analysis focused on the existing **internal documentation** and on the context of reference in order to identify the main sustainability megatrends, i.e., the environmental, social, demographic and technological forces capable of transforming the world as a whole and the Group's economic sector of reference, and thus also able to impact SMEG's operations. This analysis was done by reviewing the documents produced by the main standard setters and international sustainability frameworks, publicly-available documents, articles and statistics, in order to identify the main issues potentially relevant to the Group and on which peers and competitors also tend to focus.

From this first analysis phase, 24 key topics emerged. These were then grouped **into 5 macro-areas of relevance for SMEG**: Identity and governance; Product responsibility; Economic responsibility; Environmental responsibility; Social responsibility.

Having identified a shortlist of potentially material topics, the Group decided to involve various parties - both internal and external - to assess each topic's **effective level of relevance**. Specifically, the following actions were taken:

- a **questionnaire was sent to the Group's Top Management** (Executives and Managers of the production companies and sales branches), in which they were asked to assess the proposed topics by assigning a relevance score based on a scale from 0 ("Not significant") to 5 ("Strategic") in order to obtain a representation from the Group point of view;
- a **dedicated questionnaire was sent to a selected sample of stakeholders** covering the following categories: employees, strategic suppliers of raw materials and components, and B2B customers. In this case too, recipients were asked to give a relevance rating on a scale from 0 ("Not significant") to 5 ("Strategic") in order to obtain the stakeholder point of view.

With reference to the Group's Top Management, 80 Executives and Managers from across the globe (64 from Italy and 16 from branches outside Italy) were involved, representing the various corporate functions and with a **response rate of approximately 90%**.

With regard to the sample of stakeholders involved, a total of 63 people were contacted, made up of employees, suppliers of raw materials and components, and B2B customers. **Approximately 83% of the recipients returned** their questionnaire.

On the basis of the evaluations returned by Top Management and stakeholders regarding the degree of relevance of each item presented in terms of the Group's ability to create value in the short-, medium- and long-term for the environment, for people and for society as a whole, the median of the overall scores provided was calculated.

Those issues which received a score equal to or higher than both the median value for Top Management and the median value for the stakeholders were classified as material topics for the Group and, therefore, were placed in the top right quadrant of the matrix.

In fact, the matrix consists of the plan defined by the two axes which represent the level of relevance of the various aspects by considering, respectively, the Group's point of view (x-axis) and the stakeholders' point of view (y-axis).

The materiality matrix produced as a result of the investigation was discussed and validated by the Sustainability Committee which confirmed the materiality of the **12 topics** (see "Responsible Management"). In this regard, it should be noted that the topics, "Made in Italy", "Action for the climate" and "Waste", despite not being identified as material topics by the scores assigned to them by respondents to the two questionnaires, were nonetheless assessed by the company's management team as being of strategic interest to the Group and, therefore, were integrated into the material topics for 2023.

The Group's 2023 materiality matrix



PRODUCT RESPONSIBILITY

- 1 Circular economy
- 2 Energy efficiency of products
- 3 Product safety and quality
- 4 Smart appliances and product connectivity
- 5 Made in Italy

SOCIAL RESPONSIBILITY

- 6 Support for the community
- 7 Talent acquisition and development
- 8 Safeguarding human and workers' rights
- 9 Diversity and equal opportunity
- 10 Occupational health and safety
- 11 Employee training and education

ENVIRONMENTAL RESPONSIBILITY

- 12 Action for the climate
- 13 Waste
- 14 Management of water resources
- 15 Energy
- 16 Sustainability and efficiency of resources

ECONOMIC RESPONSIBILITY

- 17 Attention to and collaboration with the supply chain
- 18 Research and innovation
- 19 Sustainable finance

IDENTITY AND GOVERNANCE

- 20 ESG governance
- 21 Ethics, integrity and compliance
- 22 Data security and protection
- 23 Risk management
- 24 Communication and responsible marketing

Topics beyond the materiality threshold (median) defined by taking into account all the topics

Topics of strategic interest for the Group, present in the previous materiality analysis but not in the 2022 update

Through planning and implementing the various initiatives, with reference to corporate identity and governance, and social, environmental, economic and product responsibility, the Group's contribution to sustainable development will be increasingly more concrete.

Indeed, the projects completed or launched in recent years are described below, with an indication of the relative impact on achieving the SDGs and with details relating to the specific targets underlying each SDG of reference for the Group.

The projects and initiatives listed are explored in greater depth in later chapters in this report.

	Initiatives and projects	Contribution to SDGs	Target to reference
Identity and Governance	2023		
	Implementation of the Code of Ethics, Model 231, and Speak Up and Whistleblowing Policy		16.5
	Periodic meetings of the Sustainability Committee	 	12.6 12.8 16.7
	Reporting on performance and impacts with regard to sustainability		12.6 12.8
	Participation in the CDP Climate Change questionnaire		12.6

	Initiatives and projects	Contribution to SDGs		Target to reference	
Environmental responsibility	2023				
	Progressive replacement of certain plastic components in Small Domestic Appliances	9	12	9.4	12.5
	Recycling used pallets to be placed back on the market	12		12.2	
	Energy efficiency initiatives (relamping, reducing the consumption of transformer cabins, replacing the fleet of company vehicles with hybrid/electric vehicles, improving the efficiency of inverters)	7	13	7.3	13.2
	Installation and expansion of photovoltaic systems	7	13	7.2	13.2
	Progressive transition towards an energy supply from renewable sources (electricity and methane gas)	7	13	7.2	13.2
	Project to reduce production waste	12		12.4 12.5	
	Carbon Footprint analysis and definition of a climate strategy	13		13.1 13.2	
	Creation of the "SMEG Forest" in Mezzani *and the "Reforest Action Project"* of Smeg France	13	15	13.1 13.2	15.1 15.2 15.5

	Initiatives and projects	Contribution to SDGs		Target to reference	
Social responsibility	2023				
	Talent attraction at the local level	8		8.5 8.6	
	Training programmes and professional growth courses (including job rotation/ development and MBO programmes)	4	8	4.4	8.5
	25% women in management positions in the Group 42% of women among new hires in the last three year period	5	16	5.1 5.5	16.7
	Greater part-time employment solutions, as a percentage, than that envisaged by the collective bargaining agreement of reference	8	10	8.5	10.2
	Calculation of Gender Pay Gap	5	8	5.1	8.5
	Speak Up and Whistleblowing Policy	10	16	10.2	16.b
	Goal of zero accidents	3	8	3.6 3.9 3.c	8.8
	Promotion of employee health (nutritional standards, ban on smoking at company locations, treatment and prevention solutions for osteoarticular and musculoskeletal disorders, prevention of oncological and cardiovascular diseases)	3		3.4 3.8 3.a	
	Promotion of employee well-being (corporate welfare)	8	10	8.5	10.2

	Initiatives and projects	Contribution to SDGs		Target to reference	
Product responsibility and economic responsibility	2023				
	Energy efficiency of Smeg products (reaching class A++ for Galileo ovens; 90 cm oven cavity)	7	9	7.3	9.4
	Eco-design of products (LCA studies on the packaging used for small and major domestic appliance packaging; manual on designing packaging solutions with a low environmental impact)	9	12	9.4	12.5 12.8
	Regulating the use of potentially hazardous chemical substances (List of substances which are prohibited or whose use is restricted)	12		12.4	
	Product use and accessibility (silicon mat for induction hobs for visually impaired people)	10		10.2	
	Use of FSC Mix paper to print instruction booklets, warranty booklets and product packaging	12	15	7.2	15.2
	Slim version of product manuals and use of QR Codes to reduce the amount of paper used	12	15	12.2 12.4 12.8	15.2

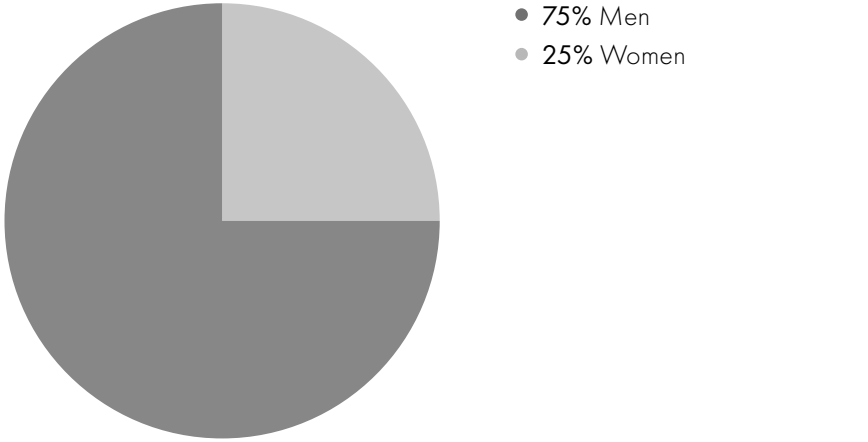
RESPONSIBLE MANAGEMENT

The Corporate Governance model adopted by the Parent Company is the traditional type and consists of the following bodies:

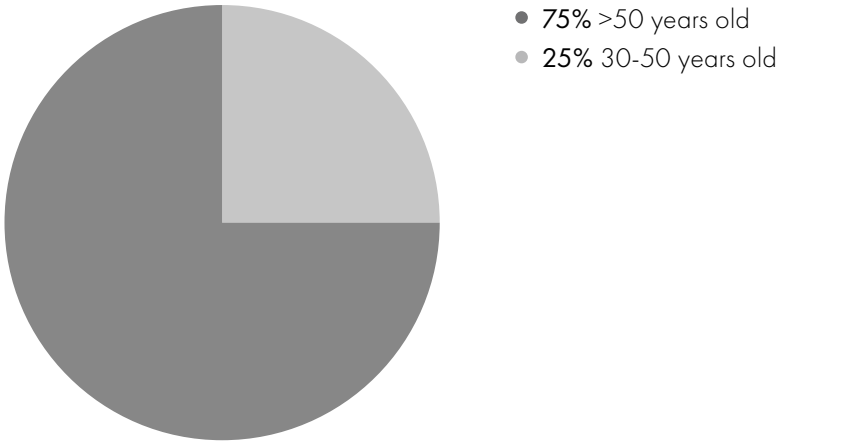
- the Board of Directors (BoD), which has strategic policy-making powers for the proper and efficient management of the Company;
- the Chief Executive Officer (CEO);
- the Board of Statutory Auditors, as a control body, composed of 3 standing auditors and 2 substitute auditors;
- a Supervisory Board (SB)[6] vested with independent powers of initiative and control, and responsible for supervising the functioning, observance and regular updating of the Organisation and Management Model pursuant to Italian Legislative Decree no. 231/2001 (hereinafter, the "Model 231").

Specifically, the current BoD - appointed in 2021 and in office until the approval of the statutory financial statements as of 31.12.2023 - is composed of 4 members, of which 2 are independent directors (non-shareholders).

COMPOSITION OF THE SMEG BOARD OF DIRECTORS, BY GENDER



COMPOSITION OF THE SMEG BOARD OF DIRECTORS, BY AGE GROUP



[6] Present in all the Group's production companies with the exception of Fri.Med, where it is due to be established in 2024

The progressive integration of sustainability into the business is also achieved through the formalisation of an internal governance structure which provides for specific mandates and responsibilities to be conferred with regard to environmental and social matters.

Specifically, in 2020, upon the CEO's initiative, the Sustainability Committee was established. It is made up of the leading production and sales lines and has investigative, propulsive and advisory functions on sustainability issued and initiatives related to business operations.

The members of this Committee are:

- the Chief Financial Officer (CFO), who is responsible for supervising the projects and actions taken to promote a corporate culture and a business approach aimed at sustainability from a financial point of view;
- the Chief Operating Officer (COO), who is responsible for integrating the new projects into existing operations;
- the Brand Manager, who focuses on product innovation and the business strategy;
- the Sustainability Coordinator who provides the team with technical expertise;
- other managerial roles from different departments (including legal, product management and finance).

The Committee receives the results from the activities carried out by SMEG's internal operational team - which includes the Sustainability Coordinator - responsible for managing sustainability projects. In 2023, the results achieved and presented in the previous edition of the Sustainability Report, the score achieved in the CDP Climate Change questionnaire, and the outcome from the materiality assessment update were presented and discussed for sustainability reporting purposes and for the projects linked to the environmental aspect of sustainability (including the results from the carbon footprint analysis, the installation of photovoltaic systems, the reforestation project and the desire to extend energy purchases from renewable sources to sales companies in Italy and abroad).

The Committee, through the CEO, updates the BoD on the progress of projects undertaken in the social and environmental sphere, as well as on the development of reporting on the company's sustainability performance.

Of the members of the BoD, approximately 50% actively participate in sustainability activities. Specifically, the CEO is the person with the highest responsibility for sustainability issues, including aspects related to climate change. In fact, in consultation with other members of the BoD, the CEO identifies the main goals in this area and commits the Group to achieving the most relevant SDGs in terms of direct contribution (through the company's own operations) or indirect contribution (through established business relationships) which the Group can make to the 2030 Agenda.

From the point of view of sustainability reporting, the BoD is responsible for verifying and approving the content of any reports.

Committees have also been created at other companies in order to coordinate and manage social, environmental and economic aspects within each individual company.

During the year in question, the Parent Company also increased its awareness-raising activities at its subsidiaries regarding the implementation of a shared initiative to improve the Group's sustainability performance. This was possible, first of all, thanks to the development of processes associated with the preparation of the Sustainability Report and the assessment of the carbon impact of the Group's direct and indirect operations, providing for more direct engagement, not only from other production companies (more organised from the point of view of data and information collection), but also from sales branches, both in Italy and abroad.

Nevertheless, SMEG recognises that embarking on a path as challenging as this one presents certain obstacles along the way, in particular with regard to companies outside Italy where the specifics of the local situation need to be dealt with and which can, sometimes, require a greater effort to achieve full harmonisation at the governance level and in terms of strategic direction.

At the same time, though, an initial mapping of the level of progress achieved in monitoring the individual entities, with respect to sustainability, has highlighted some situations of elevated sensitivity and attention, which are also seen in the specific initiatives described in the chapters which follow.

Further education and awareness-raising activities on this topic were carried out during the presentation of the results from the carbon footprint analyses done on data from 2022, which included managerial figures (in Italy) who were directly involved in the work.

SMEG's goal is, therefore, to move towards a **greater level of harmonisation in overseeing sustainability efforts at the Group level**. This will be achieved through a progressive and more consistent engagement with the various branches in order to promote and share a culture of sustainability across the board.





COMMUNICATING WITH STAKEHOLDERS

The Group aims to consolidate a corporate culture that focuses on creating shared value with stakeholders, as can be seen in the stakeholder engagement activity carried out in 2023.
(see *"Sustainability for Smeg"*).

Also in 2023, the Group revisited the mapping of its priority stakeholders and communication channels which were implemented in order to properly manage the relationship with each one of them.

The process through which key stakeholders are identified is based on three main criteria:

- the level of interest and dependence potentially manifested by said parties for the Group's activities;
- the degree of **influence** they exert over company decisions and strategies;
- the existence or otherwise of **contractual or legal obligations** in relations with such parties.

The following infographic shows the priority stakeholder categories thus identified - which are confirmed with respect to the results from the mapping exercise carried out last year - as well as the channels of interaction most frequently used by the departments responsible for communicating with each of them.

The Group's stakeholders and communication channels

PRIVATE CUSTOMERS

- Internet site (E-Commerce) and social media channels
- Smeg Stores
- Technical support
- Customer service

B2B CUSTOMERS

- Internet site
- Visits to the customer's site or vice versa
- Discussions with relevant organisational structures
- Business meetings (face-to-face or held virtually) to share information on market trends, news in terms of products and services, etc
- Questionnaire compilation request - CDP Climate Change

CREDIT/INSURANCE INSTITUTIONS

- Internet site
- Daily communication (verbal, by email, by certified email, etc.) with relevant organisational structures
- Periodic meetings with relevant organisational structures

COMMUNITY AND REGION/PUBLIC ADMINISTRATION

- Internet site
- Organisation of events
- Participation in trade fairs and events organised by third parties
- Participating in trade and institutional discussions

EMPLOYEES

- Internet site
- HR portal
- Internal communication programmes
- Dialogue with company Unitary Trade Union Representatives
- Training courses
- Dedicated channel and email address for 231 reports

SUPPLIERS

- Internet site
- Discussions with relevant organisational structures
- Activities relating to the supplier evaluation and qualification process
- Technical visits and periodic meetings (face-to-face or held virtually)
- Audit

UNIVERSITIES AND RESEARCH CENTRES

- Curricular internships
- Participation in Open Day initiatives
- Collaborative studies and research projects

TRADE ASSOCIATIONS

- Periodic meetings and gatherings

SMEG Corporate Training Europe-Italy 2023

Also in 2023 - as per every year since 2017 - two days of inductive training were held in the main site in Guastalla (RE) for all new employees of the Group's European branches and of the Parent Company.
The two-day programme is rich in stimuli, inspiration and ideas designed to help new hires to fully appreciate and embrace the company's values.

The organisation of this event represents an important opportunity for discussion between the various entities that make up the Group and for personnel to be actively involved.



3

BUSINESS CONDUCT

Transparency and ethics	40
Risk management	46
Shared value	48



CHAPTER PRESENTATION



GRI 2-23, GRI 2-26, GRI 2-27, GRI 2-28, GRI 201-1, GRI 207-1, GRI 207-2, GRI 207-3, GRI 207-4, GRI 3-3, GRI 205-2, GRI 205-3, GRI 418-1

MATERIAL TOPICS

- Ethics, integrity and compliance
- Safeguarding human and workers' rights
- Data security and protection

REFERENCE STAKEHOLDERS

- Employees and Suppliers
- B2B Customers and private customers

RISKS

- Reputational and financial risks related to the possible ascertainment of violations and the consequent application of sanctions due to unethical behaviour (for example, corrupt actions, fraud, and other behaviour that may have an unethical component), which could potentially alter the Group's operational prospects and market presence.
- A lack of efficient sustainability governance to oversee the progressive integration of environmental and social aspects in the Group's business model.
- Failure to align with the principles established and the rights protected through the Group's Code of Ethics.
- Geopolitical instability, with consequent potential impacts in relation to safeguarding human rights, which could have repercussions on procurement decisions as well as end customers' buying decisions.

OPPORTUNITIES

- Implementation of robust governance practices in order to mitigate the risk of legal and regulatory violations on the matter of business ethics and anti-corruption, thus limiting exposure to regulatory sanctions and consequent impacts on brand value and identity.
- Strengthening of the perception and internal and external image of the brand as a result of responsible, transparent conduct attentive to the progressive integration of environmental and social sustainability aspects into strategic and operational business choices.
- Indirect reduction of running costs in the medium-long term thanks to the adoption of sustainability principles and logics for the running of the business.
- Careful, transparent and responsible management on the part of all actors in the Group's supply chain makes it possible to understand, mitigate and remedy the social and environmental impacts indirectly generated by the Group.

POLICIES, PROCEDURES AND OTHER RELEVANT DOCUMENTS

- Code of Ethics
- Model 231
- Speak Up and Whistleblowing Policy
- Privacy Policy

TRANSPARENCY AND ETHICS

The Group's corporate culture and approach to business are inspired by the fundamental values of integrity, trust, transparency, sharing - not only of information, but also knowledge, skills and professional experience - team spirit, solidarity, and responsibility to the local area.

In order to continue to correctly apply these values in the Group's daily activities, certain corporate documents and procedures have been adopted which provide for a clear, shared vision of the principles and rules of conduct which need to be observed in order to comply with applicable legislation and in order to safeguard the interests of stakeholders.

The value framework, principles and rules of conduct on which the Group's work is founded are contained in the Code of Ethics[1], aimed at all of the Group's employees, without exception, and shared externally with the main stakeholders.

In fact, through the application of specific contractual clauses, compliance with the Code of Ethics, adherence to relevant anti-corruption legislation and refraining from any conduct incompatible with these obligations constitute an essential condition to the establishment and the continuation of every relationship the Group has with suppliers, business partners, customers and Public Administration entities. Employees are provided with the Code of Ethics, along with other company documentation, during the hiring process.

The purpose of adopting the Code of Ethics is therefore threefold:

- to establish a standard of conduct aimed at preventing the commission of offences connected with SMEG's operations or in any case in the interest or to the advantage of the Group;
- to identify suitable internal control measures and instruments in order to monitor compliance with the Code itself;
- to create value.

[1] The Code of Ethics is available to the public at www.smeg.com, under the Legal area.

The Code of Ethics is an integral part of the Model 231 adopted by the Parent Company and its production companies[2]. Within the scope of the aforementioned document, predicate crimes have been classified - into groups and sub-groups on the basis of the affinity in the respective implementation methods - in application of Italian Legislative Decree no. 231/01 In 2023, at the company La Pavoni, a process was launched to adapt and simplify the model to better suit the specific characteristics of the company.

Specifically, Model 231 identifies so-called "sensitive areas"[3], that is, company processes that involve activities potentially exposed to the commission of the aforementioned offences, or for which, despite there not being a direct risk of offences being committed, controls are adopted for the purpose of prevention. In 2023 the section on predicate crimes was updated.

For those sensitive areas identified, specific control principles[4] and consequent application measures for them are defined in order to ensure that:

- each operation, transaction and action is verified, documented, consistent and congruous;
- each company process is managed by several parties;
- each control is documented by a reporting system.

The SB is entrusted with the task of overseeing compliance with the Code of Ethics and Model 231, responsibly and impartially, while all recipients of these documents are obliged to report to the above body any violations or suspected violations of the provisions contained therein of which they become aware.

In 2023 the composition of the SB was renewed, confirming the position of chair and introducing two new members. The new members were then given time to conduct an in-depth review of the documentation, which was followed by various amendments to the relative regulation. The SB also held a training initiative focused on the two predicate crimes that could potentially affect the two new corporate functions: quality and procurement.

[2] The Model 231 is not yet applicable to the company Fri.Med, the latest production company in the Group which was acquired in 2022.

[3] A corporate process is defined as "sensitive" when it involves at least one activity in the context of which a crime could be committed. Also considered sensitive is any process within which, despite there not being a direct risk of offences being committed, controls are adopted for the purpose of prevention.

[4] In alignment with Confindustria Guidelines.



Furthermore, a specific internal information channel was established - which can also be accessed by the Group's suppliers and partners as recipients of the documents described above - for reports of known or suspected breaches. The channel can also be used to report any other operating irregularity or anomaly or any suspicious behaviour that might constitute a crime ascribable to employees, business partners, suppliers or third parties involved in a Group activity.

Moreover, persons holding senior positions are required to send information flows on a six-monthly basis to report any violations of the Code of Ethics and Model 231.

This method of oversight was also made possible thanks to the transposition of Italian Law no. 179 of 30 November 2017, which supplemented Model 231 through the adoption of a "Speak Up and Whistleblowing Policy" and the establishment of a reporting channel for any problems, risks, and potential wrongdoing, including on the matter of anti-corruption. The Policy guarantees anonymity and protection of the whistleblower.

In 2023 the reporting channel was extended to all European companies of the Smeg Group in order to provide a single, shared tool that can be used to submit reports directly to the SB.

Next steps

	STATUS
Greater simplification of company processes, in line with the specific nature of the individual companies making up the Group (for example, the industrial supplier management process)	●

● On track ● Work in progress

The Group's approach to taxation

Ensuring information is transparent and complete are two values which permeate the Group, as enshrined in the Code of Ethics. These values can be seen in how institutional activities are carried out, how the financial resources used are managed and in the consequent reporting and/or recording of accounting data.

The Group's approach to taxation does not follow a formalised tax strategy: it is done through recommendations made to Group companies to pay attention to compliance with local tax regulations and to act responsibly within the various legal and tax regimes, in the belief that the contribution realised from the taxes paid is a form of active participation in the economic and social development of the regions and countries in which the Group operates.

Relationships with tax authorities are based on the principles of correctness and cooperation.

As regards the Italian subsidiary companies, those which are 100% controlled[5], together with Smeg S.p.A., operate under a tax consolidation agreement signed for the first time in June 2008, which allows them to:

- offset any tax losses incurred by a company covered by the tax consolidation agreement with the taxable profits made by other companies covered under the same agreement;
- deduct from the consolidated taxable income, under certain conditions, interest payables that are non-deductible from the taxable income of the individual company because they exceed the limit established in Article 96 of the TUIR (Italian Consolidated Income Tax Act);
- deduct from the consolidated taxable income any excess notional return on new equity transferred by the consolidated companies to the parent company (Allowance for Corporate Equity - ACE).

The existing tax consolidation agreement is valid for the 2023, 2024 and 2025 financial years and, at the end of the current three-year period, will be tacitly renewed every three years, unless revoked. Italian subsidiaries that have not signed the tax consolidation agreement follow the standard tax regulations as distinct tax entities from the Group.

As for subsidiary companies outside Italy, the Group has signed an "Advance tax agreement for enterprises with international activities" with the Italian Revenue Agency (Agenzia delle Entrate or "AdE") to regulate their relationship with the Italian authority[6]. This agreement establishes, taking into account the Group's structure and the risks faced by each entity as well as the activities provided by the parent company to the subsidiary companies outside Italy, the best methods for determining the most appropriate free competition prices in order to evaluate the transactions with the various Group companies operating under different tax regimes.

Without prejudice to the full autonomy of the Parent Company over commercial policies, to define the taxable base of direct taxes for each tax year covered by the agreement Smeg calculates the value of operations/transactions regulated by the agreement according to the methods and criteria established therein. Furthermore, any changes made during the validity of the agreement are notified to the Italian tax collection agency and the documents required for verification by the same are duly prepared.

The Group's fiscal strategy is a direct result of the consolidated tax agreement signed by the Group's Italian companies and the agreement signed with the Italian Revenue Agency which regulates relations with non-Italian subsidiaries.

[5] i.e., Every Italian company except Fri.Med S.r.l., Verinox S.r.l. and Inea S.r.l.

[6] The agreement is unilateral and has no effect on local collection agencies in the various countries in which the Group operates.

Within the Parent Company, tax activities are managed by directly involving the following governance bodies and executive parties:

- BoD;
- CFO;
- Administration and Finance Department.

No formal or regular assessment processes for compliance with tax regulations have been implemented. However, each company is in constant contact with their external tax consultants in order to ensure correct and timely compliance with the relevant tax regulations, as well as with the agreements signed by the Parent Company and by other companies in the Group.

The Group also makes use of external consultants who are specialists in the field of taxation in the regimes in which the Group operates. These consultants help the Group identify the tax risks to which it is most exposed and help define the activities to carry out in order to mitigate these risks in the most effective way possible.

All the Group's financial statements are subject to audits by an external auditor.

For the Parent Company and the main subsidiaries, the audit is conducted by a leading firm in the sector. In countries where the audit is required by law (including Italy, where the Parent Company is registered), the independent auditor also reviews the tax calculation and main tax aspects.

The external audit process provides an opportunity to review current, emerging and potential tax risks and to share and define the most appropriate and effective policies to mitigate them.

In Italy, the tax calculations made after the close of the financial year are audited and signed by the person in charge of the statutory audit according to the regulations in force.

The Smeg Group has signed a tax consolidation agreement with almost all of the Group's Italian companies, as well as a prior agreement with the Italian tax collection agency.

The tax consolidation agreement was filed according to law and therefore disclosed to the Italian Revenue Agency. This will also be the case at each renewal.

As regards the transfer pricing agreement for transactions with entities outside of Italy, the Company periodically notifies the Italian Revenue Agency of any changes made since the date of the agreement, and makes available a series of documents provided for in the agreement in order to allow for the verification of compliance with the parameters agreed upon with the Italian Revenue Agency, according to the terms and procedures set forth in the agreement.

Furthermore, in order to facilitate any compliance review that the Italian Revenue Agency may wish to conduct with regards to the agreement, the Company, at the specific request of the Agency, also undertakes to:

- prepare and make available to the Agency any documentation or information required for the audit;
- provide access to Agency officers, subject to prior request and agreement.

The Company therefore aims to maintain a constant and collaborative relationship with the main stakeholder in order to review any tax concerns and take an active involvement whenever necessary.

Any irregularity from a tax point of view can be reported through the mechanisms provided for by the Group's "Speak up & Whistleblowing Policy". Through this policy, internal and external recipients of the document can report possible crimes, offences or any form of irregular conduct. It should be noted that, to date, no reports of this type have been made. More information regarding the Group's tax reporting is given in the Annexes to the report (see "Insights").

Safeguarding human rights

Non-discrimination and condemnation of any form of workplace harassment, protection of freedom of association, occupational health and safety, fair working hours and remuneration, dignified and respectful treatment of workers, promotion of training, and safeguarding the confidentiality of information: these are the human rights that are enshrined and safeguarded by the Group's Code of Ethics.

Chapter 4, which focuses on the management of the various stages of the Employee Life Cycle, describes the activities brought forward by the Group to protect its personnel, whether direct or indirect, in respect of fundamental human and labour rights. With reference to the supply chain, all suppliers must acknowledge and accept the Group's Code of Ethics and the Model 231, including, specifically, the prohibition of engaging in any kind of "illegal work"', whether undeclared or irregular, forced, child labour, and any other conduct involving offences against the individual.

The Code of Ethics states that all working relationships must begin with a regular contract and that all employees must be comprehensively informed of the rights, duties and obligations arising from said contract (more details on the contractual documentation shared with the Group's suppliers is provided in Chapters 4 and 5, respectively with reference to social and environmental implications).

The Group expects suppliers and employees to adopt legal and ethical behaviour in line with international standards and procedures on the treatment of workers.

Any behaviour that diverges from these provisions is considered a serious breach of the duties of correctness and good faith in the execution of a contract, detrimental to the relationship of trust with the Group, and just cause for terminating a contractual relationship.

As regards B2B customers and private customers, the protection of personal data is considered not only a matter of legal compliance with data protection regulations[7], but also a fundamental value of the Group's business.

For this reason the Group works to provide all the information that might help various users protect their privacy and to monitor the use of their personal data in the following situations:

- when browsing the websites of the Group companies;
- in relation to the purchasing experience online (E-Commerce Privacy Policy) and/or in store;
- in relation to the job application process through the "Jobs and careers" section of the Smeg S.p.A. website or by sending a Curriculum Vitae (CV) to a company email address.

For each of these cases, a dedicated email address has been created through which recipients of the Privacy Policy can exercise their rights (e.g., if there is a need to modify any personal information or to revoke any consent given to process such information).

In the event of a breach of these data protection provisions, the Group shall promptly inform the appropriate Data Protection Authority and shall work with them to resolve the issues connected to such a breach.

In this regard it should be noted that, over the three-year period covered by this document, no breach and/or leak, theft or loss of personal data - whether of a customer or an employee employed by the Group - has been reported.

[7] Regulation (EU) 2016/679.

RISK MANAGEMENT

The Group's business activities and strategic decisions follow a responsible and practical approach which has proven effective in safeguarding against the specific risks linked to Smeg's activities, not only from a financial perspective[8] but also in terms of prevention, occupational health and safety, and environmental protection. Thanks to its deep and comprehensive understanding of the sector and constant dialogue with stakeholders, the Group is able to identify actual and potential risks and opportunities in the short and long term.

Specifically, the main risks associated with sustainability are monitored through the adoption of specific measures. These include the Code of Ethics, which serves as the reference deontological framework, the Model 231, and the Quality, Safety and Environment Management System, which is responsible for identifying the functions involved in monitoring and safeguarding against reputational and operational risks relating to activities within their remit.

The types of financial and sustainability risks identified are summarised below. The correlation of the risks to the Group's material topics is given at the start to each Chapter, where relevant.

[8] i.e., with regard to the information required by Article 2428, paragraph 2, number 6-bis of the Italian Civil Code.

Financial risks

- Credit risk
- Liquidity risk
- Risks of cash flow variations
- Exchange rate risk

Risks related to material topics

IDENTITY AND GOVERNANCE

- Reputational and economic risks due to unethical behaviour.
- Risks related to the lack of any formalised control for sustainability management.

PRODUCT RESPONSIBILITY

- Risk of product non-conformities in terms of quality, safety and functionality.
- Risk of non-alignment with regulatory developments, particularly with regard to the introduction of new bans or restrictions on the use of certain substances deemed hazardous.
- Risks linked to maintaining the quality of new, technologically complex products.
- Risk of lack of communication to customers on product sustainability.
- Risk of lack of end-consumer awareness regarding the correct use of the product and consequent negative environmental and social impacts.

ECONOMIC RESPONSIBILITY

- Risk of lack of transition to a responsible approach towards investments able to generate a positive impact on society and the environment. Risk of scarcity of raw materials and an increase in price due to the effects caused by exogenous factors on the market.
- Risk of lack of supplier differentiation Risk of long and uncertain delivery times for some types of supply.
- Risk of geopolitical instability with repercussions on procurement and purchasing decisions.

ENVIRONMENTAL RESPONSIBILITY

- Risks associated with increased costs of transition to eco-friendly materials.
- Risk of inability to offer technologically advanced and energy-efficient products to the market, with repercussions on the end-customer base.
- Risk of generating environmental damage from company activities, resulting in business interruption, damage to the corporate image and administrative or criminal sanctions for the Group.
- Risk of increasing exposure to regulatory constraints and relative operating costs if the carbon footprint is not reduced.
- Risk of increasing exposure to regulatory constraints and relative operating costs if the carbon footprint is not reduced.
- Economic and financial risks related to climate change events.
- Risk of longer journey times for logistics as a result of choosing more sustainable transport solutions (sea, intermodal).
- Loss of local biodiversity.

SOCIAL RESPONSIBILITY

- Risk of inability to manage and incentivise employees resulting in demotivation, declining productivity and erosion of value of the Group's human capital. Risk to occupational health and safety.
- Risk of loss of social licence to operate by the local community.

SHARED VALUE

Much like 2022, 2023[9] was characterised by a declining trend in the major domestic appliances sector, while growth was recorded in the small domestic appliances sector. The downwards trend is attributable to a fall in demand, in turn caused by market saturation and increased demand for built-in products. In contrast to previous years, however, decisions to purchase a new domestic appliance to replace one that no longer works grew, while upgrades to products that still work fell.

With a 1.2% increase in volume, equating to a 5.3% increase in value, washing machines showed the strongest performance, with the launch of increasingly efficient models with lower energy impact. The increased demand was also accompanied by rising prices due to inflation, causing the average product price across the line to rise and, consequently, increasing the market value. The refrigeration category saw a downwards trend (-3.9% in volume but +1.8% in value) due to a fall in freezer sales and declining demand for large refrigerators. As for major domestic appliances, cooking appliances saw a positive trend with a 5.4% increase in value, driven by hood sales. Meanwhile, the built-in sector recorded a slowdown in demand across the various categories due to strong inflation.

The small domestic appliance sector closed the year with a 0.3% increase in value and a 1.4% decrease in value. The sector was supported by the home and kitchen segment, which grew in value by 1.1% and 1.2% respectively, while the personal segment recorded a decline in both value (-1.8%) and volume (-4.0%).

[9] The data that follows has been re-analysed starting from the analysis of market trends in 2023 by GFK

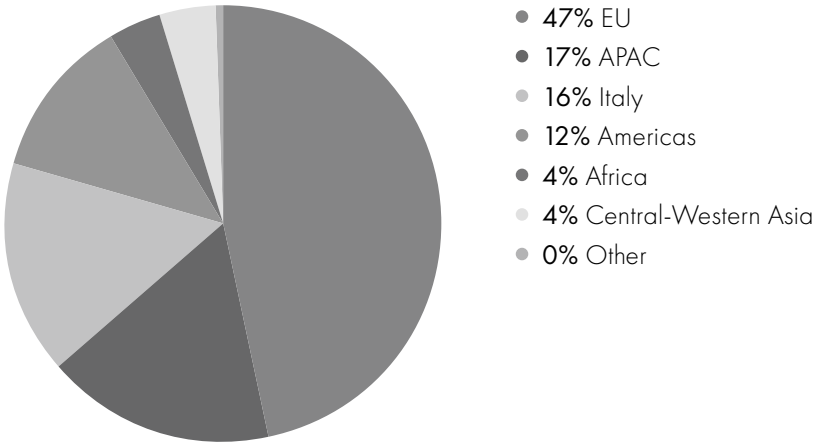
At Group level, turnover fell in 2023 to 855.5 million euro (-7.9% compared to 2022), with 84.5% coming from exports and the remaining 15.5% coming from sales in Italy.

As regards product type, 62% of turnover[10] is attributed to major domestic appliances, followed by small domestic appliances with a share of 29% of the consolidated turnover.

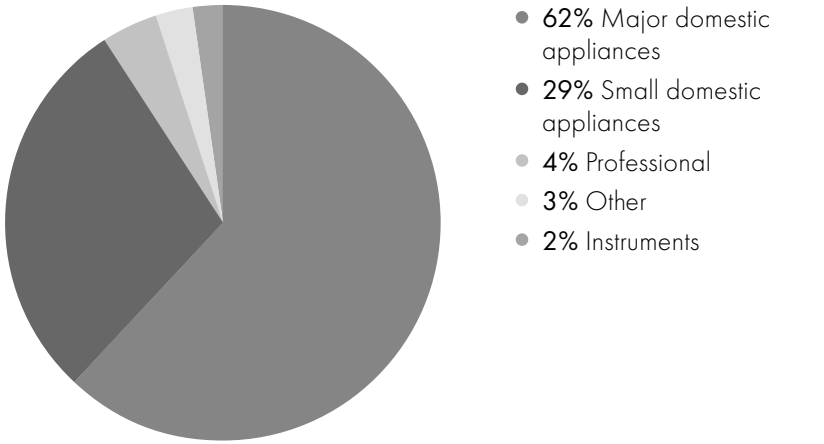
Investments in industrial activities, as well as in R&D, continued in 2023 with the aim of increasingly consolidating the production structure, creating new products and innovating. Added to these investments are ones aimed at achieving greater efficiency whilst respecting the environment and safety in the workplace.

Specifically, the drive towards ever better safety levels along the production chain has led SMEG to invest, year after year, in the most advanced technologies and to carry out ever more stringent and ever more reliable safety tests.

GROUP TURNOVER IN 2023, BY GEOGRAPHICAL AREA



GROUP TURNOVER IN 2023, BY DIVISION



[10] *Rebates* are included.

Some of the investments made in 2023 are summarised below. They highlight the Group's desire to reduce the generation of negative impacts and to amplify the positive ones.

For example, with regard to environmental responsibility, the production companies invested a total amount of approximately 1.6 million euro to reduce their environmental impact. These investments were mainly focused on the transition to certified renewable energy resources and on the expansion of photovoltaic systems at production locations.

To highlight the Group's ability to generate wealth to the benefit of its main stakeholders while ensuring cost-effective management and meeting the expectations of said stakeholders, the economic value generated is shown below, highlighting the portion distributed to stakeholders and the remainder retained internally by the Group[11].

In 2023, compared to the previous year, an increase was recorded in the contribution of the economic value distributed by the Group to stakeholders against the total economic value generated (90% in 2023 against 89% in 2022).

The breakdown of the economic value distributed shows, in particular, that the largest share (77%) went to suppliers (of goods and services), followed by 18% given to employees, and approximately 2% paid to the Public Administration (in the form of income tax and non-income tax payments) and investors.

The retained economic value, determined by the difference between the economic value generated and the economic value distributed, represents on the other hand the financial resources dedicated to the Group's economic growth and asset stability, as well as the creation of new wealth to the benefit of stakeholders. This amount, which was 10% of the economic value generated in 2023, should be considered the amount which, each year, is allocated to maintaining the Group's efficiency and its consequent long-term sustainable development.

[11] The detailed reclassification of the 2023 profit and loss account into generated, distributed and retained economic value is presented in the "Annexes to the Report" section.

Economic value directly generated by the Group and distributed to the main categories of stakeholders 2023



An active role for the territory

As an economic operator having a local, national and international impact, SMEG contributes proactively to the social, economic, occupational and environmental development of the areas of reference and to the well-being of the communities therein.

The Group takes its responsibilities towards the community seriously, drawing inspiration from the values of solidarity and dialogue with interested parties and in respect of the internationally recognised standards and rights regarding the protection of fundamental rights.

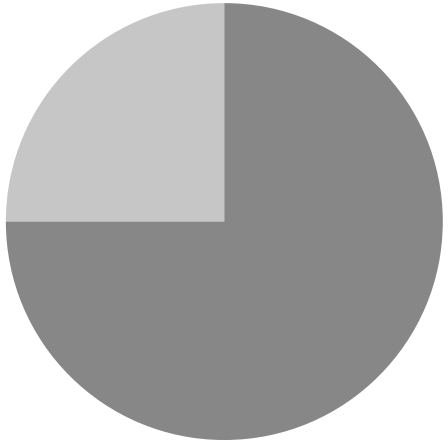
The ways in which the Group acts in the areas in which it operates are expressed through sponsorships and donations in favour of local initiatives and associations that work as facilitators to improve social, environmental and cultural aspects in the area.

In particular, the Group focuses its commitment on the following fields of action, where the link between adopting a business approach that benefits social and regional aspects, and the world of culture and art, is always clear:

- support for charitable organisations, both national and international;
- participation in projects to restore and add value to the area's artistic, cultural and architectural heritage;
- sponsoring social-cultural activities, including, by way of example: support for a local nursery school with an adjoining kindergarten, in order make childcare easier for the Parent Company's personnel, and the provision of services connected to working hours and the production calendar (including in summer);
- collaboration with associations involved in sports and youth activities;
- support for charitable organisations, both national and international;
- the development of important campaigns to support local hospitals, through the donation and funding of apparatus and technological equipment for diagnosis and
- prevention, as well as the sponsorship of research activities on rare diseases and cancers in collaboration with the Reggio Emilia Oncohaematology Centre (CORE)

Again in 2023, various Group companies[12] supported charitable initiatives in favour of various associations and contexts, both nationally and internationally.

DONATIONS IN 2023, BY COMPANY TYPE



- **75%** Production companies
- **25%** Foreign commercial companies

The partnership with TEDxReggioEmilia continued with the "TRANSFUTURIBILE" event held on 2 December 2023 at the Ariosto Theater in Reggio Emilia, with a discussion focused on ethics and humanity.

In the summer of 2023, employees of the SMEG Ukraine branch and their family members with authorisation to leave the country were invited by SMEG to spend two weeks in Rimini on the Riviera Romagnola to enjoy a moment of peace and tranquillity during what is a challenging period for their country.

SMEG's active role in the territory is also manifested through its membership to several national and local associations, including:

- Unindustria Reggio Emilia (Confindustria);
- APPLiA Italia, the industry association that handles relations with Italian and European institutions and other sector stakeholders. The association participates in technical and legal round tables of national and internal committees and contributes to economic studies and scenario analyses. Along with Confindustria, it also helps to develop new industrial policies to strengthen the competitiveness and sustainable development of manufacturers in the sector and of Italy's economic system in general.
- APPLiA EU – European industry association, of which Smeg has been a member since 2018, which comprises various work groups focused on specific thematic areas. SMEG participates in many of these groups through its personnel, each one of whom is responsible for monitoring their own specific area of expertise.
- EFCEM Italia, the Association of Catering and Hospitality Equipment representing companies in the professional sector;
- KILOMETROVERDEPARMA, a project adhered to by SMEG in 2021 as an ordinary member. More information is given in Chapter 5 (see "Preservation of natural diversity");
- Fondo Ambiente Italiano (FAI), the Italian Environment Fund, which SMEG sponsors.

[12] Included are all the production companies and commercial distribution companies: SMEG Australia, SMEG Belgium, SMEG Germany, SMEG Nordic, SMEG Portugal, SMEG France, SMEG Netherlands, SMEG Poland, SMEG Russia, SMEG South Africa, SMEG UK, SMEG Canada, and SMEG USA.

Guastalla Half Marathon 2023 – Third Edition

A day in pursuit of sport, shared experience and solidarity organised by SMEG with support from the Municipality of Guastalla, with the aim of raising awareness about cancer prevention and treatment. The proceeds generated from the registration fee are donated to associations that provide care and treatment to cancer patients, carry out cancer prevention activities, and promote sport among young people.



4

PEOPLE

Talent acquisition	64
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CHAPTER PRESENTATION



GRI 2-7, GRI 2-8, GRI 2-30, GRI 3-3, GRI 401-1, GRI 401-2, GRI 403-1, GRI 403-2, GRI 403-3, GRI 403-4, GRI 403-5, GRI 403-6, GRI 403-7, GRI 403-8, GRI 403-9, GRI 403-10, GRI 404-1, GRI 405-1, GRI 405-2, GRI 406-1

MATERIAL TOPICS

- Talent acquisition and development
- Safeguarding human and workers' rights
- Occupational health and safety
- Diversity and equal opportunity
- Employee training and education

REFERENCE STAKEHOLDERS

- Employees
- Suppliers

RISKS

- Insufficient availability of specialist resources. Growing difficulty in finding resources with the required skills and experience.
- Difficulty in managing and incentivising personnel with consequent demotivation, a drop in production and erosion of the value of the Group's human capital.
- Health and safety risks in the workplace. The main sources of risk include: sheet metal handling; manual load handling; risk of collision with self-propelled vehicles; biomechanical overload of upper limbs; line layouts; internal movement of people, materials and vehicles; posture at workstations (ergonomic risk); virus contagion (in particular, biological risk of Coronavirus); electrical risk (from electrocution.

OPPORTUNITIES

- The definition of a strong and clear Employee Value Proposition based on the values and principles that define the brand identity allows the Group to attract an increasingly qualified and skilled workforce.
- The Group contributes to creating skills in the territories where it operates, and the consequent generation of local employment.
- The extreme attention to safety in the workplace guaranteed by the Group serves not only to protect a fundamental human right, which is the right to health, but also to prevent any damage to the company's reputation due to the occurrence of workplace accidents, and prevent possible disruptions to production activities.

POLICIES, PROCEDURES AND OTHER RELEVANT DOCUMENTS

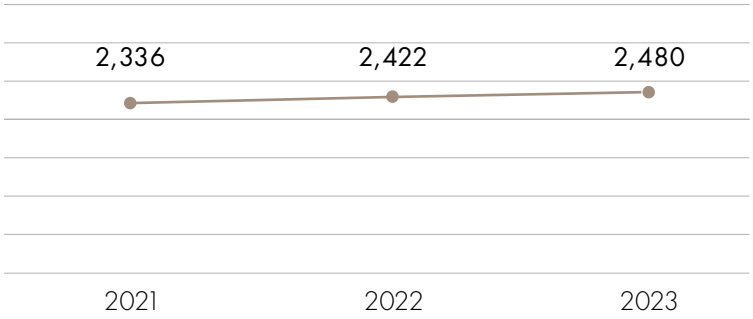
- Code of Ethics
- Model 231
- Speak Up and Whistleblowing Policy
- Quality, the Environment and Safety Policy
- Sexual Harassment Policy (Smeg South Africa)
- Supplier qualification procedure

For the Group, personnel management is carried out on the basis of a model which focuses on the active and responsible involvement of every resource involved in a corporate process, on establishing transparent relationships which are open to discussion and on the full enhancement and empowerment of each person, in line with the principles and values laid out in the Code of Ethics.

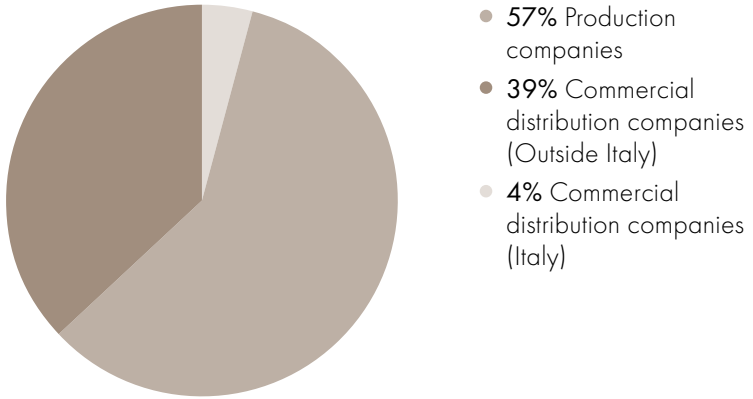
From an organisational point of view, the Parent Company's Human Resources Department coordinates staff management activities, interfacing with the Group's other companies.

In 2023, the Group had 2,480 direct employees[1] (+2.4% compared to 2022), 57% of which were employed at production companies in Italy.

EVOLUTION OF THE WORKFORCE IN THE THREE-YEAR PERIOD 2021-2023 (DIRECT EMPLOYEES OF THE GROUP)



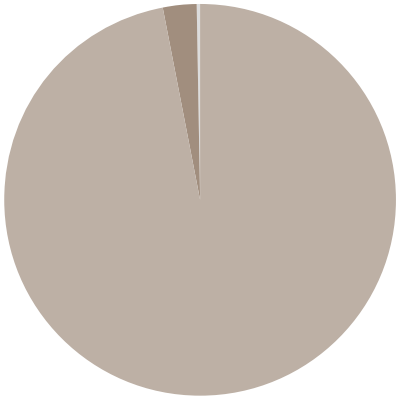
BREAKDOWN OF THE COMPANY WORKFORCE BY COMPANY TYPE AND GEOGRAPHICAL AREA (2023)



[1] This figure includes all Italian (production and commercial distribution) and non-Italian (commercial distribution) companies.

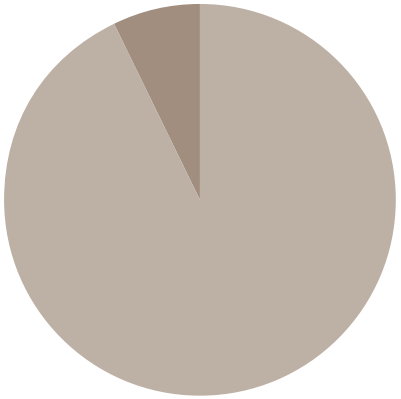
Approximately 96.4% of personnel are employed under a permanent, open-ended contract (97% in 2022) and 92% have a full-time contract (93% in 2022).

GROUP EMPLOYEES, BY CONTRACT TYPE (2023)



- **96.4%** Permanent contract
- **3.4%** Permanent contract
- **0.2%** On call

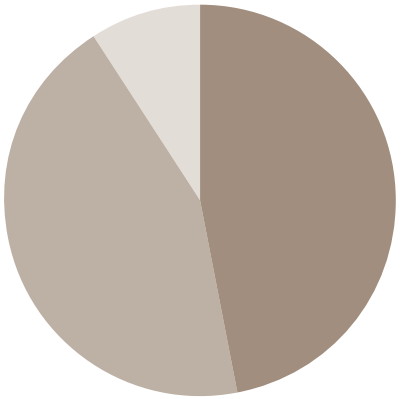
GROUP EMPLOYEES, BY JOB TYPE (2023)



- **92%** Full time
- **8%** Part time

The Group's employees are divided into the following professional categories: Managers[2], White Collar Workers – the largest category in the corporate workforce – and Workers.

GROUP EMPLOYEES, BY PROFESSIONAL CATEGORY (2023)



- **47%** White Collars
- **44%** Workers
- **9%** Managers

[2] This refers to all employees who have a strategic responsibility within the organisation.

In pursuing constructive collaborative relationships with trade union representatives and favouring internal relationships, the Group has, over time, upheld the centrality of people by working to develop and preserve a corporate culture, values and identity which promote, in employees, a sense of belonging to the company in which they work.

The activation of a level of Corporate Collective Bargaining for production companies is part of this framework; in particular, at Smeg S.p.A. and Bonferraro, this second bargaining level has been active since the 1960s/1970s, making it possible to anticipate contractual provisions only later sanctioned by the industry collective bargaining agreement, by virtue of the company's historical industrial relations. As regards the Parent Company Smeg S.p.A., the current Corporate Collective Bargaining Agreement is valid until the end of 2025. While smaller companies such as Fri.Med have not yet adopted the Corporate Collective Bargaining Agreement, this is likely to be applied following greater integration with the Parent Company.

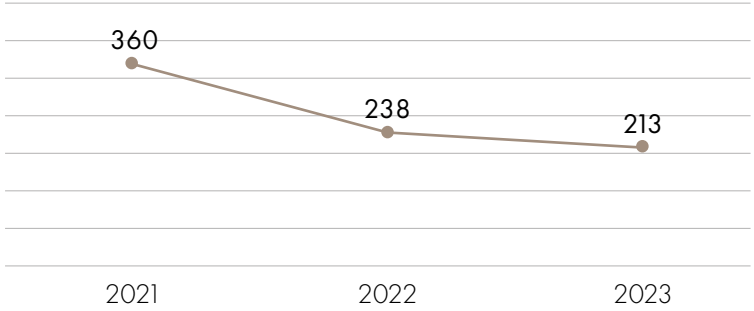
The level of Corporate Collective Bargaining is what has made it possible to maintain the performance bonus, introduced in the early 1990s, which is also linked to achieving objectives relating to safeguarding the environment and occupational health and safety (for more information, see "Skills development").

In Italy, with reference both to the production companies and to the commercial distribution companies, all employees are covered by collective bargaining agreements.

In regards to non-Italian companies (in and outside of Europe), only a few companies, in accordance with local legislation, apply the collective bargaining agreements in force in the relative countries.

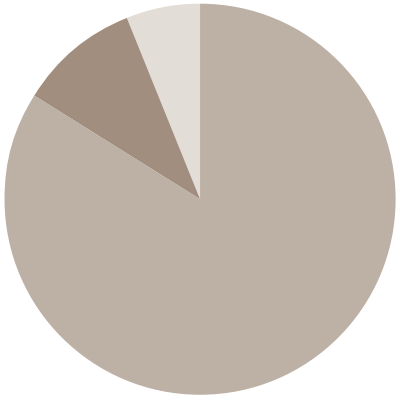
In addition to direct employees, the Group companies, to varying degrees, make use of "non-employed" personnel, mainly agency workers or representative agents. As regards agency workers, in line with 2022 there was less need to use this form of employment in 2023, which continues to be linked to physical production flexibility and the need to respond to company turnover issues (mostly retirements). In this latter case, personnel begin work on an agency contract, are trained internally, and are subsequently hired on a permanent basis by the agency and finally by Smeg. Specifically, agency workers are mainly employed in production companies (84% in 2023). Specifically, in 2023, there was a reduction in production connected to lower product requirements and to difficulties in procurement processes, which led to a lower demand for agency workers compared to the previous two years. This decreasing trend was already visible in 2021, as a consequence of the impacts generated by the Covid-19 pandemic.

EVOLUTION OF THE COLLABORATION WITH WORKERS WHO ARE NOT EMPLOYEES IN THE THREE-YEAR PERIOD 2021-2023 (GROUP)



At the same time, however, it should be noted that many employment relationships which began as temporary employment - or as a fixed-term contract - were later transformed into permanent, open-ended contracts thanks to the numerous internal opportunities for growth.

WORKERS WHO ARE NOT EMPLOYEES,
BY CONTRACT TYPE (2023)



- **84%** Agency/interim
- **10%** Representative agents
- **6%** Interns/trainees

This includes workers who are not employees and representative agents (mainly employed in commercial distribution companies), as well as young people who work in the Group in the form or curricular or extra-curricular internships or work-experience placements.

Diversity and equal opportunity

The Group ensures equal conditions and opportunities for its workers and, in line with the Group's Code of Ethics, no form of isolation, exploitation or harassment is tolerated, nor any cause of discrimination based on ethnicity, language, colour, faith and religion, political opinion and affiliation, nationality, age, gender and sexual orientation, marital status, disability and physical appearance, socio-economic status.

Thanks to the reporting system established by the Model 231, and specifically the Speak Up and Whistleblowing Policy, anyone who currently has or has previously had an employment relationship with Smeg (employees, self-employed workers, freelancers and interns, volunteers and trainees, shareholders, people with administrative, managerial, supervisory or representative functions, suppliers) can report any instance of discriminatory or prejudicial conduct towards themselves or other persons.

At the same time, some local companies have implemented specific safeguards which include reporting procedures which are more targeted towards certain non-ethical and unprofessional behaviour. Amongst these, it is worth mentioning, in particular, the "Sexual Harassment Policy" adopted by SMEG South Africa which safeguards the company's personnel from any form of discrimination or harassment based on any aspect of sex or gender. The policy includes guidelines in order to immediately manage a report which might be received regarding behaviour of this type in the workplace.

Smeg South Africa's Diversity and Inclusion (D&I) Policy: the reporting system

In line with that defined internally in SMEG South Africa's Sexual Harassment Policy, whoever - from the company's personnel, its suppliers, customers and any other party who interacts with the company - experiences harassment at work related to their gender identity or sex has the right to make a complaint. For this reason the Policy establishes and implements functional systems which allow such harassment to be handled in a proper, rapid, sensitive and confidential way. Every person is, in fact, safeguarded from any and every form of victimisation or retaliation following a report being made. At the same time the Policy provides for safeguards which protect people from false accusations and ensures confidentiality in any investigation carried out until a decision is made by the competent authority.

Verifying an accusation must, necessarily, consider specific evaluation factors that definitively confirm that the behaviour can be classified as harassment pursuant to the Policy.

In addition to the implementation and continuous monitoring of the reporting system described above, the Policy requires the company's Human Resources Department to adopt every reasonable measure to communicate the contents of the document to all personnel in order to raise their awareness of the need to prevent incidences of harassment linked to sex or gender, of the kind described in the Policy, in the workplace. Within this Department, a Manager has been appointed who is required to have the necessary technical skills to carry out the role. This person is central to the reporting process envisaged by the Policy, since they are the repository of possible complaints and are the facilitator in carrying out the necessary verification activities.

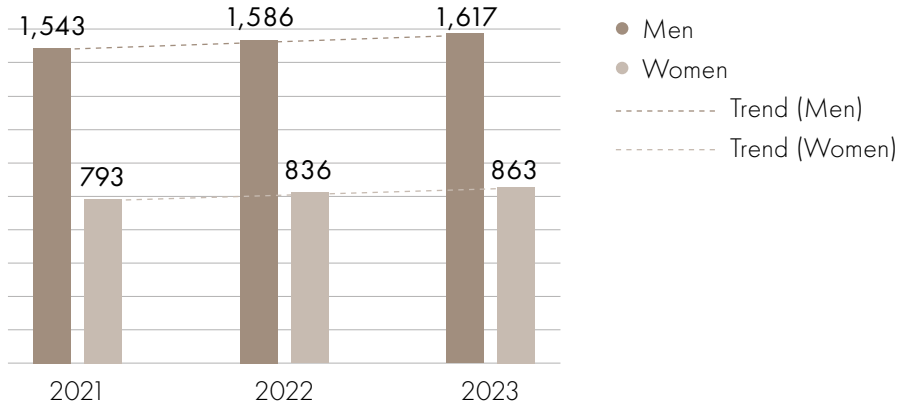
The effectiveness of this policy is further confirmed by the fact that during the three-year reporting period, only one episode of discriminatory phenomena, verbal or otherwise, was recorded among the Group's companies. An investigation was launched and the issue was subsequently resolved. The case referred to the conduct of one employee who subsequently left the company following the investigation. Consequently, there was no need for any further corrective action.

Diversity aspects: gender

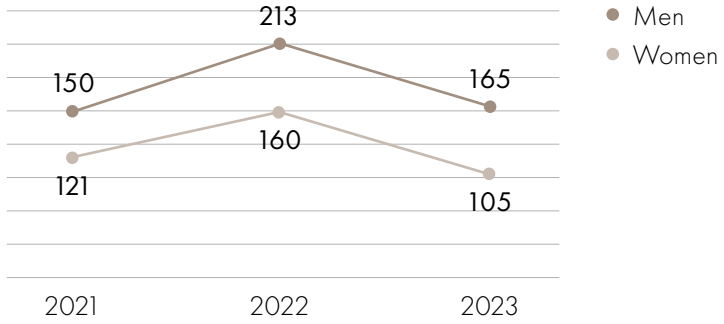
With particular reference to the gender aspect, the larger male population in the Group's workforce is partly due to the legacy of the business sector in which manufacturing was, historically, done by men due, allegedly, to the physical strength demanded by such work. However, advances in processes, automation, servo-systems and studies in ergonomics applied to manufacturing have, over time, removed obstacles to employing women, who were once restricted to small parts and precision processing.

In 2023, 105 women were hired at the Group level against a total of 270 new hires, while 94 women left the company, equal to 36% of all leavers recorded in the year across the entire Group.

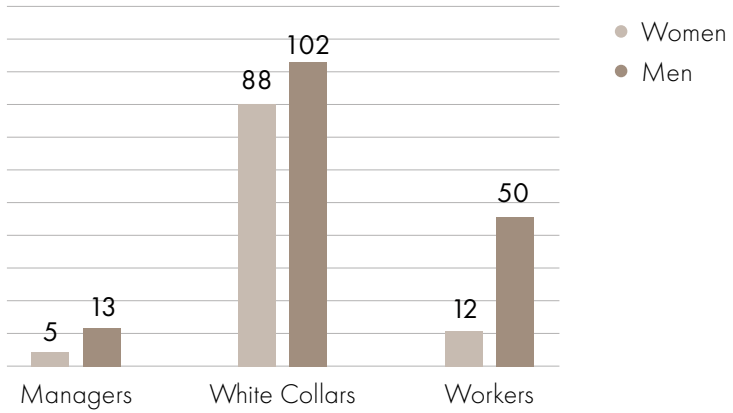
EVOLUTION OF THE COMPANY WORKFORCE IN THE THREE-YEAR PERIOD 2021-2023, BY GENDER (GROUP)



NEW HIRES IN THE THREE-YEAR PERIOD 2021-2023, BY GENDER (GROUP)



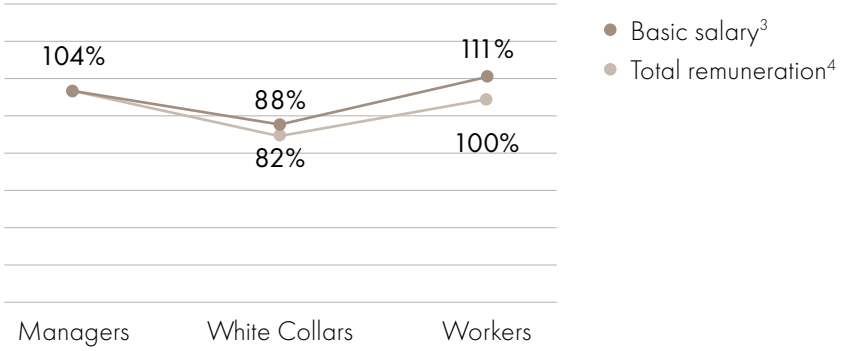
NEW HIRES IN 2023, BY GENDER AND PROFESSIONAL CATEGORY (SMEG GROUP)



Considering the new hires in 2023, with reference to the three types of professional category in the Group, 46% of all White Collars hired were women, compared to 28% of newly hired Managers and 19% of Workers.

In 2022, the Company chose to conduct an in-depth analysis of the potential presence of a gender pay gap in the company, following a progressive approach and basing the reporting on the evidence provided by the Parent Company. In the coming years, the Company will extend the scope of the data collection for this indicator.

RATIO OF BASIC SALARY AND REMUNERATION OF WOMEN TO MEN (SMEG S.P.A.)



The data show that at Smeg S.p.A. there is a slight gender pay gap in the professional category of White Collars with regard to both basic salary and total remuneration. The analysis, however, needs to take into account the following aspects which characterise Smeg S.p.A.'s corporate situation:

- 83% of part-time contracts are with women;
- at the White Collar level, women work, on average, more overtime hours than men;

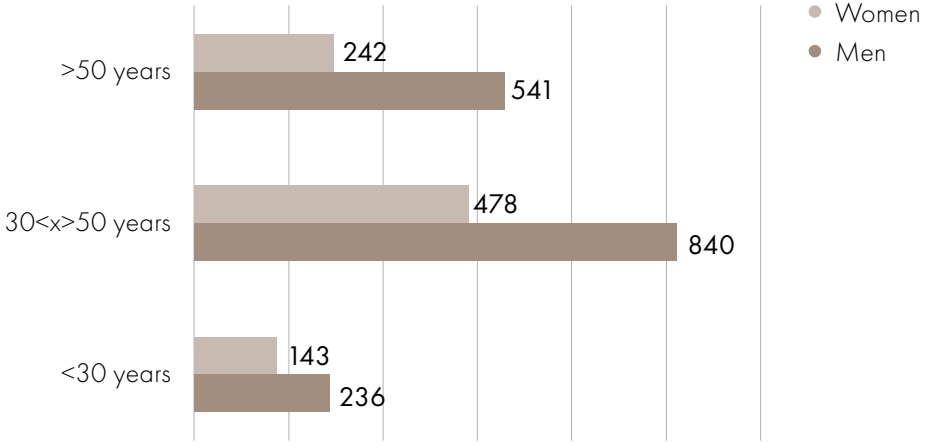
Within the Managers and Workers category, however, the numbers calculated with reference to both aspects of the analysis are the same or higher for basic salary and total remuneration for women compared to men, thus highlighting the absence of any gender pay gap.

[3] Basic salary: minimum, fixed amount paid to an employee for performing their duties.
[4] Remuneration: basic salary plus any additional amounts paid to an employee.

Diversity aspects: age

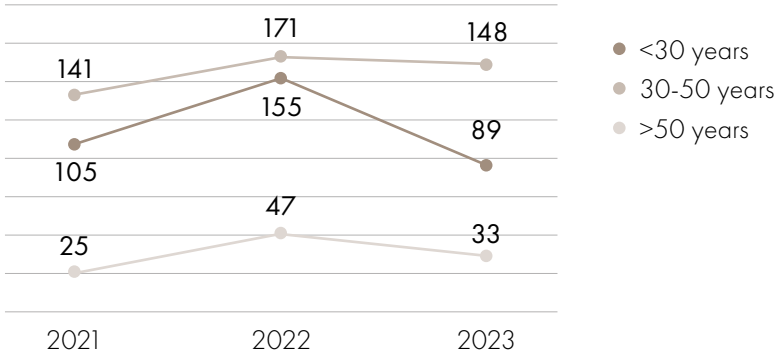
With reference to age, on the other hand, at the Group level in 2023, the corporate population is mainly concentrated in the 30-50 age bracket (53%).

DIRECT GROUP EMPLOYEES, BY AGE GROUP AND GENDER (2023)



Compared to 2022, there was a reduction in the number of new hires in 2023 across all age groups.

NEW HIRES IN THE THREE-YEAR PERIOD 2021-2023, BY AGE GROUP (GROUP)



Diversity aspects: vulnerable categories[5]

Protected categories (recognised as such by national law) are similarly protected, valued and included in the daily tasks of the Group's various companies. In 2023, a total of 159 Group personnel were counted among the protected categories (169 in 2022), of which 94 belonged to the Workers professional category. It should also be noted that, with reference to Smeg South Africa, also covered by the vulnerable group category are people known as "Employment Equity (EE) Candidates", i.e. those people who come from certain ethnic backgrounds which were previously disadvantaged under the apartheid regime. Local legislation requires companies to achieve specific numerical targets of EE resources within their workforce.

[5] In line with the definition given in GRI Standard 405-1 Diversity of governance bodies and employees, the term "vulnerable groups" means "people who live with some sort of condition or who have some specific physical, social, political or economic condition. This condition or characteristic places the group at a higher risk of suffering a burden, or at a risk of suffering a disproportionate burden of the social, economic or environmental impacts of the organisation's operations. Vulnerable groups can include children and the youth, the elderly, people with disabilities, ex-combatants, the internally displaced, refugees or returning refugees, HIV/AIDS-affected households, indigenous peoples, and ethnic minorities".

TALENT ACQUISITION

Underlying the selection process for new resources is the Group's aim of attracting people with technical skills suited to the role they are called to cover, and whose values are consistent with those shared and supported within the company. The Group seeks to identify profiles compatible with a dynamic company, open to internationality, innovation, commitment, teamwork and individual responsibility, harmonious and sustainable growth and development.

Further elements which constitute the Group's Employee Value Proposition are the guarantee of a broad corporate organisation, the international openness and the breadth of the Group's offering, which allows the Group's personnel to develop their skills in different production areas, product times and business lines.

This attractiveness is fostered and developed through multiple channels dedicated primarily to younger resources.

However, in recent years the Group has also been affected by the crisis linked to the difficulty in finding specialist personnel – a challenge that was also encountered in 2023 – especially within its own regional catchment area (20 km from any Group location), and with reference to technical roles (for example, electronic and mechanical engineers) as well as management roles due to limited numbers of such resources in the local areas.

In order to increase the attractiveness of working for the Group among local people, several initiatives with local employment agencies have been launched. Added to this is SMEG's commitment to promoting and improving the work-life balance, having identified a need for this among the workforce, particularly those who hold a white collar position and younger people.

Talent attraction



COLLABORATIONS WITH MAJOR ITALIAN UNIVERSITIES*

- University career days
- Thesis projects / internship in the Guastalla headquarters or in a site outside Italy
- Opportunity to have professional experiences for interns / employees from sites outside Italy in the headquarters



AWARDING SCHOLARSHIPS

To combine specific research activities and internship activities that, in some cases, have led to the development of specific technical-scientific activities, including significantly contributing to the development of applications and/or solutions for Smeg products.

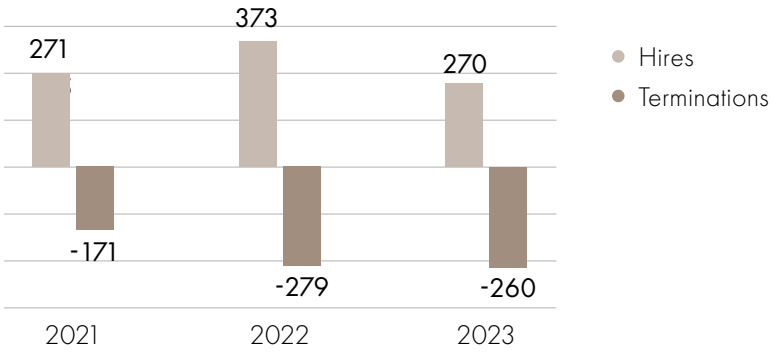
* Collaborations with the Politecnico di Milano, Politecnico di Torino, Universita Commerciale Luigi Bocconi, Universita di Modena e Reggio Emilia, Universita di Parma, Alma Mater Studiorum - Universita di Bologna, and Universita di Padova and/or Verona.

In this regard, the remote working trial launched in autumn 2022 was extremely successful. Certain working arrangements were modelled and contracted as a form of WFH - Work From Home, the form of remote working most widely adopted by Smeg, not including production activities which require workers to be constantly present in the production facility.

Considering the Group as a whole, in 2023, 270 new hires were made (64% outside Italy and 36% in the production companies and commercial distribution companies in Italy), a decrease of 28% compared to 2022.

The incoming turnover rate[6] in the reporting year is approximately 11% (10% with reference to newly hired men and 13% when considering newly hired women).

NEW HIRES AND CONTRACT TERMINATIONS IN THE THREE-YEAR PERIOD 2021-2023 (GROUP)



Turnover for the last three years has, however, also seen a loss of more specialist staff and staff with longer service: this aspect has had an impact, in some cases, on organisational change management. This widespread phenomenon, seen throughout Italy and across all sectors, has been characteristic of the post-Covid period.

Specifically, in 2023, 260 people left the company[7], resulting in an outbound turnover rate[8] of approximately 11% (10% among men and 11% among women).

Next steps

STATUS

Greater flexibility in entry and exit times

On track — Work in progress

[6] Calculated as the ratio of new hires in 2023 to Group personnel as of 31.12.2022, which is assumed to be a representation of the company's workforce at the start of 2023.

[7] The calculation of contract terminations in 2023 also includes people whose employment contract with a Group company expired on 31.12.2022. Not included, however, are personnel whose contract ended on 31.12.2023 (who will, therefore, be included in the number of people leaving the company in 2024).

[8] Calculated as the ratio of contract terminations in 2023 to Group personnel as of 31.12.2022, which is assumed to be a representation of the company's workforce at the start of 2023.

SKILLS DEVELOPMENT

Corporate development requires the support and enhancement of people. To this end, special educational courses and professional development paths are implemented, focusing on the acquisition of general skills ("soft skills") and technical skills ("hard skills").

With reference to personnel employed at commercial branches outside Italy, training is provided directly on-site and managed independently by these companies. However, training programmes have also been implemented at every subsidiary with a view to sharing the Parent Company's corporate culture, as well as providing knowledge on products and the production companies. In fact, experiential training is done with new personnel at commercial companies to whom specific initial training or periodic training is dedicated (see "Communicating with stakeholders").

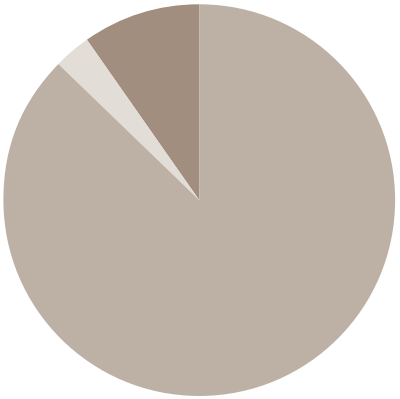
The 2023 training programmes were developed more or less in line with those of the previous year. Topics such as quality management and process and product improvement, aimed at strengthening Smeg's brand improvement, played an increasingly central role both in terms of value and practical application.

The main training programmes - both mandatory and optional - provided by the Group during the year included:

- the induction training programme for new hires at the Parent Company;
- coaching and operational training in the field;
- training on the matter of environmental protection, with reference to introductory courses on environmental sustainability, waste management, and the implementation of circular economy models, and on Life Cycle Assessment in accordance with ISO 14040:2006 and ISO 14044:2018;
- training on health, safety and accident prevention: general and specific training is provided for all personnel pursuant to Italian Legislative Decree no. 81/2008. Furthermore, first aid training is also provided for certain people. Finally, depending on the duties involved with each role, specific training is provided on topics such as the correct manual handling of loads and the correct use of forklift machinery;
- enhancement of language skills to support internationalisation;
- technical and professional updates and technical and specialist training (for example, training on commercial matters, an IT course on specific applications or cyber security, accounting and taxes, HR and wages, logistics and the supply chain);
- refresher courses on the continuously evolving industry technical regulations;
- courses on quality;

- training on governance, Model 231, Code of Ethics and anti-corruption;
- training on the management systems adopted and relative updates;
- coaching and leadership activities aimed at managers;
- digital marketing and social media;
- courses on communicating with customers;
- in-depth courses on products;
- a training course for people on apprenticeship contracts;
- SAP and integration of IT and management systems.

HOURS OF TRAINING PROVIDED IN 2023 ON OCCUPATIONAL HEALTH AND SAFETY



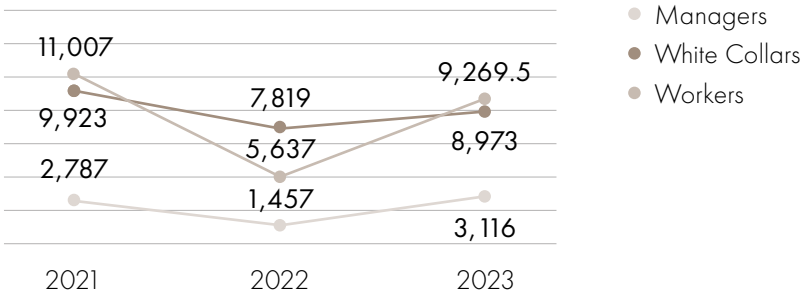
- **9,443** Production companies
- **214** Commercial distribution companies (Italy)
- **977** Commercial distribution companies (Outside Italy)

10,634

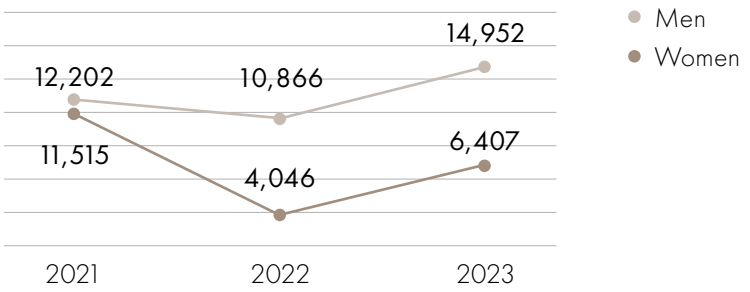
Total hours of training on occupational health and safety

Overall, in 2023, 21,358 hours of training were provided (of which 9,385 hours were at the Parent Company) for personnel at Group companies - or, put another way, 8.61 training hours, on average, per person working in the Group as of 31.12.2023 - up by 43% compared to the previous year.

TOTAL HOURS OF TRAINING IN THE THREE-YEAR PERIOD 2021-2023, BY PROFESSIONAL CATEGORY (GROUP)



TOTAL HOURS OF TRAINING IN THE THREE-YEAR PERIOD 2021-2023, BY GENDER (GROUP)



The Group also aims to develop its personnel by implementing job rotation/development programmes at the corporate and, sometimes, international level, focusing in particular on younger and/or recently hired staff.

The Group is also committed to ensuring fair, equal, and rewarding remuneration for personnel. A Management by Objectives (MBO) system is in place which, for certain functions - mainly commercial/managerial roles-, involves variable remuneration which is linked to the achievement of pre-set qualitative and quantitative goals. The 2023 MBO plan continued along the same lines as the 2022 plan.

Lastly, all personnel in the Parent Company, based on the Corporate Collective Bargaining Agreements in force, have access to a variable remuneration called a Performance Bonus, similarly linked to the results achieved by the Company based on common objectives defined and shared on a contractual basis with the company joint trade union representation. Examples of objectives related to this instrument include the results of the strong implementation and management of rules and good practices on the matter of occupational health and safety and accident prevention, to raise awareness among personnel of the importance of working together to protect personal integrity and the development of a corporate culture based on the safeguarding of a safe and healthy working environment.



HEALTH AND SAFETY AT WORK

In the Group's corporate culture, occupational health and safety is considered a primary and essential value. This can be seen in the implementation of specific measures to continuously improve well-being and safety in workplaces, all of which are done in line with the Integrated Quality, Environmental and Safety Management System, which is ISO 45001 certified[7].

This management system has been implemented at Group companies through the adoption of recurring audits involving both internal personnel and external bodies, with benefits and outcomes that range from improving the quality of working environments and reducing expenses for accidents, to boosting staff motivation and improving efficiency and effectiveness rates. In 2023, occupational health and safety once again played a central role both in terms of the Group's values and its operations.

Health and safety provisions are also dealt with in the Code of Ethics and the Model 231.

The Occupational Health & Safety Management System sets out the following responsible persons, physically present at the Group's factories:

- Employer and any delegates;
- Prevention & Protection Service Manager (RSPP);
- Prevention & Protection Service Officers (ASPP);
- Workers' Health & Safety Representative (RLS)[10];
- Company Doctors[11] (MC) (one of which is a "Coordinating Doctor" (*Medico Coordinatore*) and one is the "Coordinated Doctor" (*Medico Coordinato*));
- Directors and Supervisors;
- Emergency team officers (first aid, evacuation, fire prevention, etc.).

[9] With the exception of La Pavoni and Fri.Med, all of the Group's production companies hold the ISO 45001 certification.

[10] There are a dozen or so trade union representatives at Smeg S.p.A.. From these, as provided for by law, three Workers' Health & Safety Representatives (RLS) are elected, who meet at scheduled formal meetings and on several other informal occasions. These meetings all represent opportunities to share relevant information about workers' health and safety. Furthermore, dialogue with employees is further ensured thanks to frequent informal meetings with the SPP and the Production Manager, during which goals, results and initiatives are shared.

[11] The MC was appointed in 2022.

With reference to the Guastalla location, 4 appointees were made pursuant to article 16 of Italian Legislative Decree no. 81/08[12], each appointed to one of the buildings on the premises - spare parts warehouse and technical support department, logistics area, executive offices and production plant - in order to ensure a constant presence of occupational health and safety experts in the various production areas.

There is also an emergency team that is always ready to intervene to deal with any emergencies concerning health and safety, the environment, or with reference to the most important critical issues at Smeg S.p.A. The members of the team are made up of maintenance workers, specifically chosen because they are people who - being exposed to a higher risk - have to act with the greatest awareness and attention.

The main occupational hazards and most significant sources of risk associated with the Group's activities are assessed via the Risk Assessment Document (RAD), which is constantly updated both to adapt to any changes to legal obligations and to better meet specific internal needs. Supplementary assessments and additional activities are performed in reference to more critical situations such as, for example, people with physical restrictions or people who take longer to learn (people who speak a different language).

Any new risks associated with the various tasks are also assessed and identified through medical check-up - done in the presence of a company doctor - at least once a year in each department, production or otherwise, as provided for by an internal protocol. The health protocol prepared by the MC provides for people to be closely monitored, especially those people working in production departments, in order to monitor their health. The department heads, together with the MC and the SPP, meet on a weekly basis to discuss the suitability opinions given for people to perform a particular job and where to place people who have an emerging health issue. In addition to this, ergonomic assessments are done periodically on workstations in order to prevent muscular-skeletal issues from developing.

Every employee and outside worker is informed of and trained in the use of the various instruments made available to report hazardous situations and to make suggestions on how to improve safety standards in the workplace. Any person may contact the RSPP directly by writing to a dedicated email address to report any further hazardous situations. In the case of Bonferraro, there is also the opportunity for employees to access an online portal to make reports or to propose improvements to safety. In order to address and to limit the unavoidable risks to which people in production departments are exposed, every person has access to suitable Personal Protective Equipment (PPE) (for example, safety shoes, protective gloves, eye protection, ear defenders, and specific equipment for laboratory personnel) and the correct use of such equipment is monitored constantly.

At the Guastalla facility, the MC attends at least 4 times a month in order to carry out health monitoring activities and is also available to collaborators working for the Company. With the arrival of the new MC, along with the Coordinating Doctor, it

[12] The most recent appointee was appointed in December 2021.

was possible to launch an initiative to improve and streamline the health monitoring and occupational disease prevention activities, thanks to a more effective scheduling of the health visits. In addition to the scheduled health visits, each worker is able to request an appointment with the MC through a specific form which is to be sent, in a timely manner, to their manager and the RSPP.

Annually, the Group aims to achieve the goal of zero accidents - something achieved by Apell and La Pavoni in 2023 - and zero occupational diseases, by paying attention to the implementation of every measure that is technically and economically possible in order to prevent an accident or disease from happening.

The importance of this goal is further emphasised by the fact that the theme of safety has been included as an important part of the Performance Bonus.

Furthermore, the Employer is required to report on this matter to the BoD twice a year.

Specifically, in the year covered by this report, 4 accidents were recorded at the San Girolamo (Guastalla) facility with reference to direct collaborators working at the Company (there were 4 accidents in 2022).

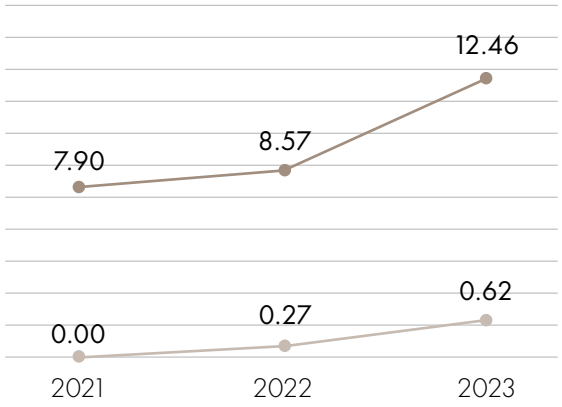
The Bonferraro facility recorded the highest number of workplace accidents - without serious consequences - among collaborators working at the company (5 accidents in total, 10 in 2022). The injuries sustained mainly regarded cuts and bruises.

Another 3 accidents were recorded involving external staff (2 at Bonferraro and 1 at Smeg South Africa).

At the commercial distribution companies, no accidents were recorded in the course of the year (2 in 2022). At companies outside Italy, on the other hand, 28 accidents[13] were recorded (compared with 17 in 2022), mainly related to handling heavy loads in warehouses, product testing and repair work, falls and cuts, and the use of forklift machinery.

This follows the general trend of accidents recorded in the three-year period with reference to Group employees.

ACCIDENT RATES IN THE THREE-YEAR PERIOD 2021-2023 (GROUP)



Finally, as regards occupational illnesses, in 2023 there were two reports of suspected professional illness at Smeg 2023, of which one was rejected and the other is currently under evaluation, while at Bonferraro there were 3 recorded cases of occupational illness.

[13] At SMEG Australia, SMEG France, SMEG Mexico, SMEG Nordic, SMEG South Africa and SMEG UK.

Well-being and quality of life

Programmes aimed at improving people's well-being and quality of life are considered an important means of fostering each person's sense of belonging to the Group and consolidating each person's trust.

For this reason, the company is committed to offering a broad range of benefits to its employees, including, by way of example, healthcare, parental leave and disability or invalidity insurance. The adoption of the various benefits and their characteristics are managed independently by the individual Group companies, as are any specific or additional benefits such as the public transport subsidises, dental insurance, counselling and wellbeing services provided respectively by SMEG France, SMEG USA and SMEG Australia.

The company also promotes the adoption of nutritional standards in collaboration with CIRFOOD, as well as solutions for the treatment and prevention of osteoarticular and musculoskeletal disorders through the adoption of ergonomic solutions in production processes and the dissemination of postural methods of personal prevention. To this end, a partnership has been established with the Italian Osteopathy Centre in Parma to test the efficacy of osteopathic treatments for shoulder-arm disorders on employees on a voluntary basis.

More generally, in terms of corporate welfare, the Parent Company has established an HR portal that allows personnel to benefit from a series of services (so-called flexible benefits, as per the collective bargaining agreement), to apply for various types of reimbursements (school, health, welfare, tourist services, sports services and transport), and to use/purchase directly payable services such as vouchers, gift cards, sports activities, travel and holidays, supplementary pension and health care. The welfare portal also allows personnel to opt for the total or partial conversion of performance bonuses, where compatible for compliance with tax regulations, "paid" by the company with welfare vouchers. Moreover, in order to promote a better work-life balance, part-time working arrangements are granted each year, in a greater percentage than that provided for in the relative collective bargaining agreement[14].



[14] Maximum limit of 4% of full-time workforce.



Furthermore, from 2022 – with validity starting in 2023 – for Smeg S.p.A. employees, an extension to the level of supplementary pension contributions was introduced with a company contract, as provided for by the collective bargaining agreement, for all newly enrolled people aged under 35 (2.2%) and all new members who personally pay 2.2% into the fund.

Also on the corporate welfare front, as of the end of 2023, employees that enrol their children in the local nursery and preschool (Frazione San Girolamo) are able to receive reimbursements for school fees and after-school activities. This benefit also provides tangible support for the local education provider supported by the company through this scheme.

Monitoring the corporate welfare initiatives promoted and the activities carried out, including on a trial basis, is guaranteed through the use of the corporate joint trade union representation (Rappresentanza Sindacale Unitaria) which carries out checks and assesses the degree to which those people who use the welfare services and initiatives are satisfied.

Also fundamental is the prevention and early diagnosis programme for various types of oncological disease which was launched by the Company in 2016. Thanks to the collaboration with the Reggio Emilia section of LILT, personnel have the opportunity to take part in a free screening programme at work.

Appointments take place - on a voluntary basis - in the facility's medical area and cover the prevention of breast cancer, melanoma, prostate cancer (from 2021) and cardiovascular disease (from 2022).

The Company also collaborates with the Susan G Komen Italia organisation, which also focuses on raising awareness of breast cancer prevention.

Lastly, a cigarette smoking deterrence project was also launched with LILT, which led to the elimination of all indoor smoking areas and the identification of specific and organised outdoor spaces, as also explicitly regulated in the Group's Code of Ethics.

As regards awareness-raising activities, in 2023 a new partnership was launched between AVIS - the Italian Blood Donation Association - and Smeg employees, who can volunteer for the programme and find out about their eligibility to give blood.

5

ENVIRONMENT

Impact along the value chain	76
Carbon footprint	78
Preservation of natural diversity	96



CHAPTER PRESENTATION



GRI 2-27, GRI 3-3, GRI 302-1, GRI 302-3, GRI 302-4, GRI 303-1, GRI 303-3, GRI 303-4, GRI 303-5, GRI 304-1, GRI 304-4, GRI 305-1, GRI 305-2, GRI 305-3, GRI 305-4, GRI 305-5, GRI 305-7, GRI 306-1, GRI 306-2, GRI 306-3, GRI 306-4, GRI 306-5

MATERIAL TOPICS

- Action for the climate
- Waste
- Energy
- Sustainability and efficiency of resources

REFERENCE STAKEHOLDERS

- Suppliers
- Employees
- Community and region/Public Administration

RISKS

- Generation of environmental damage from company activities, resulting in business interruption, damage to the corporate image and administrative or criminal sanctions for the Group.
- Increase in the exposure to regulatory constraints and relative operating costs if the carbon footprint is not reduced.
- Non-alignment and non-compliance with national and European climate change regulations, resulting in economic and reputational damage for the Group.
- Economic and financial risks related to climate change events.
- Longer journey times for logistics as a result of choosing more sustainable transport solutions (sea, intermodal).

OPPORTUNITIES

- The implementation of energy-efficiency initiatives with regard to its direct operations will enable the Group to reduce the emission impacts of its activities.
- Improved waste management, understood as minimising the use of landfill and maximising waste sent for recovery through recycling, saves resources, which can subsequently be allocated to other needs, such as, for example, investments in R&D.
- With regard to the environmental impacts of its logistics, the Group recognises the opportunity arising from the collaboration with its suppliers to optimise energy consumption and reduce relative downstream transport costs.
- Greater interaction with customers in order to avoid multiple steps of intermediate information.

POLICIES, PROCEDURES AND OTHER RELEVANT DOCUMENTS

- Quality, the Environment and Safety Policy
- Code of Ethics
- Model 231

IMPACT ALONG THE VALUE CHAIN

The Group's core values include a constant commitment to safeguarding and protecting the environment. This attention is expressed in the strict monitoring of the impacts generated, with a view to continuous improvement in terms of both the efficiency of how resources are used (materials, energy, water) and the virtuous management of waste.

At all of the Group's production companies, with the exception of La Pavoni, a certified Environmental Management System is in place in accordance with ISO 14001.

With respect to people and the environment and in assuming responsibility towards customers, employees, suppliers and the wider community, the Group's commitment to safeguarding the environment is aimed at:

- meeting and exceeding regulatory, legal and statutory requirements, adopting all prevention and protection measures to reduce risks to the environment, whilst also taking into account the surrounding communities;
- reduce the environmental impact at all stages of the production process and product life cycle; during the stages of design and of purchasing raw materials and semi-finished parts (for more information see "Procurement and use raw materials", in Chapter 6), in the consumption of energy, water and, in general, non-renewable resources, and in the placing of products on the market, minimising product waste, atmospheric emissions and water discharge;
- introducing new technologies with a view to continuously improving production efficiency and the related consumption of resources;
- designing products in compliance with applicable regulatory requirements and building factories in an environmentally friendly way;
- increasing the sense of responsibility of workers with regard to environmental issues. In fact, the sense of responsibility towards Quality, Safety and Environmental aspects is considered an integral part of each person's job.

The production plants[1] are also subject to the Single Environmental Authorisation (AUA), with regard to atmospheric emissions, effluent discharge and noise pollution.

[1] With the exception of La Pavoni.

Over the last 10 years, a number of improvement actions have been taken that have not only optimised plant performance, but also simplified production processes as much as possible, and thus limited the related environmental impacts.

Of particular note for the San Girolamo site is the elimination of pickling, purifying and hot gluing. This has made it possible to eliminate emissions of heat and formaldehyde.

As evidence of the Group's specific focus on the environment, the following commitments are noted:

- the **"built-up area of the total area" ratio was maintained at less than 30%** thanks to the many green areas with numerous species of tree, which harmonise the site's landscape and reduce the carbon footprint of production activities;
- the use and expansion of photovoltaic systems (see "Photovoltaic systems");
- in recent years the **percentage of waste sent for recovery has been maintained at over 95%**.

With reference to the Group's indirect environmental impacts, it should be noted that all contracted suppliers are required to comply with current environmental protection and waste management regulations. During audits performed by SMEG at supplier companies, their responsibility towards environmental protection is analysed in depth. Some elements of this analysis look into whether the company is subject to any environmental authorisations, whether the use of energy and raw materials is done on the basis of criteria of rationality and efficiency, whether the supplier has implemented a certified environmental management system, and whether the supplier has prepared a programme to improve the environmental impacts generated by their operations.



CARBON FOOTPRINT

Increasingly aligning with the principles of environmental sustainability requires a constant commitment from every member of the organisation. That is why, over the years, environmental projects have been launched - in Italy and abroad - with the goal of adding the Company's contribution to the global strategy against climate change and to protect the planet.

Measuring the Company's impacts on environmental matrices - energy, water, emissions, waste - represents the first step in this direction, not only towards greater awareness of these issues but also, and above all, towards a strategic management approach which involves defining clear objectives and targets that are measurable and achievable.

SMEG France's Climate Contract

SMEG France's commitment to a robust approach to sustainability can be seen in the renewal in 2023 of the climate contract, an agreement that sets out the various measures that the company will take in 2024 in order to contribute to achieving the Sustainable Development Goals.

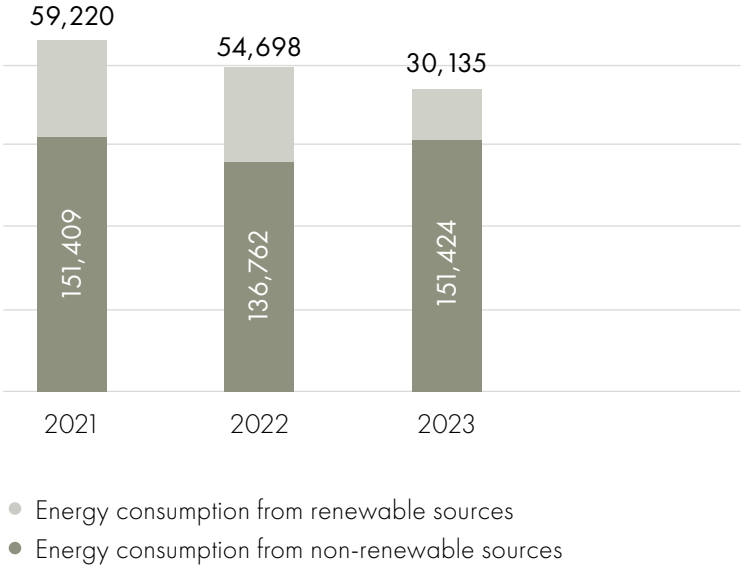
Specifically, there are two parts to the climate contract:

- the **transversal contract**, which involves high-level objectives which apply to every signatory organisation. In this sense, the commitments shared by each signatory focus on promoting products and services with a reduced environmental impact (climate, resources and biodiversity) and on reducing commercial communications relating to products which, on the other hand, have a negative impact on the environment. Also envisaged are objectives involving the adoption of responsible production and consumption behaviour, raising the awareness of such matters with personnel and providing training for them (with specific reference to the challenges of the ecological transition in commercial communications) and other commitments aimed at promoting and supporting the ecological transition;
- the **sector contract**, which contains sector-specific targets and indicators (KPIs) to measure their achievement. These include, in particular, the publication of the repairability score of washing machines and dishwashers, increased communications on highly energy-efficient products, and a 10% increase in advertising for products with an extended repair guarantee (e.g., toasters and kettles). Other KPIs focus on raising awareness of responsible consumption models as part of the company's commercial communications, promoting the SMEG digital catalogue among suppliers and customers (through its regular updating and the use of a QR code), reducing the environmental impact associated with printing (through the reduction of the amount of paper printed and the transition to FSC-certified paper), encouraging employees to use renewable energy (e.g., through the installation of charging stations for hybrid and electric vehicles and the gradual renewal of the company fleet with hybrid/electric models), installing recycling bins in the offices of SMEG France, and, as of 1 January 2024, stopping the use of single-use cups in SMEG offices.

Direct and indirect energy consumption

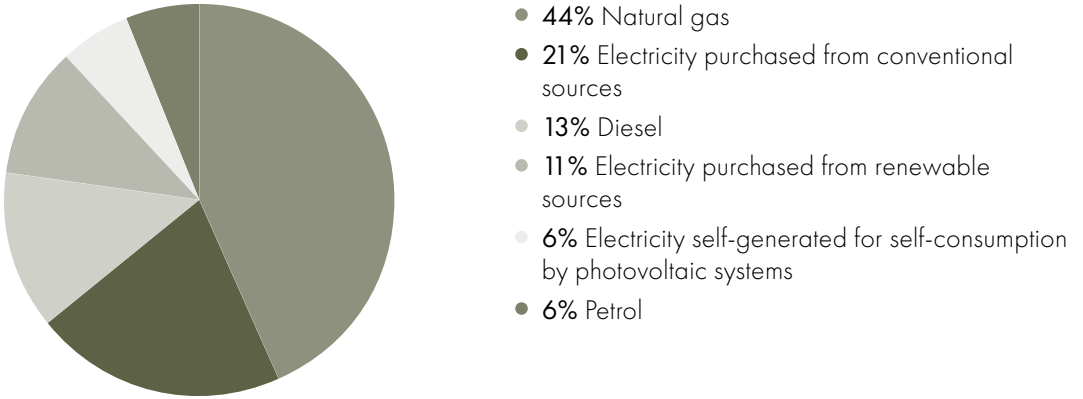
In 2023, the Group's total energy consumption was equal to 181,558.82 GJ (191,459.45 GJ in 2022), of which 17% from renewable sources (29% in 2022[2]). Energy intensity[3] is equal to 0.00021, essentially in line with 2022.

GROUP ENERGY CONSUMPTION, BY TYPE OF CONSUMPTION, OVER THE THREE-YEAR PERIOD 2021-2023 (GJ)



The main energy sources used by the Group are:

THE GROUP'S ENERGY MIX (2023)



- **Methane gas** for use in the production process – in particular to operate the enamelling kiln – and for indoor air conditioning. With reference to the site at Guastalla, in order to optimise consumption, use is made of a reducer cabin which allows for greater efficiency in the production process. In 2022, production companies and Tesec S.r.l. signed a gas supply contract which provides for the emissions generated by the related consumption to be offset by cancelling VER certificates.
- **Electricity** for the production process, lighting, and air conditioning of indoor spaces in summer. Photovoltaic systems have been installed at the Group's production sites and certain commercial companies outside Italy (Smeg Belgium and Smeg UK). Part of the energy produced is used by the company with the remainder directed to the national grid.
  The remaining electricity needs of the production companies are met by a consortium of energy providers. Furthermore, supply contracts for electricity from certified renewable sources, with Guarantees of Origin being issued, have been signed.

[2] The reduction in this percentage compared to the previous year is due to a change to the data collection method.

[3] Calculated using the following formula: [Total energy consumption (GJ) / Revenue from sales and services (€K)].

Photovoltaic systems



As regards the production companies, the photovoltaic system installed at the Apell site, which was expanded in 2023, is currently able to meet around one third of the plant's total electricity demand.

At La Pavoni, the system installed contributes to approximately 30% of the site's total needs.

In February 2023, the photovoltaic system in Guastalla, which was extended in 2022, entered into operation and a second system was installed to optimise the energy potential of the available space on the factory roofs.

In the course of 2023 the first system, now with an additional output of 1862 kWp (compared to 28 KWp when it was first installed), provided renewable energy at a nominal total output of 1890kWp. The second photovoltaic system will enter into operation in 2024 when, thanks to the series of improvements made over the two years, the total installed capacity on the roofs will reach around 2600 kWp. In 2023 the synergy between the energy efficiency measures and the upgrades to the photovoltaic systems led to a 30% reduction in the amount of energy purchased from the grid.

The installation of a latest generation photovoltaic system was completed in 2022 at Bonferraro (1.6 MWp), which entered into operation in May 2023. With the current photovoltaic system, Bonferraro is now able to produce and consume approximately 20% of its total electricity needs. Furthermore, a feasibility study is looking at adding another 600 kWp to increase the production of the photovoltaic system by 7%.

The systems installed at these two sites today - made possible thanks to the partnership with Enel X signed in 2021 - are made up of photovoltaic modules equipped with string inverters and power optimisers which can monitor the performance of each panel.

As regards the commercial companies, photovoltaic systems are installed at the sites of Smeg Belgium (as of 2012) and Smeg UK (as of 2019).

2023 also saw the installation of a photovoltaic system at the Tesec site which is due to enter into operation in 2024.

Given the above, at the Group level, in the year covered by this report, 44% of the electricity consumed came from renewable sources (15% self-generated through solar panels);

- District heating used at Tesec and SMEG Russia;
- Fuel (diesel and petrol), used for the company's fleet of cars and generators.

Energy efficiency at Group locations

The implementation of energy-efficiency initiatives with regard to its direct operations will enable the Group to reduce the emission impacts of its activities, as well as to generate long-term economic savings associated with the reduction in energy consumption.

The following initiatives have been taken at production sites and some commercial distribution companies:

- Optimisation of plant and system running hours – in the spring and autumn months, the cooling systems are turned on later/turned off earlier;
- Regular maintenance of plants and systems - a programme of regular maintenance is followed to ensure constantly high performance;
- Relamping - specifically, SMEG is implementing the progressive replacement of existing lighting with continuous lighting LED systems. LED systems have been used for all external lighting since 2022, while the relamping of the various production areas was completed in early 2023. Similar measures have also been implemented at Apell and Bonferraro. In 2023 Bonferraro continued to replace the lighting in its production areas and improve the efficiency of the external lighting through the use of energy-efficient devices. LED bulbs were also introduced in the offices, along with motion-detection sensors to optimise the use of energy for indoor lighting. Verinox, SMEG Germany, SMEG Belgium and SMEG Singapore also use LED lighting. In 2022, Tesec replaced its halogen lighting with LED lighting at its administrative offices. In the same year, SMEG France launched a project to look into replacing its lighting system with an LED one for its warehouse and offices in Corbas. This project is currently awaiting definitive validation. In 2023 SMEG UK installed LED lamps with timers to ensure maximum efficiency in the Magna building, while SMEG Portugal replaced its entire internal lighting with LEDs.
- Actions to reduce the consumption of electricity from transformer stations – at the Smeg S.p.A. and Bonferraro facilities, electricity consumption and its relative distribution from the transformer stations is monitored by means of a specific management system. In case of anomalies and on the basis of the consumption profile, Management defines any specific actions necessary to make processes more efficient.
- Efficiency of inverters and air conditioning systems - in 2023 SMEG S.p.A. continued to analyse efficiency measures aimed primarily at recovering the heat generated by the air-conditioning process rather than electrifying the air-conditioning systems in the various rooms.
Bonferraro has installed inverters on the motors of the

production plants and systems as well as air compressors, resulting in consumption savings of 5%. As for SMEG S.p.A., every new plant or system is equipped with an inverter. Inea, from 2022, has advised all offices of the minimum and maximum office temperatures to use when cooling and heating and has delayed the date on which air conditioning systems are turned on. Outside Italy, SMEG Singapore has adopted an energy efficient air-conditioning system, which saves around 20% compared to previous, less efficient models. In 2022, SMEG France chose to lower the temperature of the cooling system in offices by 2°C – with consequent reductions in electricity usage – and by 3°C for the reserve temperature of the sprinkler anti-frost system for increased efficiency in its consumption of natural gas. Finally, in 2023 SMEG Portugal transitioned entirely to air conditioning systems with automated on/off switches.

- Progressive replacement of older central heating systems – In 2014, SMEG S.p.A. started to replace older central heating systems and update the distribution systems. The performance of the central heating systems is monitored by a specific management system that ensures continuous control of their efficiency. Bonferraro has also launched a project to fully upgrade its heating system, beginning in 2023 with the replacement of old condensing boilers with thermal power plants to supply both production departments and air conditioning in internal spaces.
- Actions to reduce the environmental impact caused by the use of the company's fleet of vehicles – Various initiatives have been taken in this regard, starting with the progressive replacement of diesel vehicles with hybrid or electric alternatives.
For November 2024 the company plans to equip the maintenance department with a new fully-electric vehicle for short-range use. In fact, one of the major barriers to the transition of the corporate fleet to electric vehicles is the charging times required for medium to long-distance journeys and the low range of this kind of vehicle.
SMEG Germany, however, has chosen not to use large vehicles (e.g. SUVs) while at SMEG UK (at the Abingdon and Portsmouth offices) 28 recharging stations are now available for electric cars that customers and company personnel can use now and in the future. In 2023 Smeg France installed two recharging stations with 6 ports for hybrid and electric vehicles at its Mont Saint Aignan site. In addition, at Smeg Singapore, a decision was made to offer personnel a car sharing service, to be used during the lunch break and at the end of the working day. It is estimated that this initiative will save about 480 litres of petrol per year. Finally, with reference to the subject of logistics, it should be noted that, in 2022 in France, a progressive replacement process of forklift trucks for fast-charging electric ones was initiated. Furthermore, a proposal was made to extend contracts to 36 months for reconditioned forklifts, thereby eliminating the need to request new ones every 2 years.

Added to these initiatives are the constant efforts to raise awareness among employees to promote energy-saving practices and encourage people to think about saving and optimising their energy use.

Next steps

	STATUS
Progressive transition of commercial companies in Italy and outside Italy to energy supplies from renewable sources	On track
Further expansion of the photovoltaic systems at Guastalla and at the Apell site	On track
Installation of an 85 KW photovoltaic system on the roof of the Tesec shop in Guastalla	On track
Search for solutions to store/recover electricity produced by the photovoltaic systems, for example, by establishing energy communities in collaboration with the Municipalities involved	Work in progress
Installation of timers to ensure that the company's electric vehicles (forklifts) are charged on Saturday mornings with the electricity produced by the on-site photovoltaic systems, in order to avoid wasting this electricity	On track
Completion of a feasibility study into the expansion of the photovoltaic system at Bonferraro for 600 kW to be built in 2024	Work in progress
Implementation and completion of the energy efficiency operation to replace the central heating system at Bonferraro with new boilers equipped with a heat recovery system, high efficiency pumps and a continuous monitoring system	On track
Installation of electric charging stations for vehicles at the Bonferraro site	Work in progress
Completion of the replacement of lighting fixtures with LED systems in the Bonferraro plant, laboratories and offices	On track

On track Work in progress

The impacts related to logistics

Incoming transportation and distribution activities managed by production sites mainly concern the procurement of raw materials, semi-finished products, components, finished products and packaging phases.

Generally, goods purchased from Italian suppliers are transported by road or via intermodal transport solutions[4].

Goods arriving from abroad on the other hand, depending on their specific origin, can reach the production facilities in specific containers after having been transported by sea, rail, or road. To this end, the Group is trying to opt for **more sustainable modes of transport** by favouring:

- transport by sea for certain routes that have historically been served by land or intermodal means (e.g., from Spain and the United Kingdom);
- intermodal means for routes that were previously only done by land (such as Northern Europe and the United Kingdom).

In particular, with regard to the Parent Company, road transport is preferred for inbound raw materials and components from Central and Eastern Europe (Poland, Germany and Romania), while the intermodal mode is adopted for goods arriving from Denmark and Portugal. Procurement from non-European suppliers (Far East), both of components and finished products, is mainly by sea, and then continues by road or in intermodal mode depending on the final destination once the relevant port is reached. The inbound carriage of finished products to the SMEG warehouses amounts to an average of 15 deliveries per day.

In contrast to 2022, 2023 was not characterised by unstable supply issues, a factor which allowed SMEG S.p.A. to make more sustainable logistics decisions such as avoiding the use of air freight. The Company uses air transport for shipments of spare parts to European branches.

Finished products continue to be distributed to the sales branches in different ways depending on the final destination and how quickly customers need to receive the goods, with preference afforded to sea or intermodal travel where possible, in particular to the islands.

The outbound carriage of finished products amounts to between 50 and 60 trips per day. Once the warehouses of the sales branches have been reached, said branches are directly responsible for managing relations in the relevant local territory.

In those markets where there is no sales branch, a similar function is performed by local importers (for example, in the United Arab Emirates, New Zealand, South Korea and China).

For e-commerce-related shipments, the Group mainly relies on freight companies able to deliver goods to the end customer on time, either at home or via pick-up points. In Italy, transportation is mainly done by road, due to various structural difficulties connected to intermodal means of transport and in such a way as to be able to ensure quick delivery.

[4] Intermodal transport is a method of transferring goods using standardised "load units" that can easily be moved from one vehicle to another to reach their destination. It is generally implemented to allow the hybrid rail-road transport mode.



Quantifying the emissions resulting from these operations is an important starting point for the Group in order to monitor the issue in a progressively more robust and systematic manner, moving in the direction of ever greater optimisation of deliveries and shipments, and towards the choice of less environmentally damaging modes of transport, with particular reference to carriage by sea and rail. The details regarding the level of Scope 3 emissions linked to inbound and outbound logistics activities is given in "Calculating direct and indirect emissions".

In 2023 the management software designed to support logistics was fully implemented. Once a quarter, the software conducts a matching process of the issue dates, delivery dates, and procurement plans of the various Group companies and then processes orders according to pre-set priority criteria (e.g. age of the request).

2023 also saw the implementation of DMS software to improve transport management in Italy. The software will be trialled in the course of 2024 and will be used to plan transport and deliveries and to monitor the associated costs. Based on the results of the trial, the software will later be rolled out to other European branches.

Waste

The Group has always afforded particular attention to waste management, seeking first and foremost to reduce the amount of waste produced, and at the same time, to consistently enhance its subsequent recovery, limiting its disposal to the extent possible.

All waste must be properly classified, transported and disposed of. That is why, currently, these is a collaborative agreement with intermediaries who check the best recovery and/or disposal conditions.

The process is put in place in order that micro-collections can be organised within the facility and the contents periodically emptied into specific containers.

In particular, it is important to mention the ongoing commitment to sending the following materials at the Group's production facilities for recovery:

- mechanical processing waste (sheet metal or steel scrap);
- plastic or glass scraps (e.g. for oven door/ kitchen);
- recovery of packing materials such as cardboard, wood and plastic.

These materials are in fact meticulously **sorted** along the production process – scrap management is integrated into all stages of the production process, starting with the assembly lines – with the aim of sorting waste correctly before it is delivered to authorised recycling companies. To this end, in 2023 SMEG S.p.A. increased the number of recycling containers on all assembly lines to enable a more widespread separated waste collection process. The containers are collected by an operator using a trolley and transferred to a temporary storage area.

An example of this is the activity at the Bonferraro site related to the volumetric reduction of polystyrene coming off the production lines, making it possible to obtain a perfectly recyclable and compact material, as well as a significant reduction in transport-related impacts. Material that cannot be reused (i.e., process waste) is analysed by an accredited laboratory, defining its EWC[5] and possible hazard class.

In July 2023 an ecological island was created with the aim of optimising waste management and, more specifically, facilitating the separation of plastic and polystyrene.

With regard to waste plastic, in 2022 Bonferraro launched a feasibility study into greater differentiation of plastics[6] (currently being wrapped up) with a view to signing agreements with new suppliers in the first half of 2023.

Smeg Australia, at the Botany site, employs a cardboard baler, a plastic baler and a machine to melt polystyrene for recycling and for minimising general waste. These materials are subsequently handled by third-party recycling companies that collect then and processes them at their respective facilities.

As for packaging, SMEG strives to use reusable materials wherever possible, such as in the case of cable housing or the returnable packaging used for front panels.

To reduce plastic waste, at the company cafeteria at the Guastalla site the decision was made to stop serving drinks in

[5] European Waste Code.
[6] Obtainable from mixed packaging, EWC 150102.

plastic bottles and instead install two centralised drinks dispensers, while the break rooms in the production areas have been equipped with water dispensers. Meanwhile, all employees have been provided with a reusable flask. The company Inea also took the step to install water dispensers to reduce plastic use.

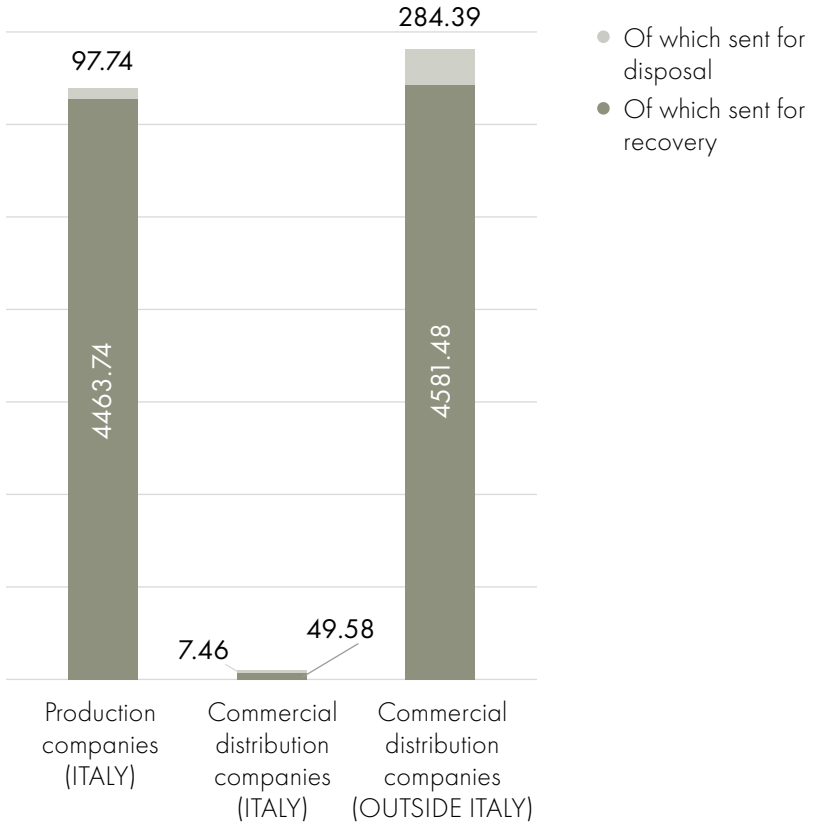
In the case of hazardous waste, however, the means of transportation follows a different path. An annual analysis of the waste is first carried out, then an authorised treatment facility is identified, and lastly, the facility's authorisations and carriers are checked before confirming the take-back.

At Smeg France, products at the end of their life are stored in the company's warehouse until they are collected by an authorised third-party company. The company has also introduced a repair service for end-of-life products (small domestic appliances) in order to reduce the number of products replaced and, consequently, disposed of.

In 2023 Smeg France also set itself the goal of obtaining the QualiRépar certification. This aims to encourage customers to repair their electrical and electronic appliances to extend their life, putting the principles of the circular economy and more sustainable and responsible consumption into practice.

Similarly, Smeg Portugal has implemented specific measures to manage damaged products. Specifically, these are first analysed by the Logistics and Finance Department to see whether they can be repaired or used in other ways (donation, marketing or sales activities at lower prices) and only if they cannot be used in any other way are they sent for disposal. This last option implies the need to inform the appropriate environmental and tax authorities in Portugal through a detailed list broken down by type of all the products to be disposed of. The products are then collected by the partner duly contracted by the company which, in turn, provides a waste disposal declaration.

WASTE PRODUCED (TONNES), BY DISPOSAL METHOD (2023)



At the Group level, 9,484.53 tonnes of waste were produced in 2023 (10,809.31 tonnes in 2022), of which over 89% was non-hazardous and 96% was sent to recovery, 3% was sent to landfill and 1% was incinerated. 48% of waste was produced by the Group's production companies.

Details on the composition of the waste produced are provided in the Annexes to the report (see "Insights").

Specifically, in the production companies, the continued focus on this process has led, over the last 10 years, to a minimisation of the quantities of waste sent to a generic disposal facility and a proper handling of production waste, maintaining a trend of waste sent for recovery[7] of over 96%.

In the year covered by this report, the Company continued to search for intermediaries who are capable of optimising the value of waste products, such as waste plastics, compost and electronic components.

Specifically, the project to recover production waste from some product families with a high incidence of waste was continued. This project was undertaken in coordination with the activity performed by the Quality Team relating to the important "Continuous Improvement" project, which involves both every production process and each individual project as well as relationships with parties along the supply chain. This project was also included among the KPIs used for the performance bonus for SMEG S.p.A. employees.

[7] In line with the Consolidated Law on the Environment, this means "any operation whose main aim is to give waste a useful role by replacing other materials which would have otherwise been used to perform a particular function or to prepare them to perform such a function".

Project to reduce production waste

As part of the wider "Continuous Improvement" project (see Chapter 6), in 2022 SMEG launched a project to reduce production waste, which was later expanded upon in 2023. The goal was to identify, quantify and reduce the major production waste in order to then minimise its related environmental impact as well as the related costs. The project involved mapping the main clusters of product categories, which then gave rise to a number of micro improvement projects aimed at reducing waste and at obtaining an efficient 360° management of such waste and the reduction of costs.

An analysis revealed that two thirds of all waste results from certain production issues, including the following waste categories: enamelled, glass and user interface cards with a metal component and front glass, or, alternatively, stainless steel. With reference to the enamelled ones, the enamelling process was reviewed and greater focus was paid to the settings, whilst changes were also made to the design of the components. Specifically, certain geometries were modified so that the enamel could flow more easily and completely. There is also the case of non-conforming materials. In this situation, materials are sent back to the enamelling plant and each phase is subjected to specific checks.

With regard, however, to materials (sheet metal), in which certain incorrect nominal characteristics were recorded, preliminary incoming checks have been introduced in order to isolate any defective batches and to identify the supplier in question so that supplies can be pulled from other suppliers.

The **"zero forklifts" project** has also been implemented in order to recover waste from production lines with regard to defective components. The aim is to return these to the supplier, paying particular attention to their handling so as not to create any further problems beyond the original non-conformity issue. Finally, also with reference to glass waste generated by the production lines, focus is concentrated on improved handling procedures to avoid further damaging the materials to be returned to suppliers.

Mention should also be made of the rolling range which involves approximately one third of the range per year. In anticipation of the release of a model from production, the end-of-range quantity needs to be planned. In 2022, this task was done in a more structured way thanks to the creation of a dedicated team that will, in particular, be responsible for:

- recovering components from the warehouse storing obsolete items;
- planning the end-of-range more carefully, including for new models, so that all the components can be used and can be, ideally, eliminated from storage;
- reviewing reference procedures.

Goods Receiving personnel are responsible for checking that the quantities of incoming materials correspond to the company's needs.

With regard to this, it should be noted that the Group is also attentive to recovering materials used to perform tests.

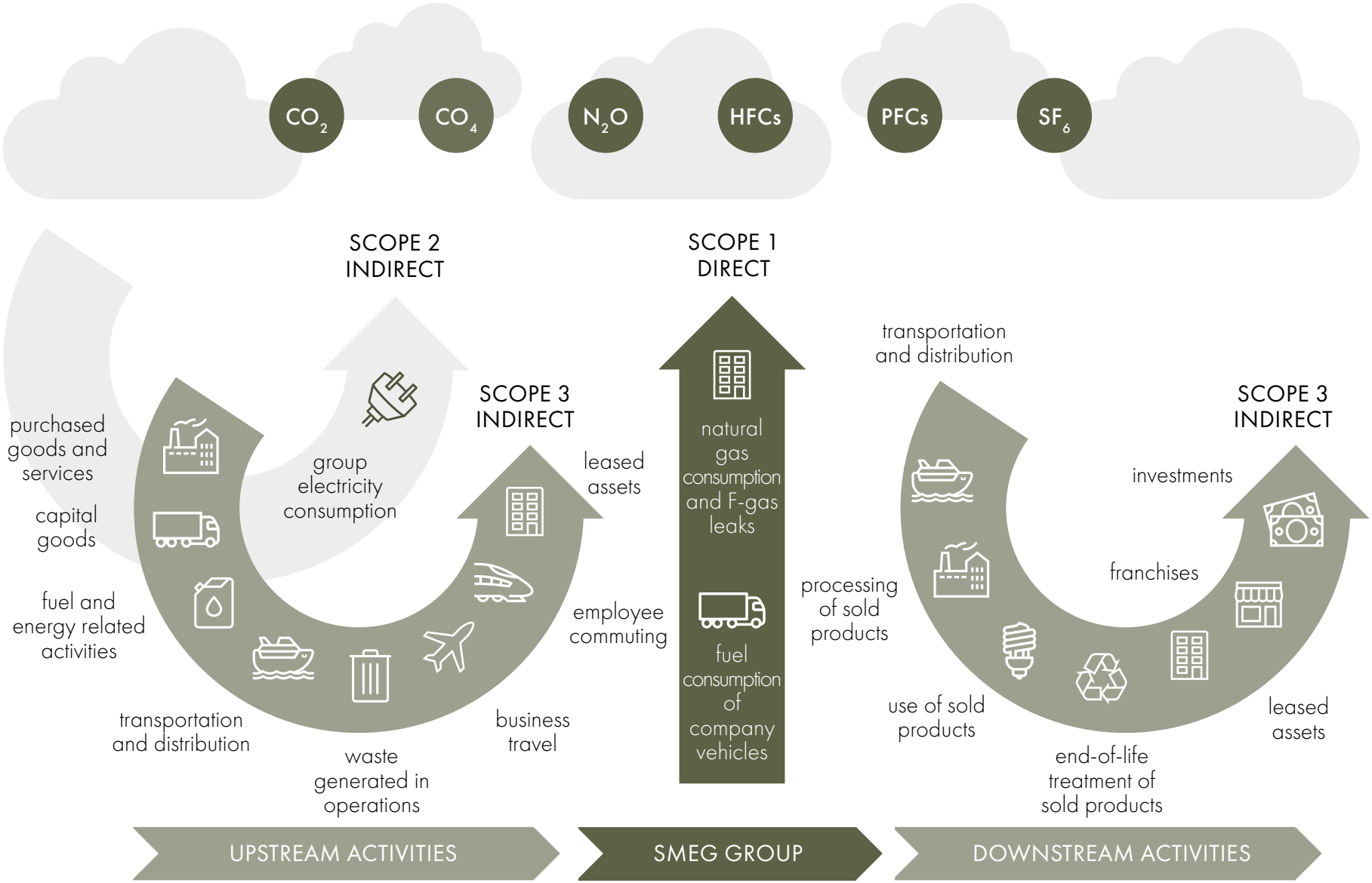
Last but not least, a working group has been created to focus on new products in production. The group is responsible for checking the potential presence of issues in the final phases of production that could lead to waste being generated. This monitoring allows an upstream filter to be activated of potential components of the waste to be recovered.

Calculating direct and indirect emissions

Beginning with the consumption listed above, it has been possible to reconstruct the Group's carbon footprint. For the Group, the measurement of direct and indirect emissions represents the first step in the process of identifying and planning suitable strategies for the reduction and offsetting of emissions directly and indirectly related to the company's activities.

Reference, in particular, is made to the **direct and indirect emissions of greenhouse gases (GHGs)**, for which the following emissions sources have been identified:

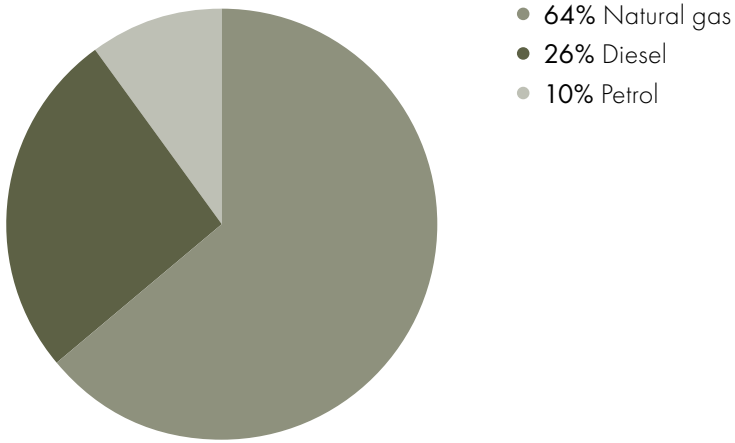
- **the direct (Scope 1) GHG emissions** generated by the consumption of natural gas (methane), in particular, in the operation of the enamelling kiln, by the consumption of fuel by the company's fleet of vehicles, by the escape of refrigerant gases used in the operation of air conditioning systems, and by the consumption of diesel for electricity generators;
- **the indirect (Scope 2) GHG emissions**, traced to the consumption of electricity acquired from third parties. As of 2022, the production companies, and some commercial distribution companies, signed supply contracts for electricity from certified renewable sources, supported by Guarantees of Origin. This decision helps to reduce the greenhouse gas emissions associated with electricity. The Group's goal is to meet 100% of its electricity supply needs from renewable sources.
- **the indirect (Scope 3) GHG emissions** generated by all the activities upstream and downstream of the Group's value chain.


CO_2
CO_4
N_2O
HFCs
PFCs
SF_6
SCOPE 2
INDIRECT
SCOPE 1
DIRECT
SCOPE 3
INDIRECT
SCOPE 3
INDIRECT
purchased goods and services
capital goods
fuel and energy related activities
transportation and distribution
waste generated in operations
business travel
employee commuting
leased assets
group electricity consumption
natural gas consumption and F-gas leaks
fuel consumption of company vehicles
transportation and distribution
processing of sold products
use of sold products
end-of-life treatment of sold products
leased assets
franchises
investments
UPSTREAM ACTIVITIES
SMEG GROUP
DOWNSTREAM ACTIVITIES

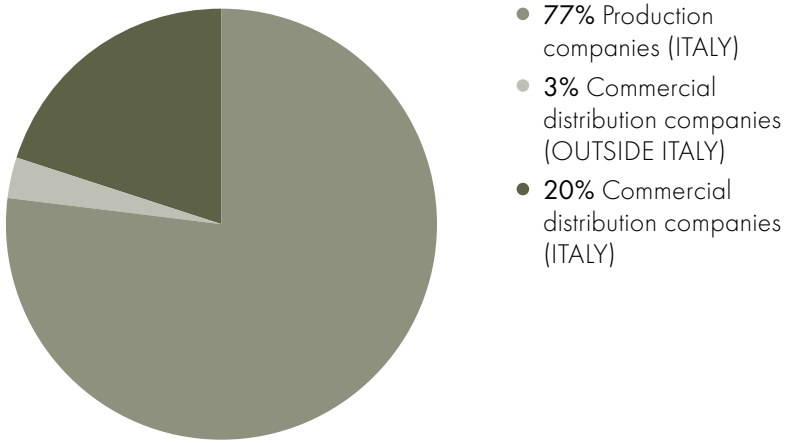
In 2023 the Group generated a total of 6,519.63 tonnes of CO_2eq in direct emissions (Scope 1) - with an emissions intensity[8] of 0.0000076 tonnes of CO_2eq/€K - down by 8% compared to the 7,090.70[9] tonnes of CO_2eq recorded in 2022.

With reference to the production of indirect (Scope 2) emissions, during the year the Group generated 4,587.87 tonnes of CO_2eq (calculated using the location-based methodology), down 32% compared to the 6,776.489 tonnes of CO_2eq recorded in 2022 - and 5,195.89 tonnes of CO_2eq (calculated using the market-based methodology), +94.9% compared to the 2,665.309 tonnes of CO_2eq in 2022 - with respective emissions intensities of 0.0000054 tonnes of CO_2eq/€K and 0.0000061 tonnes of CO_2eq/€K.

DIRECT (SCOPE 1) EMISSIONS BY THE GROUP IN 2023



INDIRECT (SCOPE 2 - LOCATION-BASED) EMISSIONS BY THE GROUP, BY TYPE OF COMPANY (2023)

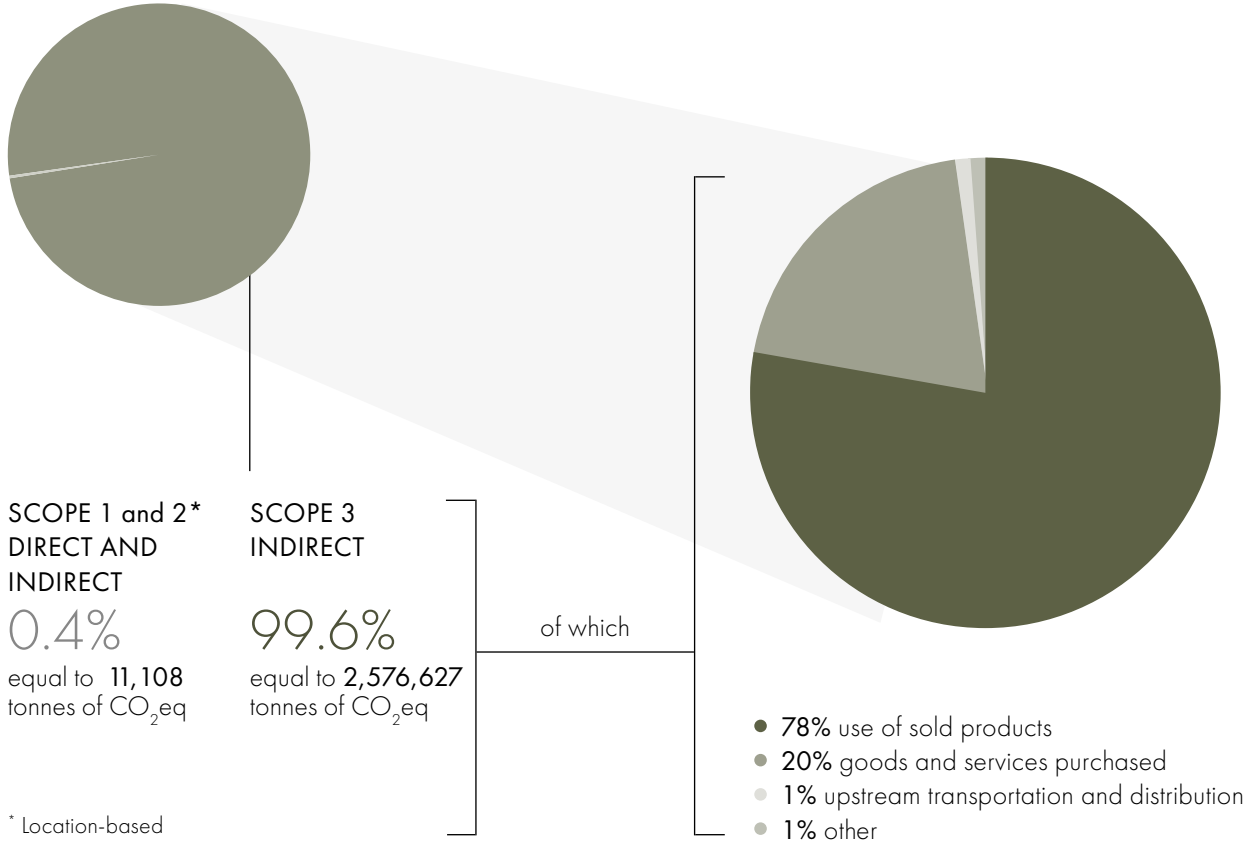


[8] Emissions intensity is calculated by comparing the total CO_2 emissions generated (tonnes of CO_2eq) with the revenue from sales and services for the year under review (€K).

[9] The data for 2022 are updated based on a recalculation of the data from 2022 to include the emissions generated by the company Fri.Med

Finally, indirect (Scope 3) emissions were 2,576,627.37 tonnes of $Co2eq_2eq$ (2,330,513[10] tonnes of $CO2eq_2$ in 2022), up 10.6% compared to the previous year. Scope 3 emissions are shown to have the greatest impact on total GHG emissions generated by the Group, representing more than 99.6% of the Group's carbon footprint.

In more detail, the following categories, in line with the specific nature of the Group's business, have a particularly large impact on the total Scope 3 emissions figure: the product use phase (78%) and the goods and services purchased (20%). Specifically, the use phase appears to be the one with the greatest impact for a company such as SMEG S.p.A. which produces durable goods that need energy in order to operate. To minimise the emissions relating to this category, the Company focuses on improving the energy efficiency of products to be placed on the market in order to reduce their energy consumption and, consequently, the emissions generated (see Chapter 6).



[10] The data for 2022 have been updated based on a recalculation of the data from 2022 to include the emissions generated by the company Fri.Med

The Group's GHG inventory, done in 2021, 2022 and 2023 and subject, as of 2022, to an independent third-party verification, is given below.

Emissions category			Carbon footprint (tonnes of CO_2eq)		
			2023	2022[11] – recalculation	2021[12] – recalculation
Scope 1		Direct emissions	6,520	7,091	7,795
Scope 2		Indirect emissions (Market-based)	5,196	2,665	2,423
Scope 3	Cat. 1	Purchase of goods and services	513,169	309,491	668,100
	Cat. 2	Capital goods	8,208	10,501	1,871
	Cat. 3	Fuel and energy activities	2,042	2,289	1,839
	Cat. 4	Transportation and upstream distribution	24,517	21,835	101,326
	Cat. 5	Waste generated by operating activities	296	400	1,026
	Cat. 6	Work-related travel	1,548	281	307
	Cat. 7	Employee commutes between home-work	4,142	4,806	3,702
	Cat. 9	Transportation and downstream distribution	479	5,308	6,210
	Cat. 11	Use of sold products	2,021,782	1,975,150	2,348,106
	Cat. 12	Handling sold, end-of-life products	445	452	618
Total carbon footprint			**2,588,343**	**2,340,248**	**3,143,323**

The results of the Carbon Footprint 2022 were also reported in the CDP Climate Change 2023 questionnaire, to which the Group responded for the third time, demonstrating the transparency of reporting its impacts and its management of the issues it faces regarding climate change. Moreover, as of the 2023 edition, the results have been made public and can be consulted on the CDP website.

The results of the Carbon Footprint 2023 analysis were, instead, reported in the CDP Climate Change 2024 questionnaire[13].

[11] Data restated following the recalculation of the data from 2022 to include the emissions generated by the company Fri.Med

[12] Data restated following the recalculation of the data from 2021 to include the emissions generated by the company Fri.Med

[13] The results will be reported in the next edition of the Group's Sustainability Report.

CDP Climate Change 2023

SMEG S.p.A first signed up to the CDP (Carbon Disclosure Project) Climate Change questionnaire in 2021 and continued to take part in the survey in 2022 and 2023.

The questionnaire was created with the aim of helping companies increase their awareness of how to manage the risks and opportunities connected to climate change effectively and of where greenhouse gas emissions are generated along their value chain.

Underlying this awareness is the need to measure and report on one's own carbon footprint and the safeguards put in place to meet the challenge of combating climate change.

The participation in the 2023 questionnaire returned a satisfactory result for SMEG (B), obtaining a higher score than it received last time, thanks above all to the in-depth work done on calculating the direct and indirect GHG emissions along the value chain.

Next steps

	STATUS
Definition of a Group climate strategy with the identification of measurable objectives and targets to be submitted to the Science-Based Target Initiative	
Publication, beginning in 2023, of the results of the CDP Climate Change questionnaire	

On track Work in progress

Other atmospheric emissions

Within the production sites, potentially harmful emissions are mainly generated by a few clearly identifiable sources:

- the **extraction of dust**, which includes particulate matter (or "emery") generated by the grinding and polishing of steel;
- **central heating systems** used to heat the different areas;
- **test benches**;
- **insulation** processes;
- **welding** processes;
- polyurethane **foaming** process;
- **soundproofing** process;
- **enamelling** process; in this regard, note that as of 2014 all systems in the enamelling department have been progressively replaced, with a significant improvement in atmospheric emissions.

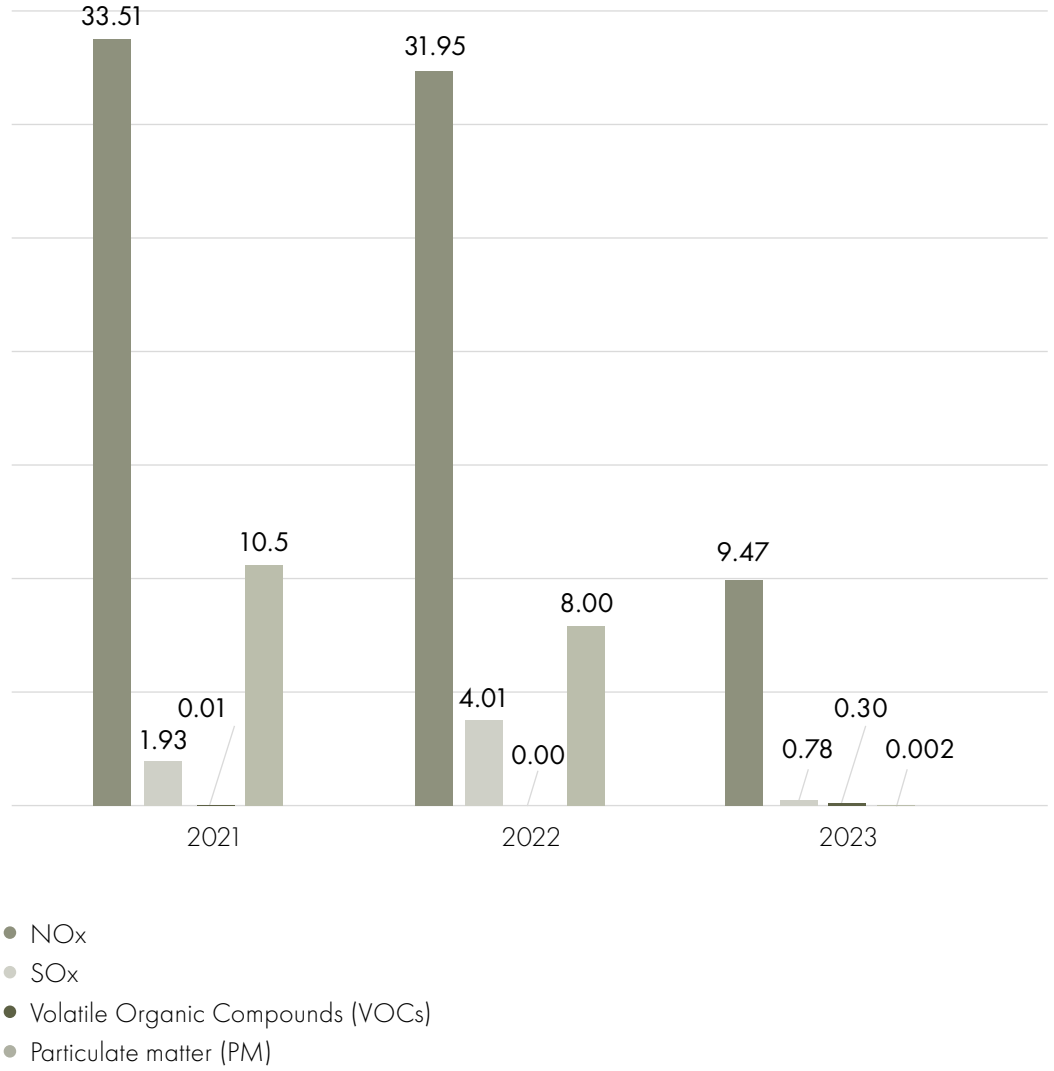
All emissions from the aforementioned activities are constantly monitored, and the different emission points, duly authorised, are periodically checked and monitored – normally on an annual basis, except for the six-monthly requirement applicable to enamelling kiln emissions – by the appropriate bodies.

Specifically, all of the production companies, with the exception of La Pavoni, operate under the single environmental authorisation scheme (Autorizzazione Unica Ambientale, AUA) in accordance with current legislation. The AUA provides companies with the list of atmospheric emissions to be monitored, and how frequently. Moreover, all buildings and workplaces are equipped with dedicated engineering systems to keep them constantly well ventilated and free of potentially harmful substances for the personnel present.

Prior to the installation of each new system, preliminary checks are carried out to understand the impact in terms of emissions generated by the system's operations.

The following graph shows the significant emissions generated and released into the atmosphere by Apell and Bonferraro in the three-year period, 2021-2023.

SIGNIFICANT EMISSIONS, BY TYPE, OVER THE THREE-YEAR PERIOD 2021-2023 (in kg)



PRESERVATION OF NATURAL DIVERSITY

The production, repair and sales of major and small domestic appliances can have different impacts – along the value chain (upstream activities, direct activities and downstream activities) – on biodiversity in terms of: change in the use of land, water, sea; exploitation of natural resources; contribution to climate change through the generation of GHG emissions; pollution of the atmosphere, water, the soil and pollution related to the production of solid waste; biological modification/interference as a result of the presence of invasive species.

In order to understand the extent of the impacts of the sector in which the Group operates on the loss of biodiversity, an analysis was carried out in 2022 using the "Sectoral Materiality Tool"[14] provided by the Science-Based Targets Network (SBTN). This tool helps companies to identify priority pressure areas for which quantitative objectives and targets may need to be set in order to contribute to the protection and restoration of biodiversity. Specifically, beginning with the sector of reference[15] , it is possible to evaluate the potential impacts (not actual) derived from the value chain activities of companies in the sector in terms of environmental pressures. Evaluations are laid out according to the following scale which measures the intensity of the impact:

- Low and Very Low – in this case, the impacts identified at this level of intensity may be excluded from the priority pressure areas;
- Medium – every impact with this rating must be taken into consideration among the priority pressure areas;
- Very High and High – every impact with this rating must be taken into consideration among the priority pressure areas;
- No data - when there is insufficient information to make an evaluation. But this does not mean that there is not a potential impact (hence, such aspects must be included among the priority pressure areas).

[14] Version 2 - July 2021.

[15] For SMEG, reference was made to the following ISIC classifications: *Manufacture of domestic appliances; Repair of household appliances and home and garden equipment; Retail sale of electrical household appliances, furniture, lighting equipment and other household articles in specialised stores.*

The results of the evaluation carried out by the Group are given below. It should be noted that in the case of downstream activities, every impact area, with reference to three activities analysed, resulted in a lack of sufficient information to be able to perform a correct evaluation of the intensity of the impact (that is why they are not shown in the table below, and not because they are considered exempt from generating a potential impact).

Reference activities (ISIC classification)	Value chain	Priority pressure area	Impact evaluation
Manufacture of domestic appliances	Upstream activities	Change in the use of land, water, the sea	• Terrestrial ecosystem: medium impact • Freshwater ecosystems: medium impact • Marine ecosystems: medium impact
		Exploitation of resources	• Use of water resources: medium impact • Use of other resources: data not available to evaluate the impact
		Climate change	• GHG emissions (upstream): very high impact
		Pollution	• Other atmospheric emissions (not GHGs): medium impact • Water pollutants: medium impact • Soil pollutants: medium impact • Solid waste: medium impact
		Invasive and other species	• Noise and light pollution: medium impact • Biological modification/interference: data not available to evaluate the impact
	Direct activities	Change in the use of land, water, the sea	• Terrestrial, freshwater and marine ecosystem: data not available to evaluate the impact
		Exploitation of resources	• Use of water resources: high impact • Use of other resources: data not available to evaluate the impact
		Climate change	• GHG emissions (direct operations): high impact
		Pollution	• Other atmospheric emissions (not GHGs): medium impact • Water pollutants: high impact • Soil pollutants: high impact • Solid waste: high impact
		Invasive and other species	• Noise and light pollution: medium impact • Biological modification/interference: data not available to evaluate the impact

Reference activities (ISIC classification)	Value chain	Priority pressure area	Impact evaluation
Repair of household appliances and home and garden equipment	Upstream activities	Change in the use of land, water, the sea	• Terrestrial ecosystem: medium impact • Freshwater ecosystems: medium impact • Marine ecosystems: medium impact
		Exploitation of resources	• Use of water resources: medium impact • Use of other resources: data not available to evaluate the impact
		Climate change	• GHG emissions (upstream): very high impact
		Pollution	• Other atmospheric emissions (not GHGs): medium impact • Water pollutants: medium impact • Soil pollutants: medium impact • Solid waste: medium impact
		Invasive and other species	• Noise and light pollution: medium impact • Biological modification/interference: data not available to evaluate the impact
	Direct activities	Change in the use of land, water, the sea	• Terrestrial, freshwater and marine ecosystem: data not available to evaluate the impact
		Exploitation of resources	• Use of water resources: high impact • Use of other resources: data not available to evaluate the impact
		Climate change	• GHG emissions (direct operations): data not available to evaluate the impact
		Pollution	• Other atmospheric emissions (not GHGs): medium impact • Water pollutants: high impact • Soil pollutants: high impact • Solid waste: medium impact
		Invasive and other species	• Noise and light pollution and biological modification/interference: data not available to evaluate the impact

Reference activities (ISIC classification)	Value chain	Priority pressure area	Impact evaluation
Sale of domestic appliances	Upstream activities	Change in the use of land, water, the sea	• Terrestrial ecosystem: medium impact • Freshwater ecosystems: medium impact • Marine ecosystems: medium impact
		Exploitation of resources	• Use of water resources: medium impact • Use of other resources: data not available to evaluate the impact
		Climate change	• GHG emissions (upstream): very high impact
		Pollution	• Other atmospheric emissions (not GHGs): medium impact • Water pollutants: medium impact • Soil pollutants: medium impact • Solid waste: medium impact
		Invasive and other species	• Noise and light pollution: medium impact • Biological modification/interference: data not available to evaluate the impact
	Direct activities	Change in the use of land, water, the sea	• Terrestrial, freshwater and marine ecosystem: data not available to evaluate the impact
		Exploitation of resources	• Use of water resources: high impact • Use of other resources: data not available to evaluate the impact
		Climate change	• GHG emissions (direct operations): data not available to evaluate the impact
		Pollution	• Other atmospheric emissions (not GHGs): medium impact • Water pollutants: high impact • Soil pollutants: high impact • Solid waste: medium impact
		Invasive and other species	• Noise and light pollution and biological modification/interference: data not available to evaluate the impact

With reference to the direct impacts on biodiversity, it should be noted that SMEG S.p.A.'s headquarters[16] are set in natural surroundings, featuring a park measuring 380,646 m^2 of which only **23.9%** has been built on - in line with the Parent Company's goal to **maintain a "built-up area to total area" ratio of less than 30%** - taking care to blend the buildings into and harmonise them with the surrounding natural setting, creating a buffer between the production activities and the civil context beyond its borders.

There is a **protected area**[17] within the company's boundary, which covers a total of 190,485 m^2, corresponding to the green areas and the drainage canal that runs through the facility.

The company's natural park is home to **1,681 trees** belonging to **33 different species**. Whenever a tree has to be felled, the Company ensures that two other specimens of the same species are planted. This makes it possible to transplant and maintain indigenous tree species, such as, for example, poplar, field maple, cypress poplar and prunus, and protect the local fauna, including pheasants, hares, magpies and carps; the latter can be found in the Zenzalino drainage canal. Each tree is tagged and registered and, through the analysis carried out with the CNR (see the box below for more detail), the surface areas of the shrubs, lawns and agricultural crops were calculated.

Again in 2022, the new company garden was completed, with many trees being planted as well as hedges and beds of perennial shrubs and herbaceous plants.

The vegetation now plays an important role in absorbing CO_2 and therefore helps to mitigate atmospheric emissions.

PLAN OF THE SMEG SITE



[16] Locatable at the following GPS coordinates: 44.923181 - 10.726723. The facility is classified at the land register by parcels 409, 379, 420, 417, 418, 412, 54, 80 of sheet 13 of the Municipality of Guastalla.
[17] 2021 ISTAT agricultural census.



The survey of the vegetation present at the SMEG facility (Guastalla)

In 2021, in line with the huge attention paid to green areas and the natural surroundings in which the facility is set, in 2022 SMEG decided to launch a collaboration with the CNR[18] in order to monitor, through the measurement[19] and classification of the species present in the headquarters' park, the annual capacity of the surrounding vegetation to absorb CO_2 (the sequestration of CO_2 from the atmosphere), to store CO_2 in its biomass (roots, trunk and leaves) and to remove polluting gases (ozone) and inhalable particulate matter (PM10) from the atmosphere.

To estimate mitigation, the US calculation model i-Tree Eco v 6.1.40 was used. This was created at the end of the 1990s as UFORE (Urban Forest Effects) and was implemented and updated by the Forest Service of the United States' Department of Agriculture (USDA), with support from the research group, IBE-CNR. The aim was to be able to contextualise the model in the micro-climate conditions and air quality found in various Italian regions.

Specifically, the vegetation currently present at the SMEG facility has the capacity to sequester 99.7 tonnes of CO_2 each year. The results also highlighted that the same plants, from the moment they were planted to the current date, have been able to store 4,514 tonnes of carbon dioxide in their biomass and purify the air **by removing 693 kg of pollutants each year**, including, for the most part, ozone (383 kg) and PM10 particulate matter (156 kg), both of which are harmful to the health and well-being of the environment and people.

The details regarding the capacity to sequester and store CO_2 and remove pollutant gases from the atmosphere is given below. It covers the most numerous and larger (in terms of trunk diameter and height) tree species present in the park.

Tree species	Number of plants	Contribution to improving the quality of the atmosphere
Rows of poplar (Populus nigra var. italica)	1,187 plants (representing more than 70% of the plants present at the facility)	Annually: • They sequester 90 tonnes of CO_2; • They remove approximately 400 kg of pollutants (220 kg of O_3, 90 kg of PM10 and 75 kg of NO_2); • They produce 65 tonnes di O_2; • They store 4,048 tonnes of CO_2 in their biomass.
Linden (Tilia platyphyllos)[20]	77 plants	Annually: • They store 37 tonnes of CO_2 in their biomass
Oak (Quercus robur)	55 plants (representing 3.3% of the plants present at the facility)	Annually: • They sequester 2.35 tonnes of CO_2; • They remove 69 kg of pollutants, mainly O_3 (38 kg) and PM10 (16 kg); • They store 104 tonnes of CO_2 in their biomass.
Plane tree (Platanus x hybrida)	29 plants (representing 1.7% of the plants present at the facility)	Annually: • They remove 74 kg of pollutants, mainly O_3 (41 kg) and PM10 (17 kg); • They store 49.6 tonnes of CO_2 in their biomass.
Elm (Ulmus)	16 plants (representing 1.2% of the plants present at the facility)	Annually: • They store 56 tonnes of CO_2 in their biomass.

[18] The "Phytoremediation and environmental mitigation" research group at the Institute for the Bioeconomy at the National Research Council in Bologna (Consiglio Nazionale delle Ricerche di Bologna).
[19] Through the use of biometric measurements and predictive models. Specifically, a decision was made to perform simulations for 5 different periods of the year based on similar photoperiod and temperature values which are the main drivers of photosynthesis and, therefore, of CO_2 storage. For each period, a 48-hour simulation was run which represents the typical day of CO_2 absorption for each crop (grass, shrub/bush, etc.). The daily values were then multiplied by the number of days corresponding to each time period in order to obtain the annual sum of CO_2 sequestered by each individual species.
[20] Together with plane trees and elms, they contribute to sequestering 3%, representing a total of 5.5 tonnes of CO_2 sequestered annually.

Trees total	CO_2 accumulated	CO_2 sequestered	Pollutants removed	O_3	NO_2	SO_2	PM10	Oxygen produced
	t	t/year			Kg/year			t/year
1,683	4,514	99.7	693	383	130	24	156	72

Species	CO_2 sequestered
	t/year
Lawn and crops	81.4
Hedges and shrubs	14
Total	95.4

The study also made it possible to assess the important ecosystem service provided by the plants in the company park in maintaining local biodiversity and reducing water runoff - equal to 335 m^3 a year - easing the handling of intense, localised rainfall due to increasingly frequent extreme climatic events.

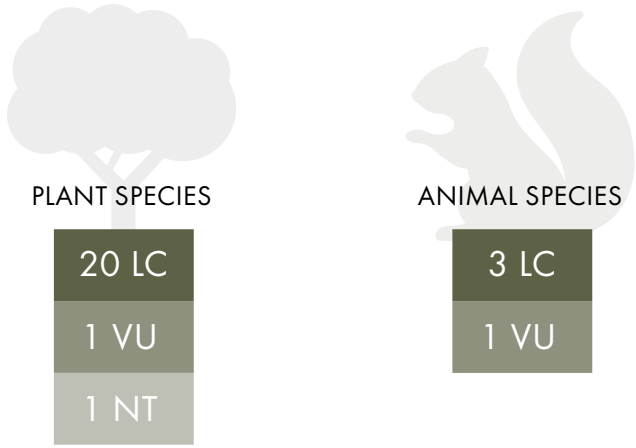
The species which contribute most to reducing surface runoff are Populus nigra var. italica, with about 200 m^3/year, followed by Platanus x hybrida (34 m^3/year) and Quercus robur (32 m^3/year).

Finally, it has been estimated that the areas devoted to shrubs and bushes, ornamental lawns and grain and alfalfa contribute significantly to air quality by absorbing 95.4 tonnes of CO_2 each year, leading to the overall mitigation of CO_2 at the SMEG facility of 195 tonnes per year.

Species	CO_2 sequestered
	t/year
Most represented species: *Carpinus betulus, Laurus nobilis, Trachelospermum jasminoides, edera elix, Cotoneaster spp.* Lesser represented species: *Rosmarinus officinalis, Lavandula angustifolia, Rosa spp., Cornus alba 'Elagantisssima', Cupressocyparis leylandii, Prunus laurocerasus, Pyracantha spp., Ophiopohn japonicus 'Minor'*, etc.	14.0
Ornamental lawns, alfalfa, grain	81.4
Total	95.4

In order to detect the presence of local flora and fauna at risk of extinction, SMEG repeated the analysis carried out through the online platform made available by the **International Union for Conservation of Nature's (IUCN) Red List**[21] . Specifically, the Red List identifies the following threat levels for animal and plant species: "Least Concern" (LC); "Near Threatened" (NT); "Vulnerable" (VU); "Endangered" (EN); "Critically Endangered" (CR); "Extinct in the Wild" (EW); "Extinct" (EX).

The analysis conducted by SMEG revealed the following results[22]:



[21] The IUCN Red List of Threatened Species was established in 1964 and is now considered the world's most comprehensive source of information on the global extinction risk status of animal, fungi and plant species.

[22] With reference to plant species, of the 33 plant species surveyed in the SMEG park, the analysis conducted did not provide any information for 10 species (not catalogued in the IUCN Red List, or for which the assessment was not possible due to insufficient data, as indicated by the Red List acronym "DD").

[23] An association that, for the past 10 years, has worked to preserve, restore and create forests across the world. Every forest project is carefully selected in accordance with the criteria defined by the organisation and the trees planted are monitored long-term in order to ensure they are conserved.

The IUCN Red List also tracks the growth or decline of the animals and plants recorded. Specifically, with reference to the species present in the park at Guastalla, approximately 35% of those analysed through the study described above show a stable population trend, while about 27% are in decline. Trends for 31% of the analysed species are not known, and 8% of the analysed species (*Ficus carica and Thuja occidentalis*) appear to show a growth trend in the relative population.

In order to contribute to the preservation of regional nature areas, in 2021 SMEG also joined – as an ordinary member – the **KILOMETROVERDEPARMA** initiative. Created in 2015 and operational in 2020, this initiative has been driven by a group of virtuous companies in the region, both public and private. This project aims to contribute to **reforestation in the Province of Parma**, thus generating a positive impact on the environment and local community. SMEG S.p.A. has made some land available in Mezzani (PR) to plant around 700 plants (ash, maple, hornbeam and oak) over 11,000 m^2. The planting is scheduled for 2024. In 2023, a well will be sunk in the area of reference and trees will subsequently be planted. The operation is scheduled for completion in 2024 and an update on the progress of the project will be included in the next edition of the Sustainability Report.

Smeg France has also taken action to improve and recover local biodiversity. In particular, in line with the provisions defined in the *Contrat Climat* signed in July (for more details see the "Carbon footprint" section), as part of the ReforestAction[23] project the company has helped to plant around 6,000 trees in the forests of Normandy, France, which are estimated to absorb 300 tonnes of CO_2 over the next 30 years.

Use of water resources

The water supply for Group companies is provided through the following distinct types:

- drawn from wells (for a total of 11 wells[24]) to support production (in the cases of Bonferraro and Apell) and for normal irrigation use. In addition, with reference to the SMEG facility, there are also more than 100 coolers – located in the main plant, in warehouses and in production areas – the supply for which comes, to the greatest extent possible, from wells. The cubic metres of groundwater taken from wells are used to replenish the aquifer;
- drawn from mains water for drinking water, for catering at the SMEG and Bonferraro cafeterias, for toilet facilities and for the fire-fighting reserve at the San Girolamo site. In the case of commercial distribution companies, in Italy as well as outside Italy, water is taken from mains water. The quantities drawn are subsequently discharged into the public drains/sewage system.
- At the San Girolamo site, water is also used, albeit to a minimal extent, inside the review cabin during the enamelling phase.

Specifically, SMEG S.p.A.'s water supply draws from the mains water for sanitation and drinking water, and from wells for irrigation and fire prevention. Water drawn from the mains water supply is entered back into the public drainage system, while water drawn from wells is returned to the environment via evaporation, surface runoff and groundwater leaching.

The Group's environmental policy aims to reduce the environmental impact relating to the use of water across every production phase and every phase of a product's life, in line with what is constantly monitored through the Environmental Management System, including the continuous assessment of risk factors to prevent any potential environmental damage.

In the specific case of Bonferraro, a preference is given to solutions that prevent water taken from the aquifer from being wasted. Water is drawn from groundwater reserves via the wells and used at a production level to test equipment, irrigate green spaces, and for sanitation purposes.

Furthermore, service systems have been installed to serve returnable-circuit production, with the consequent decommissioning of non-returnable circuit systems and plants. The company has, therefore, set itself the objective of annually improving the monitoring and the control of water consumption, in particular in test laboratories and in rooms used for quality control, made possible thanks to the widespread installation of 42 water meters.

[24] SMEG uses 5 wells in San Girolamo and 1 well in Guastalla.

Consumption is measured on a monthly basis while plant integrity and water distribution are continuously monitored.

Constant attention is devoted to the design and manufacture of low water washing equipment and to limiting water discharge.

At Apell, the water needed for the production process is drawn alternately from two artesian wells and is used to wash steel objects, to produce demineralised water (to supply the washing plant), to provide cooling water for welding equipment, and for the sanitary discharges of the site's toilets. Approximately 30% of the water used to cool welding equipment is conveyed to the washing plant instead of being discharged to the drainage system.

The groundwater levels of the artesian wells are measured every four years, while a pumping test is conducted with special equipment to determine the wells' capacity to recover to optimum levels. This assessment indicates the potential capacity of each well in cubic metres.

Other monthly monitoring activities include reading the general meters (sum of the 2 wells) and checking the cooling and demineralised water production plants. This assessment helps to distinguish which of the plants consumed the highest percentage of the total amount drawn during the given month, and whether this consumption can be explained by the operation of the plants alone or whether any anomalies may indicate the potential presence of water leaks. The monthly trend of total consumption is shown by the comparison between the number of pieces produced and the cubic metres of water used.

Mains drinking water is used for sanitary purposes in the building where the offices are located and for some of the sanitary services at the production site.

As regards La Pavoni, the use of water resources is limited to that required to meet legal obligations (specifically the need for water reserves in the event of a fire) and use by employees. A small proportion of the water is used to test the coffee machines.

The production company Fri. Med only uses one type of water resource, namely sanitary water (drinking water supplied by a third party via a municipal system). The volume of water discharged back into the system is exactly the same as the amount of sanitary water used. There are no water retention or storage basins. Water is also used in minimal and occasional quantities as a liquid vector for the boiler used in the production process.

Specifically, in 2023, the Group's total water withdrawal was 195.52 ML[25] – of which, 3% was carried out in water-stressed areas – a decrease of 23% compared to the quantities withdrawn in the previous year .

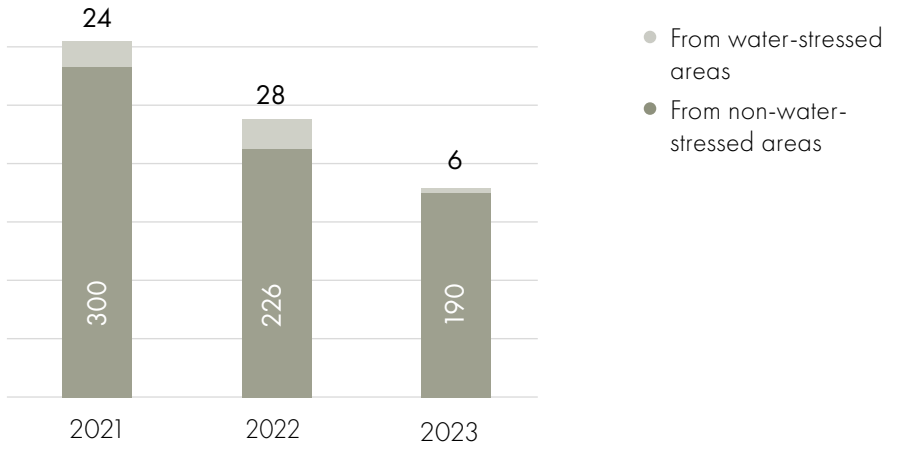
Effluents generated by the production sites are constantly monitored through quarterly analyses and more specific assessments carried out periodically.

The purification plants at various locations - with the exception of the SMEG S.p.A. site where analyses are conducted on discharges into the public drains/sewage system – are checked daily by internal personnel. Moreover, weekly maintenance of the entire equipment is conducted by specialist personnel from outside the company.

2023 saw the introduction of measures (such as the adoption of containment devices to prevent or limit damage) and actions (an annual simulation to plan for specific spill scenarios, for example) at the San Girolamo site aimed at managing and limiting the occurrence of emergency situations involving water resources.

At the Parent Company headquarters, industrial discharge has been reduced to zero for several years following the dismantling of the pickling activities previously carried out, and to date, water discharge into the sewage system concerns only the water used for the toilet facilities and the company cafeteria. The successful elimination of the sheet metal degreasing process in 2014 also eliminated the production of industrial effluent associated with the process. Consequently, the related purification plant was decommissioned and the industrial discharge into surface water was eliminated.

GROUP WATER WITHDRAWAL, OVER THE THREE-YEAR PERIOD 2021-2023 (ML)



Bonferraro performs **periodic analyses[26] on its wastewater** in accordance with the single environmental authorisation scheme's (Autorizzazione Unica Ambientale, AUA) requirements, with reference to COD, BOD, Zinc, Lead, Ammonium Ions, Nitric Nitrogen, Nitrous Nitrogen, Settleable Solids, Chloride Sulphates, Iron, Nickel, Phosphorous, Chromium, and Total Surfactants. The site has a chemical-physical purification system through which the industrial water is suitably treated before being discharged to surface water: the system also includes, among other things, a final automatic quality check with a turbidity meter, thanks to which the discharge is blocked in the event of an anomaly.

[25] The figure does not include values from the companies Domestika (included in the withdrawal data of Apell S.p.A.), SD Lazio, SMEG Canada, SMEG France, SMEG Mexico, SMEG Nordic, SMEG Poland, SMEG Spain and SMEG USA. In the case of INEA and Smeg UK, the 2023 data have been estimated on the basis of information taken from previous invoices.

[26] Monthly for discharge to surface water and annually for discharge to public sewers.

Finally, wastewater generated by testing operations is discharged to a chemical-physical purification plant. Bonferraro pays particular attention to the use of this kind of water to avoid waste. In 2023, the first step was taken in the process to connect the mains water supply to serve the cafeteria and the services in the north section of the facility.

Moreover, in order to reduce the risk of a potential non-conformity, **continuous pH meters** have been installed at the Apell facility, which stop the spill and signal the anomaly the moment that the thresholds are exceeded. Here, too, there is a purification system through which the industrial water is pre-treated with polyelectrolytes and flocculants to correct the pH and allow the solids to precipitate, and is then collected in an equalisation/accumulation tank. The two types of water (industrial and biological) are further treated following a process of denitrification, total oxidation, clarification, final disinfection, and then discharged. Finally, the effluent undergoes final disinfection with peracetic acid.

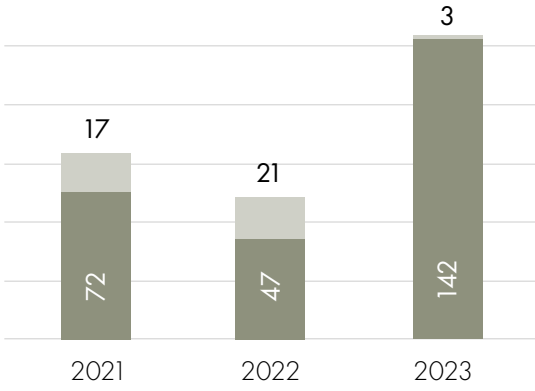
For La Pavoni, the amounts of water discharged into the sewage system mostly correspond to the volumes of water drawn for civil purposes and for the provision of the fire-fighting reserve. Water is only partially used for testing coffee machines but potentially harmful chemical substances are never used.

Lastly, the effluents of the Italian and foreign sales branches are mainly civil and in some cases related to the activities of the local warehouse.

In 2023, a total of 144.81 ML of water was discharged, 2% of which was in water-stressed areas. Unlike in previous years, the reporting this year considers all water discharge, including civil discharge. The amount of water discharge associated with the production sites alone was 71.48 ML in 2023.

The Group's total water consumption[27] in the year was therefore equal to 50.71 ML.

INDUSTRIAL WATER DISCHARGES IN THE THREE-YEAR PERIOD 2021-2023[28] (ML)



[27] The total water consumption is calculated by the difference between the Group's total water withdrawal and total water discharge.

[28] The data for 2021 and 2022 include industrial water discharge from the production companies only.



6

PRODUCTS

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CHAPTER PRESENTATION



GRI 3-3, GRI 301-1, GRI 301-2, GRI 416-2, GRI 417-1, GRI 417-2, GRI 417-3

MATERIAL TOPICS

- Sustainability and efficiency of resources
- Product safety and quality
- Research and innovation
- Energy efficiency of products

REFERENCE STAKEHOLDERS

- B2B customers
- Private customers
- Trade associations
- Universities and research centres

RISKS

- Increase in the costs linked to the transition to eco-sustainable materials.
- Scarcity of raw materials – particularly metal and electronic materials – and increase in their price due to the effects of exogenous factors (for example, the Covid-19 pandemic) on the market.
- Lack of differentiation between suppliers and consequent procurement from individual partners for the purchase of very specific goods and services, which, in situations of market pressure or in the event of a critical supply relationship, may determine a slowdown or the impossibility of procurement of the specific good or service.
- Long and uncertain delivery times required for some types of supply.
- Geopolitical instability, which could have repercussions on procurement choices but also on the purchasing decisions made by end customers.
- Reputational risks arising from the non-conformity of the finished product with respect to applicable regulatory requirements on product quality, safety and functionality.
- Risks linked to maintaining the quality of new, technologically complex products.
- Non-alignment with rapidly changing legislation on sustainability, especially with regard to the introduction of new bans and restrictions on the use of certain chemical substances deemed harmful to human health.
- Reputational risks related to the failure to promptly develop the innovations required by the market, uncertainty regarding the successful launch of said new products and the ability to simultaneously maintain the same levels of quality.
- Lack of awareness on the part of end customers regarding the proper use of the product, with consequent negative impacts in environmental (excessive consumption of, for example, energy and water) and social (safety during use) aspects.
- Misalignment between the sustainability strategy and the external communication of the same. Failure to communicate the actions undertaken in relation to sustainability would prevent consumers from making informed choices when purchasing.

OPPORTUNITIES

- Emerging consumer demands, increased awareness of climate change issues, and the proliferation of technical regulations issued by the European Union that impose increasing stringent standards are spurring the Group to invest and engage in Research and Development. The goal is to promote the creation of increasingly innovative, durable and environmentally conscious products while also ensuring the resilience and continuity of the Group's business model.
- Entry into new markets and strengthening of the brand following the development of new products with a lower environmental impact.
- The presence of a conformity mark issued by a third party on products reassures consumers, and stakeholders in general, of the safety and quality of the products placed on the market.
- Product innovation and the associated focus on sustainability not only allow the product portfolio to be expanded, strengthening the brand and catering to new end-consumer needs, but in the medium to long term also make costs and production processes more efficient.
- Lasting and constructive relationship with customers can foster strategies more aligned with market demands and needs in terms of sustainability.
- A solid corporate communication strategy able to externally transmit the commitment to sustainability also helps convey to consumers the Group's approach to sustainability

POLICIES, PROCEDURES AND OTHER RELEVANT DOCUMENTS

- Quality, the Environment and Safety Policy
- Quality Gates
- Eco-design strategies for the packaging of small and major domestic appliances
- Conformity requirements when having products approved
- List of substances prohibited or whose use is restricted
- Supplier qualification procedure
- Quality Agreement/Supplier Agreement

PROCUREMENT AND USE OF RAW MATERIALS

The main raw materials, components and processes purchased by the production sites mainly fall within 3 macro-categories:

- **Metals** (stainless steel and sheet metal);
- **Electronic components** (for example, circuit boards) and **electromechanical** components;
- **Moulding** (moulds purchased already customised according to specific production requirements) and **machining**.

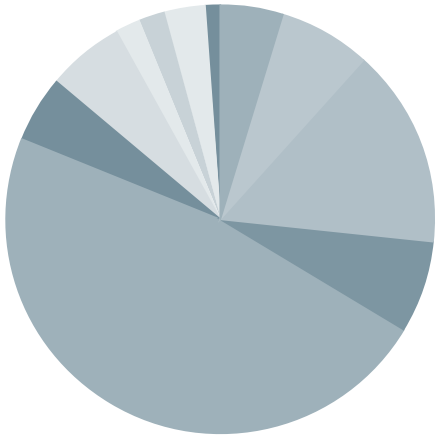
Other purchases include:

- Plastic;
- Fridge components;
- Motors;
- Glass;
- Toll manufacturing on mechanical and pre-assembled moulds;
- Cast-iron and chrome-plated wire grilles;
- Polystyrene, used as reinforcement, together with wood, for product packaging;
- Gas components;
- Rubber.

Lastly, the remaining raw materials used are enamel, wood, paper (used for manuals), cardboard (used for packaging), and multi-material (in the case of cabling for example, consisting of copper wire, silicone or PVC sheathing, metal connectors and plastic material).

Considering the production companies as a whole, the chart below provides a representation of the quantities (as a percentage of the total) of materials used during the year in question, broken down by type of material.

MATERIALS USED BY PRODUCTION COMPANIES, BY WEIGHT (%) IN 2023



- **5%** Wood
- **7%** Polystyrene
- **15%** Steel
- **7%** Plastic
- **48%** Sheet metal
- **5%** Glass
- **6%** Paper and cardboard
- **0%** Rubber
- **2%** Electronic components
- **2 %** Cast-iron
- **3%** Chrome-plated wire
- **1 %** Polyethylene

Smeg holds the ISCC[1] (*International Sustainability & Carbon Certification*) certification for the use of Tritan™ Renew, a recycled copolyester material that the Group uses to progressively replace certain plastic components in small domestic appliances. The certification process did not only involve the Group but every supplier that transforms and handles such material, thus guaranteeing complete transparency throughout the entire molecular recycling and production process.

[1] Internationally recognised sustainable materials certification system. This certification is awarded for the traceability of recycled materials on the basis of mass balance accounting principles and it guarantees compliance with superior sustainability requirements.

Tritan™ Renew

Tritan™ Renew can contain certified recycled material in various percentages[2] and is produced through an innovative molecular recycling process that reuses single-use plastic waste to create new materials, rather than fossil-based resources.

This technology can break down plastic waste into its base elements, to create materials to be reused in production processes. By replacing traditional fossil-based resources with recycled material, plastic waste is removed from landfill channels, reducing greenhouse gas emissions over time.

Tritan™ Renew offers the same levels of performance, quality and safety that distinguish Smeg products and, at the same time, is made with more sustainable and reliable materials.

This plastic is both hard-wearing and **free of BPA, BPS and BPF**, and is safe for use in food-contact applications.

Discover here which Smeg products are made with Tritan™ Renew

[2] Smeg S.p.A. chose Tritan™ Renew containing 50% certified recycled material.

With reference to packaging, which represents a fundamental part of the product to preserve its quality and avoid damage during transportation, the Group is actively pursuing more sustainable solutions, including in collaboration with universities and research centres, as well as with specialist suppliers (for more detail, see "Design and beauty").

The efforts taken towards substantially modifying the packaging, which began some years ago and initially involved the Small Domestic Appliance division, have led to the following improvements being made:

- elimination of all polyethylene (PE) bags that are not strictly necessary;
- replacement of non-disposable PE bags with cellulose viscose bags. The replacement project will subsequently be extended to accessories of Small Domestic Appliances;
- replacement of the protective polypropylene (PP) layer of the gift boxes with water-based paint;
- replacement of polystyrene with cardboard or cellulose pulp made from recycled material.

In the Major Domestic Appliances segment, in 2023 the "EPS-Ban" project was launched to comply with the ban on expanded polystyrene (EPS) for product packaging established in France and Australia, which will enter into force as of 2025. The project aims to replace all EPS components in the packaging used for hobs, ovens and kitchens with corrugated cardboard, while retaining the components made from wood and the final shrink-wrapping process. Initially SMEG plans to implement the project exclusively for products sold in France and Australia but is nonetheless laying the foundations for a future roll-out to all Smeg products.

The development of specific specifications has allowed the Group to optimise the final dimensions of the packaged product by creating specific platforms by type of product. Specifically, there are two main platforms for Major Domestic Appliances: one for ovens and one for cookers. Both provide for the shrink-wrapping of products and the main packaging structure, without the need for cardboard boxes.

In the Small and Major Domestic Appliances segments, the project to **reduce the amount of paper** used in manuals is of particular note, favouring online access of more detailed manuals which can be accessed using a QR Code, while also providing, together with the product itself, more concise manuals with just the essential information for use. A progressive reduction was seen in the number of pages making up user manuals for both types of product, culminating, in 2022, with "slim" versions of every Small Domestic Appliance manual.

Finally, it should be noted that in 2022 a **project was launched to map the material of origin** to ensure **greater traceability** - and consequent **quality** - both internally and externally in relationships with suppliers.

This aspect particularly regards components/materials covered by food contact regulations[3] yet also enables every possible defect in incoming materials to be traced, thus providing the ability to analyse the trends in quality delivered by suppliers.

[3] Regulation (EC) no. 1935/2004.

Next steps

	STATUS
Continuation of the project to replace plastic with Tritan™ Renew material	
Use of recycled FSC paper (the supply agreement was signed in 2022) for all production companies in the Group	
Further expansion and diversification of the Supplier Database to increase the efficiency, reactivity and resilience of the entire supply chain	
Formalisation of a vendor rating procedure with the inclusion of minimum requirements including in terms of social and environmental aspects by 2024	
Greater involvement of suppliers in order to avoid, wherever possible, the use of hazardous substances in the materials and components purchased	

On track Work in progress



DESIGN AND BEAUTY

The development of new products at the Group has always been characterised by the search for the highest standards of technological innovation accompanied by a strong focus on design and visual appeal. This combination represents a competitive factor and a distinctive value for Smeg products. It leads to a profitable "cross-fertilisation" of historic aesthetic lines created by internationally renowned architects (such as Renzo Piano) and the technical experience of the Group which has informed the company's know-how over time.

Innovation is driven by the desire to meet market expectations, as well as respond to emerging trends and seek solutions that build on the products' existing performance. The technology represents, furthermore, a fundamental component in the pursuit of the environmental and economic sustainability of products; in particular, SMEG is working hard to increase the durability of products. The **collaborations** established with **universities and research centres** are important in this regard and include, in particular, the Politecnico di Milano and, specifically, the Department of Design and the Department of Chemistry, Materials and Chemical Engineering (for more information, see "Eco-design").

The Group's more recent and significant innovation, research and development projects include the **Galileo Platform**, a combination of innovation, design, creativity and tradition and whose name is inspired by the genius and the revolutionary ideas of the scientist Galileo Galilei.

The Galileo Platform

Unique in its field and introducing a new concept of a new generation of multi-function intelligent ovens that combine various technologies: electric, grill, steam, microwave and low- temperature cooking with an additional pyrolytic function for the automatic cleaning and sanitising process.

In more detail, the project is based on the following 5 pillars:

- **innovation and smart cooking** as the foundation of the multicooking technology;
- **high technical performance, through the implementation of an innovative fluid-thermodynamic heating and cooking system;**
- **product design** guaranteed by using the aesthetic lines most representative of the Smeg style;
- **high quality experience for the end user**, thanks to the availability of professional accessories and algorithms combined with a user-friendly interface;
- **product sustainability**, extremely energy-efficient solutions (class A++) and destined to last.

The heart of the product is the cavity or "muffle": new welding technologies have in fact made it possible to obtain a watertight cavity, subsequently enamelled in the internal production process, which guarantees the coexistence of the three types of cooking (electric, microwave and steam). The latter can be used simultaneously in a single cooking process (vertical, or multitech approach), or in sequence, that is, in separate cooking steps, freely using the different technologies (horizontal, or multistep approach).

Thanks to these characteristics, the new line of ovens can ensure:

- **optimal and healthy cooking**, enhancing the specific characteristics of the food and maximising the quality of the food preparation process;
- **optimised energy consumption**, reduced by up to 25% compared to traditional cooking, also through the optimisation and guided customisation of recipes, and the possibility to reduce cooking times thanks to the combined use of the three different technologies;
- an **improved user experience**, through the integration of emerging connectivity solutions for home appliances with advanced sensor technology;

The creation of a product that represents the combination of three domestic appliances (a traditional oven, a microwave oven and a 100% steam oven) offers an advantage d in terms of fewer resources used and a consequent lower number of products to ultimately dispose of.

Product innovation is, in part, also achieved with reference to the **connectivity of products** and to their improved usability by the end user.

For several years now, the Company has been working on *smart appliances*. The solutions explored to date mainly concern additional components at the service of product use, such as access to digital manuals or the possibility to save recipes. This has been made possible thanks to the use of QR Codes affixed to products, which have already implemented for all Small Domestic Appliances. Through these QR Codes, information is collated and made available to users online, thereby reducing the use of paper to print manuals.

Further product digitalisation actions have also made it possible to remotely track the operation of certain products through IoT (*Internet of Things*) technology, laying the foundations for the further development of aspects concerning product maintenance done remotely and repair, the optimisation of energy consumption and continuous process improvement.

Finally, innovation is also synonymous with **greater accessibility**, aimed at providing a product experience that is increasingly inclusive of the diversity found in end customers.

Products, technological innovation and accessibility

Most cooker hobs currently available on the market are made using induction technology. This does, on the one hand, satisfy the need to save energy but, on the other hand, it also introduces difficulties from a product accessibility and product usability point of view. For example, the commands to turn on and turn off the induction cooker hob generate the same sound which prevents the two different functions from being distinguished and recognised audibly.

With this in mind, in 2023 SMEG completed the development of a silicone mat, with recessed knobs, designed to simplify the use of the induction hob by people with visually impairments and/or who have more than one disability (hearing and visual impairment). This product, which is now available on the market, represents just one example of **how accessibility criteria are integrated right from the design phase**.

This design solution was deemed compliant and validated by the **Italian National Institute for the Evaluation of Aids and Technologies (Istituto Nazionale Valutazione Ausili e Tecnologie**, INVAT) for two Smeg products in the "hobs" range.

Parallel to this, a study was launched to develop a similar product for ovens: a silicone cover that can be overlaid onto the front panel of ovens in the three-knob (displayless) range which features enlarged-print characters for partially sighted people and raised symbols that can be read by the blind.

Eco-design

Smeg products are designed reserving special attention to the integration of environmental protection requirements. The greatest attention is paid to the use of materials favouring, in particular, the choice of easily recyclable components such as steel, glass and aluminium.

At the same time the Group is considering, with increasing interest, the opportunities connected with the disassembly and recovery of components at a product's end of life.

For SMEG, adopting eco-design principles means progressively extending the life of a domestic appliance, simplifying its maintenance and striving to progressively improve its energy efficiency and technical performance in order to reduce its impact throughout its entire life cycle.

Special simulations are in fact carried out on home appliances through intensive and accelerated tests that simulate an average product life of 10 years in a more limited time period (a few months).

One venture in this regard is the recovery, repair and regeneration of obsolete circuit boards in domestic appliances, with the aim of reusing the boards in old products with faulty circuit boards. SMEG is currently working to streamline the collection of circuit boards removed by engineers during the repair and maintenance of domestic appliances, and to develop packaging for transporting them that can then be reused by the engineers.

Furthermore, the **use of modular elements** is increasingly important. In fact, SMEG is taking a design approach - which is in the planning stage - which will allow finished products to be easily disposed of in order to have them converted into secondary raw materials. One example of this is the minimisation of the use of glue, which leads to a greater use of screws making disassembling product components much easier, and another example is the use of glass that can be manually extracted in every oven.

Focus is also being directed towards expanded polystyrene (EPS): European legislation is moving towards restricting the use of EPS, as has already occurred in some countries outside the European Union[4]. Since it operates in various different markets, it is unreasonable to expect the Group to implement a different solution regarding the use of EPS in each country with different regulations. That is why the aim is to identify a standardised solution.

Finally, to improve the ecological footprint of products, as well as to scrupulously comply with European directives and regulations - in particular the RoHS (Restriction of Hazardous Substances) Directive, 2011/65/EU[5] and the REACH (Registration, Evaluation, Authorisation and Restriction of Chemicals) Regulation[6] no.1907/2006 - comfortably meeting the minimum values set by law, the Company has implemented an internal regulation - the **List of substances which are prohibited or whose use is restricted**[7] - which further expands the restrictions on the use of substances which are considered potentially harmful. This internal regulation provides guidance in selecting new materials or replacing existing ones in products, as well as guidance in the purchase of machinery and plants and systems used in the production process.

The list and established limits are also shown in the technical drawings in order that suppliers are aware of the requirements in place.

With regard to paints, an enamel – RoHS and REACH compliant and nickel-free – is used which is free of toxic components. Like the other materials used, this enamel is also subject to specific checks to ensure it is safe for use from this point of view and in some cases, external laboratories are used for support.

In consideration of developments to the European regulatory scenario, SMEG is **involved in discussions with the main trade associations** in order to contribute to the definition of more detailed criteria regarding the eco-design of products, even if this results in a downgrading of the product's energy class. Also central to the development of solutions with a lower environmental impact are **collaboration agreements with universities and research centres**. One such project of note is the work conducted in 2022 with the Politecnico di Milano (Department of Design and Department of Chemistry, Materials and Chemical Engineering) on the **Life Cycle Assessment (LCA) analysis** of the packaging of Major Domestic Appliances (ovens) and Small Domestic Appliances (blenders), and on the life cycle of the product COF01 (countertop oven), with the aim of optimising the company's knowhow in the fields of the circular economy and eco-design.

[4] For example, an Australian law is due to come into effect in 2025.

[5] The RoHS Directive provides for strict restrictions on the use of hazardous materials and substances such as lead, cadmium, mercury, hexavalent chromium VI, polybrominated biphenyls (PBBs) and polybrominated diphenyl ethers (PBDEs).

[6] REACH is a system governing the management of chemical substances, the regulation of which is intended to ensure a high level of protection of human health and the environment.

[7] Updated twice a year.

The collaboration project with the Politecnico di Milano regarding eco-design

Together with the Politecnico di Milano, the Company has initiated the project, "The application of design methods and tools for the environmental sustainability of packaging for small and major domestic appliances", which involved a research phase carried out between March and November 2022.

The project's goal was to map and quantify the environmental impacts connected to the packaging of Small Domestic Appliances and Major Domestic Appliances, deepening the knowledge relating to the sustainability of packaging. On the basis of the Life Cycle Analysis (LCA) methodology, the packaging of the following products was considered: the BLF01XXEU Blender and the SO6302TX Oven (60cm built-in oven).

More specifically, the LCA analysis made it possible to identify the phases with a greater environmental impact during the entire life cycle of the two packaging solutions.

With reference to the packaging for the oven, the phases with the greatest environmental impact are the preproduction of the raw material and the production of the finished components, followed by the distribution phase (road and sea transportation) and, finally, disposal (recycled, incinerated with energy recovery or sent to landfill according to the average percentages of the countries considered).

With regard to the packaging for the blender, however, all of the indicators taken into consideration show that the phase with the greatest environmental impact is the transformation of the raw material into the finished packaging, while across the other phases the impact distribution generally aligns with the previous example.

The project, carried out in collaboration with the Politecnico di Milano, led to specific Life Cycle Design (LCD) guidelines being drawn up for the design of environmentally sustainable packaging, which will guide the Group's decisions on packaging. Specifically, the guidelines have been structured so that they can be used in the design of new packaging systems. The strategies covered by the guidelines, in line with eco-design principles, are:

- to minimise the consumption of materials;
- to optimise the biocompatibility of resources;
- to optimise the life of products;
- to extend the useful life of materials;
- to minimise the consumption of energy;
- to minimise the toxicity and harmfulness of resources;

An intervention priority is defined for each strategy. This is done on the basis of the results of the LCA analysis and allows the most significant actions to be identified to improve the environmental performance of the appliance.

The second phase of the LCA analysis was launched in 2023 and focuses on the implementation of the design guidelines in order to identify better alternatives from the point of view of the sustainability of the materials and components used.

The LCA and LCD tools were used to define a method that can be adopted by the production company, and a new redesign concept was drawn up of the selected case study to serve as an example.

A further LCA analysis ascertained the best environmental performance of the redesign and validated the adopted design guidelines, supporting the integration of LCA and LCD tools within the corporate structure and promoting greater professional awareness of the adoption of sustainability criteria in design.

Together with the Politecnico di Milano, during the same period the Company also developed the "Integration of Life Cycle Thinking Methods and Tools into the Design of a Countertop Oven" project, with the aim of developing company knowhow on innovation and product development, supporting the development of new technical skills, and promoting the implementation of solutions consistent with the circular economy model.

During the project an LCA was conducted on the COF01 countertop oven, leading to the identification of the main environmental impacts of the phases and processes throughout the product life cycle, and highlighting possible areas for intervention to reduce the environmental impact.

Unlike the previous analysis, the LCA of the entire product life cycle of the countertop oven showed that the greatest environmental impacts occurred during the product use phase (energy consumption) and the pre-production and production phase, followed by the distribution and disposal phases.

The results achieved provided a deeper understanding of the main design strategies to consider when integrating environmental criteria into product development, as listed in order of priority below:

- minimise energy consumption during use;
- optimise the conservation of resources;
- minimise the consumption of materials;
- minimise the toxicity and harmfulness of resources;
- extend the useful life of materials;
- optimise the life of products.

The second phase of the process launched in early 2023 focused on a more in-depth application of the Life Cycle Design approach, with the aim of providing a practical tool able to support the design of products with a low environmental impact in the oven category.

Based on the outcome of the previous LCA analyses, an Ecodesign Manual was produced, containing specific guidelines to stimulate the development of eco-efficient design solutions viable not only in terms of sustainability but also from an economic and commercial perspective.

A real-world application of eco-design principles, with particular reference to improving the energy efficiency of products, can be seen in the following approaches and results:

- Energy class: the continuous study of materials, production techniques and technologies enabling the products to be as efficient as possible, with the aim of achieving increasingly higher energy classes, and therefore reducing consumption;
- "Tolerance" approach: internal specifications have been developed setting out tolerances and acceptability limits for energy consumption during the product development stage, which are more stringent than the applicable regulations currently in force. Internal procedures are therefore defined for surveillance testing of serial production, measuring energy consumption and comparing it with the declared values.

With particular reference to ovens, the following applications of eco-design principles in products have improved energy efficiency in these cases:

- 90cm oven cavity: this cavity achieves a class A+ ranking thanks to an important study on sheet metal thickness, welding, and heat dispersion;
- New oven with class A++: the development of the new Galileo Platform made it possible to achieve the ambitious target of class A++, for the first time.

Another point of attention, in terms of the energy efficiency of products, is on refrigerators. The energy classes (currently G to D) have been completely revised to raise the level by two classes in every type of refrigerator (reaching class B). This change requires the addition of a vacuum panel in the foaming phase which, however, if, on the one hand, can guarantee greater energy efficiency, leads to, on the other hand, difficulties in disassembly and the proper recycling of the product.

Next steps

	STATUS
Achievement of class A++ for Galileo ovens	
Completion of the LCA analysis on packaging	
Extension of the LCA analysis to the entire life cycle of new Galileo ovens	
Implementation of a remote assistance service in managing issues connected to the life cycle of a product	

On track Work in progress

QUALITY, SAFETY AND CONFORMITY

Every production process at Smeg is closely monitored in order to ensure the distribution of domestic appliances of the **highest quality and safety**.

The implementation of the **Quality Management System**, certified to ISO 9001[8] and ISO 13485[9] has allowed, through specific procedures, control activities to be regulated across the entire phases of design, production and post-sales of products, in order to guarantee that the end customer purchases a product of the highest quality and safety.

With the aim of ensuring its customers receive safe products free of defects and non-conformities, the Group continuously invests in the quality and safety of its products along the entire value chain, **from design and development to the selection of materials, production, and finished product testing**, paying close attention to the technical training of the resources involved. These progressive controls are in line with international standards and even more stringent internal regulations.

In addition, each year, specific funds are allocated to the testing of consolidated products, in order to ascertain their continued conformity over time. The drive towards increasingly high safety standards along the production chain has led the Group to **invest, year after year, in the most advanced technologies** and to carry out ever more stringent and ever more reliable safety tests. For example, the **new reliability testing technology** adopted in 2022 and consolidated in 2023 made it possible to identify any issues in advance, thus optimising the production process and the installation of a shielded chamber which afforded greater efficiency in carrying out product conformity tests.

Another important initiative was the **"Continuous Improvement" project**, first launched at the Group level in 2022 and further developed to promote improvements throughout the Group on an ongoing basis.

[8] Certification obtained by all of the Group's production companies.

[9] The Quality Management System for Medical Devices for which the operating companies, Smeg S.p.A. and Bonferraro S.p.A., have been certified.

The "Continuous Improvement" project

The project focuses on implementing a company approach and philosophy which is increasingly oriented towards customers and workers in terms of:

- Better quality of Smeg products, understood as reliability and durability over time;
- Improvement in the workplace safety indices relating to operational activities within factories (for more information, see "*Health and safety at work*");
- Reduction in waste by reducing the materials sent to the assembly lines ensuring that the flow concerns only the quantities actually needed (for more information, see "*Carbon footprint*");
- Greater energy efficiency indirectly resulting from the outputs listed above.

In this sense, the project is organised into a three-pronged line of action: i) at the individual project level; ii) from the production processes point of view; iii) from the external point of view (in terms of managing the supply chain and the TCR[10] Field Trend). For each line of action, specific KPIs for monitoring and continuous improvement can be collected and analysed.

With regard, specifically, to managing relationships with suppliers, activities to raise awareness of RoHS - REACH (use of hazardous chemical substances) were increased and audits were carried out as part of the implementation of a vendor rating system for suppliers.

The execution of this project - managed by the Company's Quality Team - also involves awareness-raising activities for employees, with training/educational sessions that involve an average of around 300/400 workers at the Group. These sessions were aimed at sharing the main quality aspects with attendees, which included a discussion of current market dynamics, the reduction of waste and health and safety aspects in a working environment, as well as to collect any feedback from the people involved. The same sessions also also attended by departmental managers.

In 2023 many of the actions initiated in 2022 were consolidated and new projects were launched. Actions implemented in 2023 include:

i. at individual project level

- The "failure list" as a safeguard during the production of new products;

ii. At production process level

- Performance of internal audits on workplace cleanliness and safety;
- Consolidation of projects to reduce production waste.

iii. At external level

- Consolidation of the Supplier Management process using a specific internal dashboard and audit plan to monitor Group suppliers;
- Preparation and drafting of the Quality Agreement with various suppliers.

[10] Technical Call Rate, i.e., the data relating to calls made by users to technical support during the product warranty period regarding technical problems relating to a product placed on the market. This data is an objective indicator of the progress over time of the quality of products: with the "Continuous Improvement" project, an improvement is expected to be seen in this indicator in the coming years.

The development of new projects requires specific verification and review activities through so-called product or process "**Quality gates**", carried out at the end of each stage of the production process. The name assigned to said control activities recalls the image of "gates", which must be passed in order for the product, from the development stage to the production stage, to be fully aligned with the expected regulatory requirements and internally defined specifications.

These controls also allow information to be gathered regarding incidents related to the safety of the production process, which are then analysed to identify the root causes and to integrate corrective measures into product development.

An internal procedure specifically regulates every verification phase by defining the responsibilities, skills, abilities and actions according to specific verification **checklists** relating to each quality gate.

Specifically, with reference to the Domestic Division, quality gates are organised as described below.

The control phases along the production process



Initially, in the product development stage, the Group's Technical Departments collaborate with the in-house R&D/ Approval and Performance Laboratories to verify compliance with the requirements of internationally applicable standards and those related to the specific project set out by the Group.

In the advanced stages of design – or in some cases during development, for specific components – a *reliability test* is conducted by the relevant laboratory to assess the reliability of the product's quality and durability over time, according to defined standards and procedures. In order to assess and ensure compliance with all essential product safety requirements, specific "test reports" must also be issued by third parties.

At the same time, just before pilot production and in preparation for the approval of official mass production, the new incoming components are subjected to routine preliminary checks to filter out and prevent any potential defects that may cause interruptions in the production process.

In the case of components/materials subject to the MOCA specification (i.e., materials and objects in contact with foodstuffs), prior to confirming procurement by the identified supplier, specific contamination and release tests are conducted at authorised external laboratories to ensure full conformity with internal specifications and the relevant mandatory standards.

The "pre-series" is therefore developed: in order to test the entire process and the capacity to develop products that meet the requirements, the design and product validation process is compared with this additional important gate. The pre-series products and related manufacturing process are checked by the Quality Department and other technical departments, based on which a specific analysis report is published.

This report is what triggers the so-called "**failure list**" based on which the Quality Department defines the improvement actions necessary to obtain final and definitive approval for *mass production*. This additional verification stage, together with the sharing of the results of the previously implemented *reliability tests*, as well as any feedback from sample products assigned to *field tests*[11] , provides additional feedback on the reliability of the device in order to secure its final validation.

The manufacturing stage is similarly subject to specific quality gates, carried out directly on the product. Each *mass production* is in fact subjected to strict controls throughout the process, the results of which are then recorded to confirm the conformity of every single serial number associated with the product.

Sampling is carried out on mass production at each facility every day, and checks are performed for statistical purposes in accordance with predefined checklists.

In particular, the following checks/tests are carried out, with specificities linked to the characteristics of each device (whether for washing, cooking, refrigeration):

- functional check;
- aesthetic check;
- electrical safety check;
- gas seal and flow test;
- microwave leak check;
- hydraulic circuit leak check;
- torque check[12] and inspection of special critical gas seals.

These measures make it possible to prevent problems linked to the safety and functionality of products, and if all the checks are passed, the products are subsequently registered.

The product can only be shipped once the *mass production* checks have been successfully completed. In the event of failure and subsequent non-registration, the products are retained for the necessary remediation.

All the instruments used to carry out the necessary checks on products are periodically checked and recorded in a special register. If the Group has no way of internally validating the equipment used, it relies on the collaboration of recognised third-party organisations.

With regard to production done outside Italy – which is the case for most of the products in the Small Domestic Appliances range – stringent checks are envisaged on the basis of specific documents prepared by the Group.

[11] These are products intended for test users, such as company employees, for product testing purposes.
[12] Applied torque.

An Acceptance Quality Limit (AQL) is defined for each of the defects found during testing, which, depending on the specific batch, determines the number of pieces to be checked and the number of acceptable defects for each AQL.

Lastly, specific quality gates are in place for the finished product warehouse, from where the products are distributed to the different branches and geographical markets. A traceability system has, in fact, been implemented for all products that pass through the warehouse, which are registered by means of a *barcode* assigned to each serial number, making it possible to record and monitor the outcomes of the multiple testing stages to which the product has been subjected. This system therefore allows the tracking of the entire product history, including data relating to its production, testing, shipments made, and even its eventual return.

Attention to quality does not only concern the Group's direct activities, but also the commercial relationships established with suppliers of raw materials and components.



Suppliers and quality control

In order to ensure the highest quality and safety of the final products, as well as to limit the generation of negative environmental and social impacts along the value chain, during the procurement phase the Purchasing Department works with the Group Quality Control Assurance Manager, who is responsible for sending a **questionnaire** to suppliers. This survey aims to collect certain information regarding:

- organisational and structural set-up;
- aspects related to the administrative liability of the company or entity (for example, any presence of a Code of Ethics, the adoption of Model 231, the willingness to subscribe to the Group's Code of Ethics);
- knowledge of and compliance with the applicable quality, occupational safety and environmental legislation, focusing specifically on the strict application of the RoHS Directive[13], the Packaging and Packaging Material Directive[14], the MOCA Directive on food contact materials[15] and the **provisions on other banned substances and conflict minerals from Congo and neighbouring countries**;
- the presence of structured and certified management systems with reference to the areas mentioned in the previous point[16]. Should the supplier company not have a certified management system, it is asked to complete an additional section of the questionnaire in which it must state whether: it has a documented and approved policy on the subject; whether a person has been appointed in charge of managing any issues that may arise in said contexts; its willingness to host audits organised by the Group and initiate joint projects in order to meet stricter standards in the area of quality, workplace safety and the environment. Based on the outcome of the questionnaire, the Purchasing Department assesses whether or not a visit to the supplier's premises is necessary.

As an alternative to the above, if the supplier has ISO 9001 certification for the products to be supplied, or has already been certified by one of the Group's operating companies, the Purchasing Department may simplify the process and certify that supplier directly[17].

Furthermore, working in collaboration with Quality Assurance, the Purchasing Department proposes the Smeg **Group Quality Agreement** to a selection of the most critical and strategic suppliers. This Agreement clearly and explicitly defines:

- the required quality objectives;
- the relative calculation and control methods;
- any countermeasures in the event of failure to achieve the agreed objectives;
- the general warranty terms to be ensured by the supplier in the event of non-conformities and disputes by the Group.

Managing qualified suppliers requires Acceptance Control and Quality Assurance to carry out a **periodic analysis of the quality of the supplies** made in the last 12 months. Following said analyses, any qualitative problems that emerge in relation to the supplies are shared during specific periodic meetings with Purchasing Department and Plant Management, in order to identify improvement actions to be implemented against the most critical suppliers, up to and including, in the most serious cases, termination of the contract.

The Acceptance Control manager constantly monitors the implementation of the determined actions, also through visits and checks at the supplier premises, so as to assess the efficacy of the measures implemented and the results obtained.

[13] Directive 2011/65/EU.
[14] Dir. 94/62/EC, 2008/98/CE, ISPM No.15.
[15] Reg. EC 1935/2004, Reg. EC 2023/2006.
[16] Quality management system certified in accordance with ISO 9001 or other recognised standard; environmental management system certified in accordance with ISO 14001, EMAS Regulation or other recognised standard; safety management system certified in accordance with OHSAS 18001/ISO 45001, BSI 8800 or other recognised standard.
[17] Said simplification is not possible in the case of toll manufacturing on finished products.

The extreme attention paid to the quality of the production processes and the products highlights the Group's commitment to guarantee the highest safety in the use of the product by the end customer, as expressed by the suggestions for use and the warnings provided in the manual supplied with the product (for more information, see "*The management of relationships with customers*").

One element of particular consideration is the alignment with current European regulations concerning **vulnerable consumers**, which also includes minors. With this in mind, the Group has extended the safeguards adopted in order to respond to the provisions regarding "*Child Appealing Appliances*" – which lays out certain safety requirements to ensure that domestic appliances cannot be mistaken as toys – as well as to other markets where no comparable precautions are currently in place.

By way of example, in Scandinavian markets, a child lock is envisaged for oven doors, a component already available in Smeg products.

Further attention is also paid to the temperature of surfaces in order to prevent a child from being injured in the event they accidentally touch an appliance.

In 2023, in line with the previous two-year period, no cases of non-conformity were reported regarding the impacts on the health and safety of customers in connection with the use of a Smeg product.

Next steps

	STATUS
Continuation of awareness-raising activities linked to the "Continuous Improvement" project	

On track Work in progress

THE MANAGEMENT OF RELATIONSHIPS WITH CUSTOMERS

For Smeg, creating a solid, direct, and trusting relationship with its clientele is essential in order to promptly recognise emerging needs in its target markets and constantly improve the Group's performance.

The main types of customers with which it interfaces are:

- **B2B customers** (including electrical retailers, kitchen specialists, online players, homeware stores, and building companies);
- **B2C customers** (through e-commerce and the network of Smeg stores).

Customer interaction is managed through various and specific communication channels based on customer needs and the type of product. Specifically, Smeg has its own **Customer Service** function which provides information on the products and services offered.

The Group also offers customers a **post-sales support service**, which is managed by a network of specialist companies located throughout Italy and which constitute the **Smeg Authorised Service Network**. This network is responsible for processing and managing service requests relating to the operation or maintenance of products, managing the conventional warranty, and also the supply of spare parts and consumables.

Smeg authorised technicians are constantly updated on the latest product innovations and technological advances, and therefore ensure utmost professionalism and efficiency in solving any technical problems that arise.

Among the communications channels used are catalogues (especially digital ones, with a view to reducing the use of printed paper), newsletters, the corporate website, social media, select press publications for each country and commercials to promote product campaigns.

The **manuals** for both Small Domestic Appliances and Major Domestic Appliances contain all the necessary information on how to use the product properly, including in the presence of children, and how to obtain the best performance from the product, and how to maintain and eventually dispose of the product at the end of its life.

In 2023 there were no cases of non-conformity with the regulations on product information and labelling of Smeg products and services.

There is also an **increasing focus on ensuring best use of the product** by the end customer, not only to improve the user experience but also to ensure the user is always aware of the impact generated by the product and how it can best be used to effectively prolong its useful life and efficiency. With specific reference to food-related product lines (such as ovens), the Group has introduced several solutions in terms of both communication and product operation aimed at reducing food waste. For example, several recipes developed for different food categories are published on the website, in addition to cooking suggestions allowing food to be stored for longer or raising awareness about reusing leftovers.

For certain product types, special functions have also been designed to ensure improved preservation of food quality over time, thus allowing a reduction in waste: examples include the blast chiller, which by cooling food rapidly, prolongs its quality over time, steam cooking, which allows cooking of pre-cooked foods by regeneration, and the vacuum drawer, which slows down the rapid deterioration and oxidation of food without altering its characteristics.

Next steps

	STATUS
Further strengthen relationships with end customers by improving the services offered, both directly at Smeg Stores and through social media channels	●
Monitor the possible technological development of the service made available to customers through telematic problem management solutions	●

● On track ● Work in progress


SMEG
SMEG

ANNEXES TO THE REPORT

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INSIGHTS

The tables are presented by chapter of reference and they follow the numerical order of the GRI information reported.

Chapter 2

COMPOSITION OF SMEG S.P.A. BOARD OF DIRECTORS

Office	Role	Independence[1]	Gender	Age group
Chairman	Executive		M	> 50 years
Chief Executive Officer	Executive		M	30 - 50 years
Independent director	Non-executive	X	F	> 50 years
Independent director	Non-executive	X	M	> 50 years

GRI 2-9 Governance structure and composition
GRI 405-1 Diversity of governance bodies

[1] Definition of "independence" pursuant to art. 148 of the Consolidated Law on Finance, according to which a director is defined as independent if they are not related to other directors and are not linked to the Company or Group by employment or self-employment relationships, or by relationships of a financial or professional nature that may compromise their independence.

COMPOSITION OF SMEG S.P.A. BOARD OF STATUTORY AUDITORS			
Office	Role	Gender	Age group
Statutory auditor	Standing	M	> 50 years
Statutory auditor	Standing	M	> 50 years
Statutory auditor	Standing	M	> 50 years
Statutory auditor	Substitute	M	> 50 years
Statutory auditor	Substitute	M	30 - 50 years

GRI 2-9 Governance structure and composition
GRI 405-1 Diversity of governance bodies

Spending with local suppliers (Euro/000)[2]	2023	2022	2021
Total spending on procurement	258,644	297,778	296,382
Of which to local suppliers	201,222	162,412	112,001
Percentage of spending on local suppliers	78%	55%	38%

GRI 204-1 Proportion of spending on local suppliers

[2] The reference applies to production companies only.

CHAPTER 3

(Euro/000)	2023	2022	2021
Economic value generated (consolidated)	**881,180**	**953,336**	**928,587**
Economic value distributed to suppliers (operating costs)	607,945	664,706	632,306
Economic value distributed to staff (staff costs)	140,055	133,908	127,041
Economic value distributed to lenders (interest and other financial charges)	7,161	4,001	3,069
Economic value distributed to investors (dividend distribution)	15,000	15,000	10,000
Economic value distributed to the public administration (income tax for the year and non-income taxes)	18,647	29,428	33,122
Economic value distributed to the territory and local communities (external donations)	723.526	330.59	348.83
Economic value distributed	**789,531**	**847,374**	**805,887**
Economic value retained (Economic value generated - Economic value distributed)	**91,648**	**105,962**	**122,700**

GRI 201-1 Direct economic value generated and distributed

SMEG S.p.A. Board Members	2023	2022	2021
Members of the governance body to whom all anti-corruption policies and procedures have been communicated	All members of the BoD are provided with the Group Code of Ethics		
Percentage of total members of governance bodies		100%	
Members of the governance bodies that have received anti-corruption training	0	0	0
Percentage of total members of governance bodies	0%	0%	0%

GRI 205-2 Communication and training about anti-corruption policies and procedures

Employees (Group)	2023	2022	2021
Managers to whom all anti-corruption policies and procedures have been communicated	All managers are provided with the Group Code of Ethics		
Percentage of total Managers	100%		
Managers who have received anti-corruption training	0	6	0
Percentage of total Managers	0%	3%	0%
White Collars to whom all anti-corruption policies and procedures have been communicated	All white collars are provided with the Group Code of Ethics		
Percentage of total White Collars	100%		
White Collars who have received anti-corruption training	0	0	0
Percentage of total White Collars	0%	0%	0%
Workers to whom all anti-corruption policies and procedures have been communicated	All workers are provided with the Group Code of Ethics		
Percentage of total Workers	100%		
Workers who have received anti-corruption training	0	0	0
Percentage of total Workers	0%	0%	0%

GRI 205-2 Communication and training about anti-corruption policies and procedures

Business partners	2023	2022	2021
Business partners (specify type) to whom all anti-corruption policies and procedures have been communicated	All contracted partners receive communication of the Group Code of Ethics		
Percentage of total business partners	100% of contracted partners		

GRI 205-2 Communication and training about anti-corruption policies and procedures

(Euro/000)	2023			
Consolidated reporting, by geographic area of reference[3]	Italy	Europe	Outside Europe	Total
Tangible assets other than cash and cash equivalents	511,249	122,523	178,176	**811,947**
Revenue from sales to third parties	291,317	362,082	203,908	**857,307**
Revenue from intragroup operations	495,624	595	4,649	**500,867**
Profit/loss before tax	56,343	3,245	-2,413	**57,175**
Corporate income tax paid on a cash basis	5,160	2,390	1,491	**9,041**
Corporate income tax accrued on profits/losses[4]	13,329	2,011	271	**15,611**

GRI 207-4 Country-by-country reporting

(Euro/000)	2022			
Consolidated reporting, by geographic area of reference	Italy	Europe	Outside Europe	Total
Tangible assets other than cash and cash equivalents	546,501	132,088	202,094	**880,684**
Revenue from sales to third parties	320,443	381,991	228,141	**930,574**
Revenue from intragroup operations	613,820	1,750	979.29	**616,550**
Profit/loss before tax	84,302	13,529	3,159	**100,990**
Corporate income tax paid on a cash basis	34,160	3,481	1,589	**39,230**
Corporate income tax accrued on profits/losses[4]	21,080	3,384	1,388	**25,852**

GRI 207-4 Country-by-country reporting

(Euro/000)	2021			
Consolidated reporting, by geographic area of reference	Italy	Europe	Outside Europe	Total
Tangible assets other than cash and cash equivalents	503,803	120,312	171,188	**795,303**
Revenue from sales to third parties	311,252	374,415	220,929	**906,595**
Revenue from intragroup operations	588,380	547.35	549	**589,476**
Profit/loss before tax	100,154	12,526	5,390	**118,070**
Corporate income tax paid on a cash basis	25,622	3,252	1,910	**30,784**
Corporate income tax accrued on profits/losses[4]	26,081	3,353	1,718	**31,153**

GRI 207-4 Country-by-country reporting

[3] The relevant tax regimes are: Italy; Germany; Spain; Belgium; France; the United Kingdom; Netherlands; Portugal; Sweden; Norway; Denmark; Russia; the United States; Ukraine; South Africa; Kazakhstan; Australia; Poland; Mexico; Singapore; China; Canada.

[4] The difference between accrual taxes and cash taxes is defined by the normal tax regulations applicable in each country in which the Group operates.

CHAPTER 4

2023												
Active employees as of 31 December	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Open-ended	992	388	1,380	50	42	92	526	393	919	1,568	823	2,391
Fixed-term	22	10	32	3	4	7	21	25	46	46	39	85
Zero-hours contracts	1	0	1	0	0	0	2	1	3	3	1	4
Total	**1,015**	**398**	**1,413**	**53**	**46**	**99**	**549**	**419**	**968**	**1,617**	**863**	**2,480**

GRI 2-7 Employees

2023												
Active employees as of 31 December	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Full-time	988	288	1,276	53	29	82	541	394	935	1,582	711	2,293
Part-time	27	110	137	0	17	17	8	25	33	35	152	187
Total	**1,015**	**398**	**1,413**	**53**	**46**	**99**	**549**	**419**	**968**	**1,617**	**863**	**2,480**

GRI 2-7 Employees

2022												
Active employees as of 31 December	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)[5]			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Open-ended	996	381	1,377	47	43	90	506	385	891	1,549	809	2,358
Fixed-term	20	10	30	3	2	5	13	15	28	36	27	63
Zero-hours contracts	-	-	-	-	-	-	1	-	1	1	-	1
Total	**1,016**	**391**	**1,407**	**50**	**45**	**95**	**520**	**400**	**920**	**1,586**	**836**	**2,422**

GRI 2-7 Employees

[5] Data for 2022 have been restated due to an error discovered in the previously published figures.

2022												
Active employees as of 31 December	Production companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)[6]			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Full-time	998	287	1,285	50	28	78	508	373	881	1,556	688	2,244
Part-time	18	104	122	-	17	17	12	27	39	30	148	178
Total	**1,016**	**391**	**1,407**	**50**	**45**	**95**	**520**	**400**	**920**	**1,586**	**836**	**2,422**

GRI 2-7 Employees

2021												
Active employees as of 31 December	Production companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Open-ended	983	360	1,343	51	39	90	483	370	853	1,517	769	2,286
Fixed-term	13	14	27	4	3	7	8	7	15	24	24	49
Zero-hours contracts	1	-	1	-	-	-	-	-	-	1	-	1
Total	**997**	**374**	**1,371**	**55**	**42**	**97**	**491**	**377**	**868**	**1,543**	**793**	**2,336**

GRI 2-7 Employees

2021												
Active employees as of 31 December	Production companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Full-time	975	257	1,232	54	25	79	480	343	823	1,509	625	2,134
Part-time	22	117	139	1	17	18	11	34	45	34	168	202
Total	**997**	**374**	**1,371**	**55**	**42**	**97**	**491**	**377**	**868**	**1,543**	**793**	**2,336**

GRI 2-7 Employees

[6] Data for 2022 have been restated due to an error discovered in the previously published figures.

2023												
Active workers who are not employees as of 31 December	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Contracted/interim	97	54	151	0	0	0	16	12	28	113	66	179
Representative agents	0	0	0	19	2	21	0	0	0	19	2	21
Interns/trainees	2	3	5	0	0	0	3	5	8	5	8	13
Other workers who are not employees	0	0	0	0	0	0	0	0	0	0	0	0
Total	**99**	**57**	**156**	**19**	**2**	**21**	**19**	**17**	**36**	**137**	**76**	**213**

GRI 2-8 Workers who are not employees

2022												
Active workers who are not employees as of 31 December	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Contracted/interim	97	45	142	1	-	1	22	10	32	120	55	175
Representative agents	-	-	-	23	1	24	-	-	-	23	1	24
Interns/trainees	7	7	14	-	-	-	10	14	24	17	21	24
Other workers who are not employees	-	-	-	-	-	-	1	-	1	1	-	1
Total	**104**	**52**	**156**	**24**	**1**	**25**	**33**	**24**	**57**	**161**	**77**	**238**

GRI 2-8 Workers who are not employees

2021												
Active workers who are not employees as of 31 December	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Type of contract	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Contracted/interim	171	83	254	1	-	1	-	-	-	172	83	255
Representative agents	8	1	9	24	1	25	-	-	-	32	2	34
Interns/trainees	6	5	11	0	0	0	10	12	22	16	17	33
Other workers who are not employees	-	-	-	-	-	-	19	19	38	19	19	38
Total	185	89	274	25	1	26	29	31	60	239	121	360

GRI 2-8 Workers who are not employees

Employees covered by collective bargaining, by type of company (%)	2023	2022	2021
Operating companies (ITALY)	100%	100%	100%
Commercial distribution companies (ITALY)	100%	100%	100%
Commercial distribution companies (OUTSIDE ITALY)	36%	38%	42%
Total	79%	79%	81%

GRI 2-30 Collective bargaining agreements

Hires	2023											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
<30 years	30	12	42	3	0	3	22	22	44	55	34	89
30<x>50 years	25	10	35	1	4	5	61	47	108	87	61	148
>50 years	9	2	11	0	0	0	14	8	22	23	10	33
Total	**64**	**24**	**88**	**4**	**4**	**8**	**97**	**77**	**174**	**165**	**105**	**270**
Outbound turnover rate	**0.06**	**0.06**	**0.06**	**0.08**	**0.09**	**0.08**	**0.19**	**0.19**	**0.19**	**0.10**	**0.13**	**0.11**

GRI 401-1 New employee hires and employee turnover

Hires, by gender and professional category (Smeg Group)	2023			
	Men	Women	Total	% of the category
Managers	13	5	18	28%
White Collars	102	88	190	46%
Workers	50	12	62	19%
Total	**165**	**105**	**270**	**39%**

GRI 401-1 New employee hires and employee turnover

Terminations	2023											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
<30 years	17	5	22	0	1	1	12	17	29	29	23	52
30<x>50 years	33	9	42	1	1	2	52	37	89	86	47	133
>50 years	35	11	46	0	1	1	16	12	28	51	24	75
Total	**85**	**25**	**110**	**1**	**3**	**4**	**80**	**66**	**146**	**166**	**94**	**260**
Outbound turnover rate	**0.08**	**0.06**	**0.08**	**0.02**	**0.07**	**0.04**	**0.15**	**0.17**	**0.16**	**0.10**	**0.11**	**0.11**

GRI 401-1 New employee hires and employee turnover

Hires	2022											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
<30 years	58	31	89	1	2	3	25	38	63	84	71	155
30<x>50 years	34	18	52	5	4	9	63	47	110	102	69	171
>50 years	7	3	10	-	-	-	20	17	37	27	20	47
Total	**99**	**52**	**151**	**6**	**6**	**12**	**108**	**102**	**210**	**213**	**160**	**373**
Outbound turnover rate	**0.10**	**0.14**	**0.11**	**0.11**	**0.14**	**0.12**	**0.22**	**0.27**	**0.24**	**0.14**	**0.20**	**0.16**

GRI 401-1 New employee hires and employee turnover

Hires, by gender and professional category (Smeg Group)	2022			
	Men	Women	Total	% of the category
Managers	17	4	21	19%
White Collars	100	116	216	54%
Workers	96	40	136	29%
Total	**213**	**160**	**373**	**43%**

GRI 401-1 New employee hires and employee turnover

Terminations	2022											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
<30 years	15	6	21	1	1	2	14	20	34	30	27	57
30<x>50 years	23	6	29	5	-	5	47	41	88	75	47	122
>50 years	41	24	65	3	2	5	20	10	30	64	36	100
Total	**79**	**36**	**115**	**9**	**3**	**12**	**81**	**71**	**152**	**169**	**110**	**279**
Outbound turnover rate	**0.08**	**0.10**	**0.08**	**0.16**	**0.07**	**0.12**	**0.16**	**0.19**	**0.18**	**0.11**	**0.14**	**0.12**

GRI 401-1 New employee hires and employee turnover

Hires	2021											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
<30 years	27	18	45	3	2	5	26	29	55	56	49	105
30<x>50 years	19	11	30	8	3	11	51	49	100	78	63	141
>50 years	5	0	5	1	2	3	10	7	17	16	9	25
Total	51	29	80	12	7	19	87	85	172	150	121	271
Outbound turnover rate	0.05	0.08	0.06	0.27	0.18	0.23	0.19	0.24	0.21	0.1	0.16	0.12

GRI 401-1 New employee hires and employee turnover

Terminations	2021											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
<30 years	6	2	8	-	-	-	10	13	23	16	15	31
30<x>50 years	14	3	17	2	1	3	30	40	70	46	44	90
>50 years	21	9	30	1	3	4	11	5	16	33	17	50
Total	41	14	55	3	4	7	51	58	109	95	76	171
Outbound turnover rate	0.04	0.04	0.04	0.07	0.1	0.08	0.11	0.16	0.13	0.06	0.1	0.08

GRI 401-1 New employee hires and employee turnover

Employees covered by the occupational health and safety management system (production companies)[7]	2023
Total number of employees	1,346
Number of employees covered by such a system	**1,346**
Percentage of employees covered by such a system	100%
Number of employees covered by such a system subject to an internal audit	**1,346**
Percentage of employees covered by such a system subject to an internal audit	100%
Number of employees covered by such a system subject to an independent audit	**1,346**
Percentage of employees covered by such a system subject to an independent audit	100%

GRI 403-8 Workers covered by an occupational health and safety management system

Workers who are not employees covered by the occupational health and safety management system (production companies)[7]	2023
Total number of outside workers	46
Number of workers who are not employees covered by such a system	**46**
Percentage of workers who are not employees covered by such a system	100%
Number of workers who are not employees covered by such a system subject to an internal audit	**46**
Percentage of workers who are not employees covered by such a system and which is subject to an internal audit	100%
Number of workers who are not employees covered by such a system subject to an independent audit	**46**
Percentage of workers who are not employees covered by such a system subject to an independent audit	100%

GRI 403-8 Workers covered by an occupational health and safety management system

[7] The data refer only to Group production companies that have an Occupational Health and Safety Management System which is ISO 45001 compliant (the companies La Pavoni S.p.A. and Fri.Med are therefore not yet included).

Employees covered by the occupational health and safety management system (production companies)[8]	2022
Total number of employees	1,376
Number of employees covered by such a system	1,376
Percentage of employees covered by such a system	100%
Number of employees covered by such a system subject to an internal audit	984
Percentage of employees covered by such a system subject to an internal audit	72%
Number of employees covered by such a system subject to an independent audit	904
Percentage of employees covered by such a system subject to an independent audit	66%

GRI 403-8 Workers covered by an occupational health and safety management system

Workers who are not employees covered by the occupational health and safety management system (production companies)[8]	2022
Total number of outside workers	463
Number of workers who are not employees covered by such a system	463
Percentage of workers who are not employees covered by such a system	100%
Number of workers who are not employees covered by such a system subject to an internal audit	104
Percentage of workers who are not employees covered by such a system and which is subject to an internal audit	22%
Number of workers who are not employees covered by such a system subject to an independent audit	94
Percentage of workers who are not employees covered by such a system subject to an independent audit	20%

GRI 403-8 Workers covered by an occupational health and safety management system

[8] The data refer to only to Group production companies that have an Occupational Health and Safety Management System which is ISO 45001 compliant as at 2022 (La Pavoni S.p.A. is therefore not yet included)

Employed workers	2023 Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Number of hours worked	1,585,614	167,210	1,457,306	3,210,130
Number of recordable work-related injuries	12	0	28	40
of which during commutes[9]	2	0	2	4
Rate of recordable work-related injuries	7.57%	0%	19.21%	12.46%
Number of work-related injuries with serious consequences (excluding deaths)	0	0	2	2
Rate of work-related injuries with serious consequences (excluding deaths)	0%	0%	1.37%	0.62%
Number of deaths resulting from work-related injuries	0	0	0	0
Rate of deaths resulting from work-related injuries	0%	0%	0%	0%

GRI 403-9 Work-related injuries

Workers who are not employees	2023 Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Number of hours worked	239,673	4,649	201,196	445,517
Number of recordable work-related injuries	2	0	1	3
of which during commutes	0	0	0	0
Rate of recordable work-related injuries	8.34%	0%	4.97%	6.73%
Number of work-related injuries with serious consequences (excluding deaths)	0	0	0	0
Rate of work-related injuries with serious consequences (excluding deaths)	0%	0%	0%	0%
Number of deaths resulting from work-related injuries	0	0	0	0
Rate of deaths resulting from work-related injuries	0%	0%	0%	0%

GRI 403-9 Work-related injuries

[9] In line with GRI 403-9 Work-related injuries, accidents that happen while en route (in this and subsequent tables) are only considered in those cases in which transport has been organised by the organisation, for example through the use of a company car or if the organisation makes a corporate shuttle service available.

Employed workers	2022 Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Number of hours worked	1,988,133	156,728	1,588,573	3,733,434
Number of recordable work-related injuries	13	2	17	32
of which during commutes[10]	-	-	1	1
Rate of recordable work-related injuries	6.54	12.76	10.70	8.57
Number of work-related injuries with serious consequences (excluding deaths)	1	-	-	1
Rate of work-related injuries with serious consequences (excluding deaths)	0.50	-	-	0.27
Number of deaths resulting from work-related injuries	-	-	-	-
Rate of deaths resulting from work-related injuries	-	-	-	-

GRI 403-9 Work-related injuries

Workers who are not employees	2022 Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Number of hours worked	356,109	2,086	56,956	415,151
Number of recordable work-related injuries	3	-	-	3
of which during commutes	-	-	-	-
Rate of recordable work-related injuries	8.42	-	-	7.23
Number of work-related injuries with serious consequences (excluding deaths)	-	-	-	-
Rate of work-related injuries with serious consequences (excluding deaths)	-	-	-	-
Number of deaths resulting from work-related injuries	-	-	-	-
Rate of deaths resulting from work-related injuries	-	-	-	-

GRI 403-9 Work-related injuries

[10] In line with GRI 403-9 Work-related injuries, accidents that happen while en route (in this and subsequent tables) are only considered in those cases in which transport has been organised by the organisation, for example through the use of a company car or if the organisation makes a corporate shuttle service available.

Employed workers	2021 Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Number of hours worked	2,200,916	135,125	1,463,944	3,799,985
Number of recordable work-related injuries	17	1	12	30
of which during commutes[11]	-	-	1	1
Rate of recordable work-related injuries	7.7	7.4	8	7.9
Number of work-related injuries with serious consequences (excluding deaths)	-	-	-	-
Rate of work-related injuries with serious consequences (excluding deaths)	-	-	-	-
Number of deaths resulting from work-related injuries	-	-	-	-
Rate of deaths resulting from work-related injuries	-	-	-	-

GRI 403-9 Work-related injuries

Workers who are not employees	2021 Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)[11]	Smeg Group
Number of hours worked	477,105	-	107,116	584,221
Number of recordable work-related injuries	7	-	1	8
of which during commutes	0	-	0	0
Rate of recordable work-related injuries	14.7	-	9.3	13.7
Number of work-related injuries with serious consequences (excluding deaths)	-	-	-	-
Rate of work-related injuries with serious consequences (excluding deaths)	-	-	-	-
Number of deaths resulting from work-related injuries	-	-	-	-
Rate of deaths resulting from work-related injuries	-	-	-	-

GRI 403-9 Work-related injuries

[11] It should be noted that it was not possible to collect data on the number of hours worked and work-related injuries in 2021 for all the non-Italian commercial distribution companies, insofar as workers who are not employees are often representative agents who are not always physically present at the site. The data shown do not include the following companies: SMEG Portugal, SMEG Australia, SMEG Singapore, SMEG Spain (included only with reference to 2021), SMEG Netherlands, SMEG UK (for which only one recordable work-related injury is known to have occurred in 2019), SMEG France (included only with reference to 2021), SMEG USA, SMEG Mexico (included only with reference to 2021), SMEG Nordic, SMEG Poland, SMEG Kazakhstan, SMEG Belgium (included only with reference to 2021), SMEG Russia, SMEG Denmark.

	2023											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Hours of training, by professional category and gender	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers (N)	63	7	70	5	2	7	96	54	150	164	63	227
Total hours of training (H)	598	30	628	0	8	8	713	1767	2480	1,311	1,805	3,116
Average hours of training (h)	9.49	4.29	8.97	0.00	4.00	1.14	7.43	32.72	16.53	7.99	28.65	13.73
White Collars (N)	268	143	411	30	44	74	337	352	689	635	539	1,174
Total hours of training (H)	4,442	1,481	5,923	58	92	150	1738.5	1161.5	2900	6,238	2,735	8,973
Average hours of training (h)	16.57	10.36	14.41	1.93	2.09	2.03	5.16	3.30	4.21	9.82	5.07	7.64
Workers (N)	684	248	932	18	0	18	116	13	129	818	261	1,079
Total hours of training (H)	6870.5	1,647	8,518	62	0	62	470	220	690	7,403	1,867	9,269.5
Average hours of training (h)	10.04	6.64	9.14	3.44	-	3.44	4.05	16.92	5.35	9.05	7.15	8.59
Total employees	1,015	398	1,413	53	46	99	549	419	968	1,617	863	2,480
Total hours of training	11,910	3,158	15,068	120	100	220	2921.5	3148.5	6070	14,952	6,407	21,358
Total average hours of training	11.73	7.93	10.66	2.26	2.17	2.22	5.32	7.51	6.27	9.25	7.42	8.61

GRI 404-1 Average hours of training per year per employee

	2022											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Hours of training, by professional category and gender	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers (N)	59	5	64	3	2	5	85	39	124	147	46	193
Total hours of training (H)	939	158	1,097	-	-	.	272	88	360	1,211	246	1,457
Average hours of training (h)	15.91	31.60	17.13	-	-	-	3.20	2.26	2.90	8.23	5.35	7.55
White Collars (N)	261	137	398	29	43	72	300	346	646	590	526	1,116
Total hours of training (H)	3,957	1,552	5,509	125	125	250	1,001	1,059	2,060	5,083	2,736	7,819
Average hours of training (h)	15.16	11.33	13.84	4.31	2.91	3.47	3.34	3.06	3.19	8.62	5.20	7.01
Workers (N)	696	249	945	18	-	18	135	15	150	849	264	1,113
Total hours of training (H)	4,072	1,040	5,112	86	-	86	415	24	543	4,573	1,064	5,637
Average hours of training (h)	5.85	4.18	5.41	4.78	-	4.78	3.07	1.60	2.93	5.39	4.03	5.06
Total employees	1,016	391	1,407	50	45	95	520	400	920	1,586	836	2,422
Total hours of training	8,967	2,750	11,717	211	125	336	1,688	1,171	2,859	10,866	4,046	14,912
Total average hours of training	8.83	7.03	8.33	4.22	2.78	3.54	3.25	2.93	3.11	6.85	4.84	6.16

GRI 404-1 Average hours of training per year per employee

	2021											
	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Hours of training, by professional category and gender	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers (N)	62	5	67	4	2	6	86	36	122	152	43	195
Total hours of training (H)	1,229	1,229	2,458	16	16	32	203	94	297	1,448	1,339	2,787
Average hours of training (h)	19.82	245.8	36.69	4	8	5.33	2.36	2.61	2.43	9.53	31.14	14.29
White Collars (N)	250	126	376	32	40	72	286	333	619	568	499	1,067
Total hours of training (H)	3,581	3,581	7,162	109	109	218	1,296	1,247	2,543	4,986	4,937	9,923
Average hours of training (h)	14.32	28.42	19.05	3.41	2.73	3.03	4.53	3.74	4.11	8.78	9.89	9.30
Workers (N)	685	243	928	19	-	19	119	8	127	823	251	1,074
Total hours of training (H)	5,234	5,234	10,468	294	-	294	240	5	246	5,768	5,239	11,007
Average hours of training (h)	7.64	21.54	11.28	15.47	-	15.47	2.02	0.63	1.94	7.01	20.87	10.25
Total employees	997	374	1,371	55	42	97	491	377	868	1,543	793	2,336
Total hours of training	10,044	10,044	20,088	419	125	544	1,739	1,346	3,086	12,202	11,515	23,717
Total average hours of training	10.07	26.86	14.65	7.62	2.98	5.61	3.54	3.57	3.56	7.91	14.52	10.15

GRI 404-1 Average hours of training per year per employee

2023												
Active employees as of 31.12	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Professional category, by age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers (N)	63	7	70	5	2	7	96	54	150	164	63	227
<30 years	0	0	0	0	0	0	0	2	2	0	2	2
30<x>50 years	23	5	28	3	1	4	50	42	92	76	48	124
>50 years	40	2	42	2	1	3	46	10	56	88	13	101
White Collars (N)	268	143	411	30	44	74	337	352	689	635	539	1174
<30 years	35	32	67	5	2	7	39	65	104	79	99	178
30<x>50 years	131	74	205	17	28	45	194	220	414	342	322	664
>50 years	102	37	139	8	14	22	104	67	171	214	118	332
Workers (N)	684	248	932	18	0	18	116	13	129	818	261	1079
<30 years	129	41	170	2	0	2	26	1	27	157	42	199
30<x>50 years	345	97	442	12	0	12	65	11	76	422	108	530
>50 years	210	110	320	4	0	4	25	1	26	239	111	350
Total	1,015	398	1,413	53	46	99	549	419	968	1617	863	2480

GRI 405-1 Diversity of employees

2023												
Active employees as of 31.12	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)[12]			Smeg Group		
Protected categories, by professional category	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers	1	1	2	0	0	0	15	9	24	16	10	26
White Collars	4	2	6	0	2	2	109	100	209	113	104	217
Workers	49	25	74	2	0	2	49	7	56	100	32	132
Total	54	28	82	2	2	4	173	116	289	229	146	375

GRI 405-1 Diversity of employees

[12] For the purposes of calculating the people falling into the protected categories, in 2023, 55 "Employee Equity Candidates", i.e. those people who come from certain ethnic backgrounds which were previously disadvantaged during the years of Apartheid, were considered for Smeg South Africa.

2022												
Active employees as of 31.12	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Professional category, by age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers	**59**	**5**	**64**	**3**	**2**	**5**	**85**	**39**	**124**	**147**	**46**	**193**
<30 years	-	-	-	-	-	-	-	2	2	-	2	2
30<x>50 years	24	3	27	1	1	2	47	32	79	72	36	108
>50 years	35	2	37	2	1	3	38	5	43	75	8	83
White Collars	**261**	**137**	**398**	**29**	**43**	**72**	**300**	**346**	**646**	**590**	**526**	**1,116**
<30 years	29	33	62	3	5	8	37	70	107	69	108	177
30<x>50 years	131	69	200	17	25	42	178	210	388	326	304	630
>50 years	101	35	136	9	13	22	85	66	151	195	114	309
Workers	**696**	**249**	**945**	**18**	**-**	**18**	**135**	**15**	**150**	**849**	**264**	**1,113**
<30 years	145	45	190	1	-	1	27	3	30	173	48	221
30<x>50 years	332	94	426	14	-	14	77	11	88	423	105	528
>50 years	219	110	329	3	-	3	31	1	32	253	111	364
Total	1,016	391	1,407	50	45	95	520	400	920	1,586	836	2,422

GRI 405-1 Diversity of employees

2022												
Active employees as of 31.12	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)[13]			Smeg Group		
Protected categories, by professional category	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers	1	-	1	-	-	-	4	1	5	5	1	6
White Collars	5	2	7	-	2	2	16	30	46	21	34	55
Workers	48	28	76	2	-	2	23	8	31	73	36	109
Total	54	30	84	2	2	4	43	39	82	99	71	170

GRI 405-1 Diversity of employees

[13] For the purposes of calculating the people falling into the protected categories, in 2023, 55 "Employee Equity Candidates", i.e. those people who come from certain ethnic backgrounds which were previously disadvantaged during the years of Apartheid, were considered for Smeg South Africa.

2021												
Active employees as of 31.12	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Professional category, by age group	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers	62	5	67	4	2	6	86	36	122	152	43	195
<30 years	0	0	0	0	0	0	0	2	2	0	2	2
30<x>50 years	28	4	32	1	2	3	56	31	87	85	37	122
>50 years	34	1	35	3	0	3	30	3	33	67	4	71
White Collars	250	126	376	32	40	72	286	333	619	568	499	1,067
<30 years	21	34	55	4	4	8	29	69	98	54	107	161
30<x>50 years	139	63	202	17	21	38	180	217	397	336	301	637
>50 years	90	29	119	11	15	26	77	47	124	178	91	269
Workers	685	243	928	19	0	19	119	8	127	823	251	1,074
<30 years	134	31	165	1	0	1	24	0	24	159	31	190
30<x>50 years	339	107	446	13	0	13	75	6	81	427	113	540
>50 years	212	105	317	5	0	5	20	2	22	237	107	344
Total	997	374	1,371	55	42	97	491	377	868	1,543	793	2,336

GRI 405-1 Diversity of employees

2021												
Active employees as of 31.12	Operating companies (ITALY)			Commercial distribution companies (ITALY)			Commercial distribution companies (OUTSIDE ITALY)			Smeg Group		
Protected categories, by professional category	Men	Women	Total	Men	Women	Total	Men	Women	Total	Men	Women	Total
Managers	1	0	1	0	0	0	0	0	0	1	0	1
White Collars	5	2	7	1	2	3	2	4	6	8	8	16
Workers	52	28	80	1	0	1	2	0	2	55	28	83
Total	58	30	88	2	2	4	4	4	8	64	36	100

GRI 405-1 Diversity of employees

Direct collaborators of Smeg S.p.A.	2023	
Gender pay gap, by professional category[14]	Basic salary	Remuneration
Managers	104%	104%
White collars	88%	82%
Workers	111%	100%

GRI 405-2 Ratio of basic salary and remuneration of women to men

Direct collaborators of Smeg S.p.A.	2022	
Gender pay gap, by professional category[15]	Basic salary	Remuneration
Managers	106%	111%
White collars	83%	82%
Workers	97%	90%

GRI 405-2 Ratio of basic salary and remuneration of women to men

[14] The calculation considered active employees as of 31 December 2023.

[15] The calculation considered active employees as of 31 December 2022.

CHAPTER 5

Energy consumption, by energy sources(GJ) - Smeg Group	2023	2022	2021
Electricity	67,930.67	75,473.75	77,725.23
Of which from conventional sources	37,795.52	20,776.02	18,505.22
Of which from renewable sources (purchase of electricity from certified renewable sources)	20,040.00	51,487.95	56,524.57
Of which from renewable sources (self-produced and self-consumed from photovoltaics)	10,095.15	3,209.78	2,695.45
District heating	255.30	268.86	-
Natural gas	79,708.16	97,025.72	112,288.15
Diesel for generators	217.25	36.06	38.19
Fuel (automotive and company fleet)	33,447.44	18,655.05	20,577.06
Diesel	23,244.22	14,081.93	15,556.74
Petrol	10,203.22	4,573.12	5,020.31
Total energy consumption	181,558.82	191,459.45	210,628.63
Of which from renewable sources	30,135.15	54,697.74	59,220.02
Energy intensity (GJ/€K)	0.00021	0.00021	0.00022

GRI 302-1 Energy consumption within the organisation
GRI 302-3 Energy intensity

	2023			
Water withdrawal (ML)[16]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
From non-water-stressed areas	**119.19**	**2.06**	**68.68**	**189.92**
Surface water	-	-	0.35	0.35
Groundwater (aquifer)	90.33	-	-	90.33
Sea water[17]	-	-	0.01	0.01
Water produced[18]	-	-	0.03	0.03
Third-party water resources (Municipal water service providers)	28.86	2.06	68.29	99.21
From water-stressed areas	**0.00**	**0.19**	**5.41**	**5.60**
Groundwater (aquifer)	-	-	-	0.00
Third-party water resources (Municipal water service providers)	-	0.19	5.41	5.60
Total water withdrawal	**119.19**	**2.25**	**74.08**	**195.52**

GRI 303-3 Water withdrawal

[16] The figure does not include values from the companies Domestika (included in the withdrawal data of Apell S.p.A.), SD Lazio, SMEG Canada, SMEG France, SMEG Mexico, SMEG Nordic, SMEG Poland, SMEG Spain and SMEG USA. In the case of INEA and Smeg UK, the 2023 data have been estimated on the basis of information taken from previous invoices.

[17] SMEG Singapore.

[18] The consumption figures for Domestika S.r.l. are not reported since their consumption is included in the leasing contract that the company has with Apell S.p.A.; the same applies to Elettrodomestici Bonferraro S.r.l. which leases space at the Bonferraro S.p.A. facility, for the company, SD Lazio, and for SMEG Nordic and SMEG USA.

	2022			
Water withdrawal (ML)[19]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
From non-water-stressed areas	**84.10**	**0.88**	**140.63**	**225.62**
Groundwater (aquifer)	62.70	-	-	62.70
Sea water[20]	-	-	9	9
Water produced[21]	-	-	27	27
Third-party water resources (Municipal water service providers)	21.41	0.88	104.63	126.92
From water-stressed areas	**20.80**	**0.90**	**5.97**	**27.66**
Groundwater (aquifer)	18.60	-	0.00	18.60
Third-party water resources (Municipal water service providers)	2.20	0.90	5.97	9.06
Total water withdrawal	**104.90**	**1.78**	**146.60**	**253.28**

GRI 303-3 Water withdrawal

[19] The consumption figures for Domestika S.r.l. are not reported since their consumption is included in the leasing contract that the company has with Apell S.p.A.; the same applies to Elettrodomestici Bonferraro S.r.l. which leases space at the Bonferraro S.p.A. facility, for the company, SD Lazio, and for SMEG Nordic and SMEG USA.
[20] SMEG Singapore.
[21] Data has been restated as a result of changes to the water withdrawal values by some commercial distribution companies outside Italy.

	2022			
Water withdrawal (ML)[22]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
From non-water-stressed areas	**135.34**	**0.62**	**163.98**	**299.94**
Groundwater (aquifer)	115.15	-	-	115.15
Sea water[23]	-	-	9	9
Water produced[24]	-	-	27	27
Third-party water resources (Municipal water service providers)	20.19	0.62	127.98	148.79
From water-stressed areas	**17.97**	**0.19**	**5.73**	**23.89**
Groundwater (aquifer)	15.13	-	-	15.13
Third-party water resources (Municipal water service providers)	2.84	0.19	5.73	8.76
Total water withdrawal	**153.31**	**0.81**	**169.71**	**323.83**

GRI 303-3 Water withdrawal

[22] The figure does not include values from the companies Domestika (included in the withdrawal data of Apell S.p.A.), SD Lazio, SMEG Canada, SMEG France, SMEG Mexico, SMEG Nordic, SMEG Poland, SMEG Spain and SMEG USA. In the case of INEA and Smeg UK, the 2023 data have been estimated on the basis of information taken from previous invoices.

[23] SMEG Singapore.

[24] The consumption figures for Domestika S.r.l. are not reported since their consumption is included in the leasing contract that the company has with Apell S.p.A.; the same applies to Elettrodomestici Bonferraro S.r.l. which leases space at the Bonferraro S.p.A. facility, for the company, SD Lazio, and for SMEG Nordic and SMEG USA.

Water discharge (ML)[25]	2023	2022	2021
From non-water-stressed areas	**141.91**	**46.53**	**71.52**
Surface water	52.83	31	57
Third-party water resources (Municipal water service providers)	89.08	15.53	14.52
From water-stressed areas	**2.90**	**20.8**	**17.2**
Surface water	-	20.8	17.2
Third-party water resources (Municipal water service providers)	2.90	-	-
Total water discharge	**144.81**	**67.33**	**88.72**

GRI 303-4 Water discharge

[25] Unlike in previous years, the reporting for this year considers all water discharge, including civil discharge. For 2021 and 2022 the reference applies only to the production companies and industrial water discharge, with the exception of La Pavoni which did not record any water discharge of this type.

	2023			
Water consumption (ML)	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
From non-water-stressed areas	**47.71**	**0.00**	**0.30**	**48.01**
Water withdrawal	119.19	2.06	68.68	189.92
Water discharge	71.48	2.06	68.37	141.91
From water-stressed areas	**0.00**	**0.00**	**2.70**	**2.70**
Water withdrawal	0.00	0.19	5.41	5.60
Water discharge	0.00	0.19	2.71	2.90
Total water consumption	**47.71**	**0.00**	**3.00**	**50.71**

GRI 303-5 Water consumption

2022				
Water consumption (ML)	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
From non-water-stressed areas	**37.58**	**0.88**	**138.55**	**177.01**
Water withdrawal	84.10	0.88	140.63	225.62
Water discharge	46.53	-	2.08	48.61
From water-stressed areas	**0.00**	**0.90**	**3.52**	**4.41**
Water withdrawal	20.80	0.90	5.97	27.66
Water discharge	20.80	-	2.45	23.25
Total water consumption	**37.58**	**1.78**	**142.07**	**181.42**

GRI 303-5 Water consumption

2021				
Water consumption (ML)	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
From non-water-stressed areas	**63.82**	**0.62**	**163.98**	**228.42**
Water withdrawal	135.34	0.62	163.98	299.94
Water discharge	71.52	-	-	71.52
From water-stressed areas	**0.77**	**0.19**	**10.31**	**11.27**
Water withdrawal	17.97	0.19	12.65	30.81
Water discharge	17.2	-	2.34	19.54
Total water consumption	**64.59**	**0.81**	**174.29**	**239.69**

GRI 303-5 Water consumption

Species recorded	IUCN Red List Assessment	Population trend	Species recorded	IUCN Red List Assessment	Population trend
FLORA			FAUNA		
Acer campestre	LC	Stable	*Phasianus*	LC	Decline
Acer platanoides	LC	Stable	*Lepus europaeus*	LC	Stable
Aesculus hippocastanum	VU	Decline	*Pica pica*	LC	Stable
Betula utilis	LC	Decline	*Cyprinus carpio*	VU	Unknown
Carpinus betulus	LC	Stable			
Celtis australis	LC	Stable			
Fagus sylvatica	LC	Stable			
Ficus carica	LC	Growth			
Fraxinus excelsior	NT	Decline			
Fraxinus ornus	LC	Unknown			
Juglans regia	LC	Decline			
Lagerstroemia indica	LC	Stable			
Liquidambar styraciflua	LC	Stable			
Magnolia grandiflora	LC	Stable			
Populus tremula	LC	Stable			
Pyrus	LC	Unknown			
Prunus avium	LC	Stable			
Quercus cerris	LC	Stable			
Quercus robur	LC	Decline			
Quercus rubra	LC	Stable			
Tilia platyphyllos	LC	Decline			
Ulmus campestris	VU	Decline			

GRI 304-4 Red List species and national conservation list species with habitats in areas affected by operations

Direct and indirect emissions (tonnes of CO_2eq)	2023			
	Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Direct (Scope 1) emissions	**4691.77**	**203.61**	**1624.25**	**6519.63**
Natural gas	3946.23	66.40	44.96	4057.59
Diesel[26]	569.14	126.64	945.29	1641.07
Petrol	45.34	10.57	572.43	628.33
F-Gas	131.07	0.00	61.57	192.63
Intensity of direct (Scope 1) emissions	-	-	-	0.0000076
Indirect (Scope 2 - location based) emissions[27]	**3555.50**	**124.75**	**907.62**	**4587.87**
Electricity	3555.50	112.32	907.31	4575.13
District heating	0.00	12.42	0.32	12.74
Intensity of indirect (Scope 2 - location-based) emissions	-	-	-	0.0000054
Indirect (Scope 2 - market-based) emissions	**3912.05**	**166.40**	**1117.44**	**5195.89**
Electricity	3912.05	153.98	1117.12	5183.15
District heating	0.00	12.42	0.32	12.74
Intensity of indirect (Scope 2 - market-based) emissions	-	-	-	0.0000061
Total direct and indirect (Scope 2 - location-based) emissions	**8247.27**	**328.36**	**2531.87**	**11107.50**
Intensity of direct and indirect (Scope 2 - location-based) emissions	-	-	-	0.000013
Total direct and indirect (Scope 2 - market-based) emissions	**8603.82**	**370.01**	**2741.69**	**11715.52**
Intensity of indirect (Scope 2 - market-based) emissions	-	-	-	0.000014

GRI 305-1 Direct (Scope 1) GHG emissions
GRI 305-2 Energy indirect (Scope 2) GHG emissions
GRI 305-4 Emissions intensity

[26] Includes the consumption of diesel for generators.

[27] To fully adhere to the GRI Standards, Scope 2 emissions were calculated using both the location-based and market-based approaches. While the location-based methodology considers the average GHG emission intensity of the networks on which energy consumption occurs using mainly the network average emission factor data, the market-based methodology considers the emissions from electricity that an organisation has intentionally chosen by contract (or lack thereof).

Direct and indirect emissions (tonnes of CO_2eq)	2022[28] Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Direct (Scope 1) emissions	**5,305.49**	**386.79**	**1,284.71**	**7,090.70**
Natural gas	4,649.65	277.27	646.74	5,573.66
Diesel[29]	576.43	100.94	376.27	1,053.64
Petrol	40.57	8.58	261.70	310.85
F-Gas	73.13	-	79.42	152.55
Intensity of direct (Scope 1) emissions	-	-	-	0.0000076
Indirect (Scope 2 - location based) emissions	**5,333.48**	**203.39**	**1226.86**	**6,776.48**
Electricity	5,333.48	203.39	1226.86	6,763.73
District heating	-	-	12.75	12.75
Intensity of indirect (Scope 2 - location-based) emissions	-	-	-	0.0000073
Indirect (Scope 2 - market-based) emissions	**1,059.74**	**276.11**	**1,329.44**	**2,665.30**
Electricity	1,059.74	276.11	1,316.69	2,652.55
District heating	-	-	12.75	12.75
Intensity of indirect (Scope 2 - market-based) emissions	-	-	-	0.000003
Total direct and indirect (Scope 2 - location-based) emissions	**10,638.97**	**590.18**	**2603.74**	**13,867.18**
Intensity of direct and indirect (Scope 2 - location-based) emissions	-	-	-	0.000015
Total direct and indirect (Scope 2 - market-based) emissions	**6,399.52**	**662.90**	**2,693.57**	**9,755.99**
Intensity of indirect (Scope 2 - market-based) emissions	-	-	-	0.00001

GRI 305-1 Direct (Scope 1) GHG emissions
GRI 305-2 Energy indirect (Scope 2) GHG emissions
GRI 305-4 Emissions intensity

[28] The data relating to 2022 have been restated following the recalculation conducted as part of the acquisition of the company Fri. Med in 2022.

[29] Includes the consumption of diesel for generators.

Direct and indirect emissions (tonnes of CO_2eq)	2021[30] Production companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Direct (Scope 1) emissions	**6,410.65**	**489.42**	**894.62**	**7,794.69**
Natural gas	5,803.37	410.99	68.60	6,282.96
Diesel[31]	470.75	78.01	518.55	1,067.31
Petrol	30.34	0.42	289.72	320.48
F-Gas	106.19	-	17.75	123.94
Intensity of direct (Scope 1) emissions	-	-	-	0.00001
Indirect (Scope 2 - location based) emissions	**5,965.79**	**187.03**	**1,050.45**	**7,203.27**
Electricity	5,965.79	187.03	1,050.45	7,203.27
Intensity of indirect (Scope 2 - location-based) emissions	-	-	-	0.00001
Indirect (Scope 2 - market-based) emissions	**1,111.91**	**243.65**	**1,067.22**	**2,422.78**
Electricity	1,111.91	243.65	1,067.22	2,422.78
Intensity of indirect (Scope 2 - market-based) emissions	-	-	-	0.000003
Total direct and indirect (Scope 2 - location-based) emissions	**12,376.44**	**676.45**	**1,945.05**	**14,997.94**
Intensity of direct and indirect (Scope 2 - location-based) emissions	-	-	-	0.00002
Total direct and indirect (Scope 2 - market-based) emissions	**7,522.56**	**733.08**	**1,961.83**	**10,217.47**
Intensity of indirect (Scope 2 - market-based) emissions	-	-	-	0.00001

GRI 305-1 Direct (Scope 1) GHG emissions
GRI 305-2 Energy indirect (Scope 2) GHG emissions
GRI 305-4 Emissions intensity

[30] The data relating to 2021 have been restated following the recalculation of the baseline (year 2021) as part of the acquisition of the company Fri.Med in 2022.

[31] Includes the consumption of diesel for generators.

Other atmospheric emissions, by type[32]	2023	2022[33]	2021
NOx	9.47	31.95	33.51
SOx	0.78	4.01	1.93
Volatile Organic Compounds (VOCs)	0.30	0.004	0.006
Particulate matter (PM) - dust	0.002	8.00	10.5
NaOH	3.5	0	20.74

GRI 305-7 Nitrogen oxides (NOX), sulphur oxides (SOX), and other significant air emissions

[32] The data included in the table refer to Apell S.p.A. and Bonferraro S.p.A.

[33] The data relative to 2022 have been restated.

	2023			
Waste generated, by type of waste (tonnes)[34]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Hazardous waste	**63.98**	**8.70**	**954.10**	**1,026.78**
Chemical agents	4.32	-	-	4.32
Solvents	0.10	-	-	0.10
Refrigerants	-	8.70	-	8.70
WEEE			954.10	954.10
Other	59.56	-	-	59.56
Non-hazardous waste	**4,497.51**	**48.35**	**3,911.91**	**8,457.76**
ABS	169.89	-	-	169.89
Steel	993.74	-	150.00	1,143.74
Biodegradable waste	146.24	-	1.10	147.34
Paper	457.65	4.18	23.98	485.81
Cardboard	304.91	6.20	246.53	557.64
HDPE	-	15.56	1.00	16.56
Mixed	2.49	0.66	203.47	206.62
Sheet metal	1,269.79	-	12.50	1,282.29
LDPE	30.68	-	0.80	31.48
Wood	257.96	1.30	24.77	284.03
Multi-material	-	1.30	-	1.30
PET	-	0.60	15.02	15.62
Plastic	103.82	0.14	0.14	104.10
PP	-	-	2.00	2.00
Chemical products	1.99	-	-	1.99
PS	89.46	1.20	13.25	103.91
Commercial industrial waste	-	-	10.00	10.00
Ordinary industrial waste	-	-	48.00	48.00
Glass	114.49	0.70	-	115.19
WEEE	-	15.20	622.34	637.54
Other	554.40	1.30	2,537.00	3,092.70
Total waste produced	**4,561.48**	**57.05**	**4,866.01**	**9,484.53**

GRI 306-3 Waste generated

[34] The data do not include La Pavoni, SMEG Germany, SMEG Mexico, SMEG Nordic, SMEG Netherlands, SMEG Singapore and SMEG USA.

	2023			
Waste generated, by type of waste (tonnes)[35]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Hazardous waste	**63.98**	**8.70**	**954.10**	**1,026.78**
Incineration	5.00	-	-	5.00
Landfill	15.10	-	-	15.10
Recycling	43.87	8.70	954.10	1,006.67
Non-hazardous waste	**4,497.51**	**48.35**	**3,911.76**	**8,457.62**
Incineration	4.00	-	70.00	74.00
Landfill	73.64	7.46	214.39	295.49
Recycling	4,419.87	40.88	3,627.38	8,088.13
Total waste produced	**4,561.48**	**57.05**	**4,865.86**	**9,484.39**
Of which sent for recovery	**4,463.74**	**49.58**	**4,581.48**	**9,094.80**
Of which sent for disposal	**97.74**	**7.46**	**284.39**	**389.59**

GRI 306-3 Waste generated
GRI 306-4 Waste diverted from disposal
GRI 306-5 Waste directed to disposal

[35] The data do not include La Pavoni, SMEG Germany, SMEG Mexico, SMEG Nordic, SMEG Netherlands, SMEG Singapore and SMEG USA.

	2022			
Waste generated, by type of waste (tonnes)[36]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Hazardous waste	**75.04**	**7.80**	**942.63**	**1,025.47**
Chemical agents	0.89	-	-	0.89
Metals	0.71	-	-	0.71
Refrigerants	-	-	941.93	941.93
Waste from the use of painting	0.003	-	-	0.003
Other	73.44	7.80	0.70	81.94
Non-hazardous waste	**5,254.15**	**126.45**	**4,403.24**	**9,783.84**
Chemical agents	0.24	-	-	0.24
Cardboard	831.19	56.80	174.76	1,062.75
Glass	140.89	0.70	0.99	142.58
HDPE	4.26	22.61	0.25	27.12
LDPE	18.37	2.05	3.40	23.82
Metals	2,978.49	1.52	15.36	2,995.37
Paper	0.50	9.11	26.36	35.97
PET	22.00	0.59	13.02	35.61
PP	26.75	-	0.02	26.77
PS	133.76	1.18	7.80	142.75
Steel	-	-	163.48	163.48
Paints and glazes	0.67	-	-	0.67
Wood	3.31	-	29.73	33.04
Other	1,093.72	31.89	3,968.07	5,093.68
Total waste produced	**5,329.19**	**134.25**	**5,345.87**	**10,809.31**

GRI 306-3 Waste generated

[36] Data from SMEG USA is not included insofar as not relevant.

	2022			
Waste generated, by type of waste (tonnes)[37]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Hazardous waste	75.04	7.80	942.63	1,025.47
Landfill	6.36	-	-	6.36
Recycling	68.67	7.80	942.63	1,019.11
Non-hazardous waste	5,254.15	126.45	4,403.24	9,783.84
Incineration	10.50	-	49.63	60.13
Landfill	71.81	16.88	173.41	262.11
Recycling	5,171.84	109.57	4,180.20	9,461.60
Total waste produced	5,329.19	134.25	5,345.87	10,809.31
Of which sent for recovery	5,240.51	117.37	5,122.83	10,480.71
Of which sent for disposal	88.68	16.88	223.04	328.60
Of which sent for disposal	88.68	16.88	223.04	328.60

GRI 306-3 Waste generated
GRI 306-4 Waste diverted from disposal
GRI 306-5 Waste directed to disposal

[37] Data from SMEG USA is not included insofar as not relevant.

	2021			
Waste generated, by type of waste (tonnes)[38]	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Hazardous waste	**51.31**	**9.16**	**779.34**	**839.81**
Chemicals	6.24	-	-	6.24
Glass wool	1.43	-	-	1.43
Metals	0.56	-	-	0.56
Organic waste compost	0.17	-	-	0.17
Solvents	0.36	-	-	0.36
Refrigerants	-	-	778.44	778.44
Other	42.55	9.16	0.90	52.61
Non-hazardous waste	**6,481.53**	**387.68**	**6,097.80**	**12,967.02**
Cardboard	1,077.98	87.52	152.40	1,317.90
Chemicals	68.90	0.10	-	69.00
Metals	3,363.66	-	-	3,363.66
Oils	5.00	-	-	5.00
PET	102.93	75.75	13.02	191.69
PP	25.11	0.11	0.02	25.24
PS	180.43	1.43	6.50	188.36
Septic tank	16.98	-	-	16.98
Solvents	1.47	-	-	1.47
Instruments	0.61	-	-	0.61
Paints and glazes	3.39	-	-	3.39
Glass	167.00	75.71	-	242.71
HDPE	-	22.16	-	22.16
LDPE	-	16.61	-	16.61
Municipal solid waste	-	-	154.76	154.76
Organic waste compost	-	0.11	-	0.11
Paper	-	77.83	16.88	94.71
PVC	-	1.08	6.00	7.08
Wood	-	1.65	29.74	31.39
Steel	-	-	138.96	138.96
Other	1,468.08	27.62	5,579.53	7,075.23
Total waste produced	**6,532.84**	**396.84**	**6,877.14**	**13,806.83**

GRI 306-3 Waste generated

[38] Data from SMEG USA is not included insofar as not relevant.

	2021			
Waste generated, by type of waste (tonnes)	Operating companies (ITALY)	Commercial distribution companies (ITALY)	Commercial distribution companies (OUTSIDE ITALY)	Smeg Group
Hazardous waste	**51.31**	**9.16**	**779.34**	**839.81**
Landfill	3.35	-	-	3.35
Recycling	47.96	9.16	779.34	836.46
Non-hazardous waste	**6,481.53**	**387.68**	**6,097.80**	**12,967.02**
Landfill	96.35	7.26	158.54	262.15
Recycling	6,385.19	323.25	3,913.20	10,621.64
Municipal solid waste	-	57.17	700.24	757.41
Incineration	-	-	1,325.82	1,325.82
Total waste produced	**6,532.84**	**396.84**	**6,877.14**	**13,806.83**
Of which sent for recovery	**6,433.15**	**389.58**	**5,392.78**	**12,215.51**
Of which sent for disposal	**99.70**	**7.26**	**1,484.36**	**1,591.32**

GRI 306-3 Waste generated
GRI 306-4 Waste diverted from disposal
GRI 306-5 Waste directed to disposal

Materials used (kg)[39]	2023	2022	2021
Renewables			
Wood	865,903	956,840	891,527
of which from recycling	0	0	0
Total renewable materials	865,903	956,840	891,527
Total recycled renewable materials	0	0	0

(Continue on the next page)

[39] The 2023 data relate to all of the production companies. The 2022 data relate to all of the production companies with the exception of Fri.Med, which was acquired in 2022. The 2021 data relate to Smeg S.p.A. and Bonferraro S.p.A. only.

Materials used (kg)[40]	2023	2022	2021
Non-renewables			
Polystyrene	1,315,847	1,474,938	1,543,607
of which from recycling	0	0	0
Steel	2,853,277	5,056,200	3,039,000
of which from recycling	0	0	0
Plastic	1,327,155	1,127,300	1,310,000
of which from recycling	370	0	0
Sheet metal	9,289,283	13,399,218	14,936,000
of which from recycling	0	0	0
Glass	988,478	2,982,300	3,283,000
of which from recycling	2,606	0	0
Paper and cardboard	1,059,272	1,230,122	887,078
of which from recycling	13,413	0	0
Electronic components	315,245	-	-
of which from recycling	0	-	-
Cast iron	371,421	645,036	743,477
of which from recycling	0	0	0
Chrome-plated wire	632,853	-	-
of which from recycling	0	-	-
Polyethylene	135,283	78,977	86,672
of which from recycling	0	0	0
Rubber	0	2,900	-
of which from recycling	0	0	-
Total non-renewable materials	18,288,114	25,994,091	25,742,163
Quantity of recycled materials	16,388	0	0
Total materials used	19,154,017	26,950,931	26,633,689
% of renewable materials out of total materials used	4.5%	4%	3%
% of recycled materials out of total materials used	0.1%	0%	0%

GRI 301-1 Materials used by weight or volume
GRI 301-2 Recycled input materials used

[40] The 2022 data relate to all the production companies while the 2021 and the 2020 data only refer to Smeg S.p.A. and Bonferraro S.p.A.

METHODOLOGICAL NOTE

The Sustainability Report, covering the period from 1 January 2023 to 31 December 2023 (where possible, data for 2022 and 2021 have been reported), is a voluntary exercise for SMEG, which, pursuant to Italian Legislative Decree 254/2016, does not fall within the category of large public interest entities required to report on their non-financial performance.

This document was prepared by referring to the reporting principles and standards - Universal and Topic Specific - **GRI Sustainability Reporting Standards (GRI Standards)** in accordance with the option, ***"With Reference to"***, issued in 2016 by the Global Reporting Initiative and subject to subsequent updates.

The following versions of the GRI Standards have, in fact, been adopted for this Report:

- GRI Universal Standards (2021);
- GRI 207 – Tax (2019);
- GRI 303 – Water and effluents (2018);
- GRI 306 – Waste (2020);
- GRI 403 – Occupational health and safety (2018).

In order to make it easier to find information within the document, the GRI Content Index is shown on pages 180-187.

Key reporting concepts and principles

Acknowledging what is defined by GRI 1 - Foundation (2021), the contents of the Sustainability Report have been prepared by taking account of the following fundamental concepts:

- **Impacts** (see the tables at the beginning of Chapters 3, 4, 5 and 6);
- **Material topics** (see paragraph, "Materiality analysis", below);
- **Due Diligence** (see "Transparency and ethics", paragraph, "Safeguarding human rights");
- **Stakeholders** (see "Communicating with stakeholders").

Although this report has been prepared in accordance with the reporting option with reference to the GRI Standards, which has as requirements exclusively the publication of a GRI Content Index (see "GRI Content Index"), the presentation of a declaration of use and the notification to the GRI of a report being issued, SMEG has also chosen to present information aligned to the fundamental reporting principles in order to achieve a high standard of sustainability reporting.

The reporting principles envisaged by the GRI Standards to which SMEG aspires, are:

- **Accuracy, balance, clarity, completeness and comparability** of the qualitative and quantitative information reported;
- **Reporting on priority impact areas for SMEG** (see Chapter 2, "Sustainability for Smeg" section);
- **Timeliness** in publishing the sustainability information (this document is the third Sustainability Report prepared by SMEG on an annual basis).

With reference to the principle of the "verifiability" of the information provided in the report, SMEG has not yet subjected the document to an outside review but will undertake to adopt this option for future editions of this Report.

Materiality assessment

The description of the process which led to the Smeg Group's materiality matrix – the subject of this Report – can be found in Chapter 2, under "Sustainability for Smeg". The materiality assessment identifies the most relevant issues for the Group and its stakeholders in social, environmental, economic and governance terms.

The relevance of the issues needs to consider the significance of the impacts connected to them (including any impacts on human rights) and generated by the company on the external context (on the environment, people and society as a whole) and, also, felt by the organisation.

Reporting scope

As of 31 December 2023, the Group was composed of 31 companies:

- 5 production companies: Smeg S.p.A., Bonferraro S.p.A., Apell S.p.A., La Pavoni S.p.A., Fri.Med S.r.l.;
- 7 commercial distribution companies in Italy (Inea S.r.l., Domestika S.r.l, SD Lazio S.r.l., SD Toscana S.r.l., Elettrodomestici Bonferraro S.r.l., Verinox S.r.l, Tesec S.r.l.);
- 19 commercial branches operating outside Italy.

As regards the corporate composition, please note that compared to the 2022 editions, the following companies have been included in the reporting boundary of the 2023 Sustainability Report: Fri.Med S.r.l. (acquired in February 2022); SMEG (Shenzhen) Household Appliances Co. and SMEG Canada Inc. (established in June and September 2022 respectively). Please note that the environmental, social and governance-related data for these companies has been reported for 2023. As regards the 2022-2021 period, the data relative to the Group's emissions (GRI 305-1 and 305-2) have been restated to include the emissions of the aforementioned three companies.

With reference to SMEG Hong Kong, please note that given the very small size of the company the social and environmental impacts were deemed negligible and the company has therefore been excluded from the reporting boundary of this Report.

With reference to Chapter 5, "The environment", the Italian commercial distribution company Domestika S.r.l. has been excluded from the reporting boundary as it does not have any utilities directly attributable to it as it is located at the site of Apell S.p.A..

The indicator GRI 405-2 "Ratio of basic salary and remuneration of women to men" has been calculated with exclusive reference to Smeg S.p.A. The reporting boundary for this indicator will be expanded in later editions of this document.

Any further variations to this reporting scope, intended to provide stakeholders with additional information or specific clarifications, are duly indicated in the various sections of the document.

Reporting process

Preparing this document involved all the corporate functions that manage the Group's social, environmental and economic impacts, at the Parent Company as well as at every subsidiary in Italy and outside Italy.

The data and information presented is derived from direct surveys, and where data could not be found or estimates were made, this has been duly noted in the document.

Calculation methodologies

With reference to the **environmental data**, the following methodological details are specified:

Energy consumption was calculated using the "Greenhouse gas reporting: conversion factors" provided by DEFRA (UK Department for Environment Food & Rural Affairs) for the years 2023, 2022 and 2021.

With the ultimate aim of reducing, as far as possible, the contribution of their activities to global warming, the Group's production sites and the other Group subsidies have, in recent years, begun the implementation of a model aimed at mapping and quantifying greenhouse gas emissions:

- under their direct control, as a clear consequence of company operations (direct (Scope 1) emissions of CO_2eq);
- resulting from the generation of electricity and district heating that Group companies purchase (indirect (Scope 2) emissions of CO_2eq);
- which, despite being generated by other operators in the Group's value chain, are still linked to its operations (indirect (Scope 3) emissions of CO_2eq).

The methodological approach adopted is inspired by the ISO 14040 series of standards for life cycle assessment (LCA) studies, standard ISO 14064 for the creation of inventories of greenhouse gas emissions generated by organisations and the Greenhouse Gas Protocol (GHG Protocol).

The calculation methodologies adopted to quantify the contribution of the different emission sources, and the main sources consulted to identify the emission factors used for said purpose, are briefly described below:

- Direct (Scope 1) GHG **emissions**: to calculate the emissions of climate-altering gases connected to the consumption of natural gas, petrol and diesel, and those generated by the escape of F-Gas at various Group facilities and commercial distribution companies, reference was made to the "Greenhouse gas reporting: conversion factors" provided by DEFRA (the United Kingdom's Department for Environment Food & Rural Affairs) for the years 2023, 2022 and 2021;
- Indirect (Scope 2) GHG **emissions**: the emissions were calculated, using the location-based approach and the market-based approach, by multiplying the electricity purchased from the national electricity grid by the emission factors provided by:
  - "Greenhouse gas reporting: conversion factors" provided by DEFRA (the United Kingdom's Department for Environment Food & Rural Affairs) for 2021, 2022 and 2023;
  - Climate Transparency (2022 Report);
  - US Env Protection Agency (EPA) eGrid;
  - Association of Issuing Bodies (AIB) 2021, 2022 and 2023;
  - Australian Government - Department of Climate Change, Energy, the Environment and Water - Australian National Greenhouse Accounts Factors
  - Singapore Energy Market Authority (EMA) - Electricity Grid Emissions Factors;
  - IEA - Kazakhstan 2022 Energy Sector Review;
  - "Data on CO_2 and Greenhouse Gas Emissions" by Our World in Data.

- Indirect (Scope 3) GHG emissions: in order to calculate the Group's upstream and downstream greenhouse gas emissions in the value chain, based on the categories identified as most relevant to SMEG's business (see "The fight against climate change"), reference was made to:
  - Scope 3.1: the emission factor for each component and raw material was extracted from the Ecoinvent database; the emission factor for the finished products was reconstructed using the specific calculation software used, maintaining the Ecoinvent database as the basis for the calculation;
  - Scope 3.2: database DEFRA, specifically *UK Government GHG Conversion Factors for Company Reporting 2020 database, SIC multipliers*
  - Scope 3.3: Well-to-Tank (WTT) emission factors for the generation, transportation and distribution of fuels and energy are derived from DEFRA 2023;
  - Scope 3.4: from the Ecoinvent database, the tonnes for each means of transportation category associated with all the upstream logistics involved were multiplied by km;
  - Scope 3.5: emission factors from the Ecoinvent database to assess the type of waste, the end-of-life scenario and the evaluation of the transportation to the disposal site with a lorry *7.5-16*;
  - Scope 3.6 e 3.7: DEFRA 2023 and Ecoinvent database for each category of transport means;
  - Scope 3.9: a *7.5-16* lorry was assumed for e-commerce distribution, and a car or van for B&M, depending on the size of the product purchased (Ecoinvent *emission factors*);
  - Scope 3.11: the emission factor of the country where the product was sold, and where it is assumed it is also used, was assessed (Ecoinvent Electricity database);
  - Scope 3.12: at the continental level, statistics from the Global E-waste Monitor 2020 related to the disposal model were accepted. The specific DEFRA 2022 emission factors for the types of product considered were then applied.

With reference to the data regarding the **social sphere**, it is specified that:

In order to obtain the rate of recordable work-related injuries, rate of accidents with serious consequences, and death rate, a value of 1,000,000 hours worked was used as the basis.

GRI CONTENT INDEX

The table below represents the GRI Content Index highlighting the GRI Standards and related disclosures (or indicators) reported in this Sustainability Report.

The table provides an accurate reference to the pages of the document where the indicators are dealt with, or possibly the document reference to be consulted for a more detailed response to the requirements of the Standard.

In alignment with the GRI Standards, the "Comments / Omissions" column also specifies any omissions, explanations and comments regarding the coverage of the disclosures.

Statement of use of GRI Standards	The Smeg Group has reported the information cited in this GRI Content Index for the period running from 1 January 2023 to 31 December 2023, with reference to the GRI Standards (Option, *"With reference to"*).
GRI 1 used	GRI 1: Foundation 2021

GRI Standard	Disclosure	Page	Comments / Omissions
GENERAL DISCLOSURES			
GRI 2: General Disclosures 2021	2-1 Organisational details	Pages 14-15	
	2-2 Entities included in the organisation's sustainability reporting	Page 177	
	2-3 Reporting period, frequency and contact point	Pages 9, 177	
	2-4 Restatements of information	Pages 91-93, 138-139, 159, 165-167	
	2-6 Activities, value chain and other business relationships	Pages 17-23, 76	

GRI Standard	Disclosure	Page	Comments / Omissions
	2-7 Employees	Pages 54-59, 138-139	
	2-8 Workers who are not employees	Pages 140-141	
	2-9 Governance structure and composition	Pages 32, 133-134	
	2-10 Nomination and selection of the highest governance body	Page 33	
	2-11 Chair of the highest governance body	Page 33	
	2-12 Role of the highest governance body in overseeing the management of impacts	Page 33	
	2-13 Delegation of responsibility for managing impacts	Page 33	
	2-14 Role of the highest governance body in sustainability reporting	Pages 33-34	
	2-15 Conflicts of interest	Pages 40-42	
	2-18 Evaluation of the performance of the highest governance body	Pages 33-34	
	2-22 Statement on sustainable development strategy	Pages 33-34	
	2-23 Policy commitments	Pages 42-45, 60, 127	
	2-25 Processes to remediate negative impacts	Pages 28-34	
	2-26 Mechanisms for seeking advice and raising concerns	Page 42	
	2-27 Compliance with laws and regulations		In the three-year period covered by the report, no significant cases of non-compliance with the laws and regulations concerning environmental and social-economic matters were confirmed.
	2-28 Membership associations	Page 52	
	2-29 Approach to stakeholder engagement	Pages 35-37	
	2-30 Collective bargaining agreements	Pages 58, 141	

GRI Standard	Disclosure	Page	Comments / Omissions
MATERIAL TOPICS			
GRI 3: Material topics 2021	3-1 Process to determine material topics	Pages 25-27	
	3-2 List of material topics	Page 27	
ECONOMIC PERFORMANCE			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 46-47	
GRI 201: Economic performance 2016	201-1 Direct economic value generated and distributed	Pages 20, 48-50, 135	
PROCUREMENT PRACTICES			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 23, 76-77, 112-115	
GRI 204: Procurement practices 2016	204-1 Proportion of spending on local suppliers	Page 134	
ANTI-CORRUPTION			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 39-42, 46-47	
GRI 205: Anti-corruption 2016	205-2 Communication and training about anti-corruption policies and procedures	Pages 39, 135-136	
	205-3 Confirmed incidents of corruption and actions taken		In 2023, in line with previous years, no reports were received in relation to non-conformity in terms of ethics and/or corruption, whether active or passive, within the Group and/or within its business relationships.
TAX			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 50, 135	
GRI 207: Tax 2019	207-1 Approach to tax	Pages 43-44	
	207-2 Tax governance, control, and risk management	Pages 43-44, 47	
	207-3 Stakeholder engagement and management of concerns related to tax	Pages 43-44	
	207-4 Country-by-country reporting	Page 137	
MATERIALS			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 112-115, 174-175	
GRI 301: Materials 2016	301-1 Materials used by weight or volume	Pages 112-115, 174-175	
	301-2 Recycled input materials used	Pages 112-115, 174-175	

GRI Standard	Disclosure	Page	Comments / Omissions
ENERGY			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 21, 50, 78-83	
GRI 302: Energy 2016	302-1 Energy consumption within the organisation	Pages 78-83, 157	
	302-3 Energy intensity	Pages 78, 157	
	302-4 Reduction of energy consumption	Pages 20, 89-90	
WATER AND EFFLUENTS			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 76, 96-99, 105-108	
GRI 303: Water and effluents 2018	303-1 Interactions with water as a shared resource	Pages 96-99, 105-108	
	303-3 Water withdrawal	Pages 105-108, 158-162	
	303-4 Water discharge	Pages 105-108, 158-162	
	303-5 Water consumption	Pages 105-108, 158-162	
BIODIVERSITY			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 47, 75, 96-104	
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	Pages 100-104	
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	Pages 100-104, 163	
EMISSIONS			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 21, 78-85, 89-95, 178-179	
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	Pages 21, 89-95, 164-166	
	305-2 Energy indirect (Scope 2) GHG emissions	Pages 21, 89-95, 164-166	
	305-3 Other indirect (Scope 3) GHG emissions	Pages 21, 89-95	
	305-4 GHG emissions intensity	Page 91	
	305-5 Reduction of GHG emissions	Pages 47, 79-83	
	305-7 Nitrogen oxides (NOX), sulphur oxides (SOX), and other significant air emissions	Page 167	

GRI Standard	Disclosure	Page	Comments / Omissions
WASTE			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 21, 75, 86-89	
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	Pages 86-89	
	306-2 Management of significant waste-related impacts	Pages 21, 75, 86-89	
	306-3 Waste generated	Pages 168-173	
	306-4 Waste diverted from disposal	Pages 168-173	
	306-5 Waste directed to disposal	Pages 168-173	
EMPLOYMENT			
GRI 3: Material topics 2021	3-3 Management of material topics	Page 55	
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	Pages 61-65, 142-144	
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	Pages 72-73	

GRI Standard	Disclosure	Page	Comments / Omissions
OCCUPATIONAL HEALTH AND SAFETY			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 45, 47, 55	
GRI 403: Occupational health and safety 2018	403-1 Occupational health and safety management system	Pages 69-71	
	403-2 Hazard identification, risk assessment, and incident investigation	Pages 69-71	
	403-3 Occupational health services	Pages 69-71	
	403-4 Worker participation, consultation, and communication on occupational health and safety	Pages 69-71	
	403-5 Worker training on occupational health and safety	Pages 69-71	
	403-6 Promotion of worker health	Pages 69-71	
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	Pages 69-71	
	403-8 Workers covered by an occupational health and safety management system	Pages 145-146	
	403-9 Work-related injuries	Pages 147-149	
	403-10 Work-related ill health	Pages 69-71	
TRAINING AND EDUCATION			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 66-68	
GRI 404: Training and education 2016	404-1 Average hours of training per year per employee	Pages 150-152	
DIVERSITY AND EQUAL OPPORTUNITY			
GRI 3: Material topics 2021	3-3 Management of material topics	Page 55	
GRI 405: Diversity and equal opportunity 2016	405-1 Diversity of governance bodies and employees	Pages 63, 133-134, 153-155	
	405-2 Ratio of basic salary and remuneration of women to men	Pages 156, 177	

GRI Standard	Disclosure	Page	Comments / Omissions
NON-DISCRIMINATION			
GRI 3: Material topics 2021	3-3 Management of material topics	Page 45	
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	Pages 60-61	
CUSTOMER HEALTH AND SAFETY			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 129-130	
GRI 416: Customer health and safety 2016	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services		In 2023, in line with the previous two-year period, no cases of non-conformity were reported regarding the impacts on the health and safety of customers in connection with the use of a Smeg product.
MARKETING AND LABELLING			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 46-47, 111	
GRI 417: Marketing and labelling 2016	417-1 Requirements for product and service information and labelling		Over the three-year reporting period, 100% of Smeg products were treated or assessed with respect to information and labelling compliance requirements
	417-2 Incidents of non-compliance concerning product and service information and labelling	Page 130	
	417-3 Incidents of non-compliance concerning marketing communications		In 2023 no cases of non-compliance concerning marketing communications were reported
CUSTOMER PRIVACY			
GRI 3: Material topics 2021	3-3 Management of material topics	Page 45	
GRI 418: Customer privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data		Smeg S.p.A. has not received any proven reports of a breach of privacy or a loss of personal data concerning customers or employees in the course of the three-year period 2021-2023

GRI Standard	Disclosure	Page	Comments / Omissions
SUPPLIER ENVIRONMENTAL AND SOCIAL ASSESSMENT			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 22-23, 55	
ENERGY EFFICIENCY OF PRODUCTS			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 117-121	
MADE IN ITALY			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 11-15	
SAFEGUARDING HUMAN AND WORKERS' RIGHTS			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 42, 44-46, 55-56, 69-70	
SUSTAINABILITY AND EFFICIENCY OF RESOURCES			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 112-115, 118, 120-121	
RESEARCH AND INNOVATION			
GRI 3: Material topics 2021	3-3 Management of material topics	Pages 17-19, 24, 111, 116-118	


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